Varun Beverages Ltd. (VBL)

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Call: May 2023

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Corporate Off : Plot No.31, Institutional Area, Sec.-44, Gurgaon, Haryana-122002 (India)
Ph.: +91-124-4643100-500 • Fax: +91-124-4643303/04 E-mail: info@rjcorp.in • Visit us at: www.varunpepsi.com
CIN No. : L74899DL1995PLC069839
May 8, 2023
To,
National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/l, Bandra Kurla
Complex, Bandra (E), Mumbai - 400 051
Email: cmlist@nse.co.in
Symbol: VBLBSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai - 400 001
Email: corp.relations@bseindia.com
Security Code: 540180
Sub: Regulation 30: Transcript of Investors & Analysts Conference Call
Dear Sir/Madam,
Transcript of Investors & Analysts Conference Call held on May 2, 2023 post declaration of
Unaudited Financial Results of the Company for the Quarter ended March 31, 2023 is enclosed.
The same is also being uploaded on website of the Company at VAVw.varunbeveraqes.com.
You are requested to take the above on record.
Yours faithfully, ___
For Varun Beverages Limited XTera^X
Ravi Batra
Chief Risk Officer & Group Company Secretary
Encl.: As above
Regd. Office : F-2/7, Okhla Industrial Area Phase-1, New Delhi - 110 020
Tel. : 011-41706720-25 Fax. 26813665

Varun Beverages Limited

Q1 CY202 3 Earnings Conference Call Transcript
May 02, 2023

Moderator: Ladies and gentlemen, good day , and welcome to Varun Beverages earnings conference call.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "*" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr . Anoop Poojari from CDR India.
Anoop P oojari : Good afternoon, everyone and thank you for joining us on Varun Beverages - Q1 CY2023 earnings conference call.
We have with us, Mr . Ravi Jaipuria – Chairman of the Company , Mr. Varun Jaipuria – Executive Vice Chairman and Whole -Time Director , and Mr . Raj Gandhi – Group CFO and Whole -Time Director of the Company .
We will initiate the call with opening remarks from the management , following which we'll have the forum open for a question -and-answer session. Before we begin, I would like to highlight that some statements made in today's call may be forward looking in nature and a disclaim er to this effect has been included in the results presentation shared with you earlier.
I would now request Mr . Ravi Jaipuria to make his opening remarks.
Ravi Jaipuria: Good afternoon, everyone and thank you for joining us on our earnings conference call. I hope all of you had an opportunity to go through our results presentation that provides details of our operational and financial performance for the first quarter ended March 31st, 2023.
We are pleased to share that the company achieved remarkable ope rational and financial performance during the quarter despite weather disruptions in some parts of India in the month of March.

Moving on to our expansion plans , we are happy to report the commissioning of our Greenfield production facility at District Bundi, Rajasthan , and the b rownfield expansion of 6 facilities. The additional Greenfield plant in Jabalpur, MP is expected

to be operational very soon . With regard to our international growth plans, construction of our new production facility in DRC has a lready started. We expect the facility to be operational by the end of the year.

Our energy drink product has achieved a significant share in our overall mix and has firmly established our leadership position in the category. Our focus now turns towards n ew performers like value -added dairy , sports drink , juice segments to sustain the growth momentum. These products continue to be well received by consumers, providing us with confidence that these products will fuel the Company 's next leg of growth.

It gives me immense pleasure to announce, as approved by shareholders in our Annual General Board meeting, the final dividend of Re. 1 per share, taking the total dividend payout for the year to the level of Rs. 3.5 per share. Furthermore, the board recommended the split of existing equity shares of the Company from one equity share having face value of Rs. 10 each into two equity shares having face value of Rs. 5 each. This is subject to the approval of equity shareholders of the company .

We are also committed to safeguarding our environment and promoting sustainability in our operations. One of the ways we are achieving this is by investing in PET recycling and implementing measures to improve energy and water efficiency. Our goal is to ha ve a net positive impact on the environment.

Overall, we are encouraged by our strong start and remain confident about delivering good performance this year . With our robust on-ground execution capabilities, expanding manufacturing capacities , and increas ing distribution reach, we believe we are well-positioned to achieve sustainable growth in the medium to long term.

I would now invite Mr . Gandhi to provide the highlights of the operational and financial performance. Thank you.

Raj Gandhi: Thank you, Mr. Chairman. Good afternoon and a warm welcome to everyone joining us today.

Before we start with the update on quarterly performance, I am happy to share that over the last 5 years, the Company has demonstrated strong growth across all key performance indic ators. Sales volume has grown at a CAGR of 24% in 5 years which is a test ament of Company 's execution capabilities . Net revenue increased significantly at a CAGR of 26.7% during the same period of the last 5 years, indicating the Company 's success in expanding the customer base as well as distribution reach. In terms of profitability , the Company has achieved remarkable growth with EBITDA and PAT growing at a 5-year CAGR of 35.1% and 50.8% respectively.

Now let me provide an overview of th e financial performance for the first quarter ended March 31st, 2023 .Net revenue from operations grew by 37.7% year-on-year in Q1 CY23 Rs. 38,929.8 million driven by robust volume growth and increase in net realization . Sales volume grew by 24.7% to the le vel of 224.1 million cases in Q 1 CY23 from 179.7 million cases in Q 1 CY22, driven by strong demand across regions in India.

In Q1 CY 23 net realizations per case improved by 10.4% Rs. 173.7, primarily driven by price increase taken towards the end of the corresponding quarter last year in selected SKUs and continued improvement in the mix of smaller 250 ml SKUs.

On an overall consolidated basis, CSD contributed 71.2% , juices 7.4% , and packaged drinking water 21.4% of the total sales volume in Q 1 CY23.

During the quarter gross margins improved by 89 basis points to the level of 52.4% from 51.5% in Q1 CY 23, driven by marginal savings and raw material prices and improved product mix. EBITDA increased by 50.3% Rs. 7980.4 million and EBITDA margins improved by 172 bps to 20.5% in Q1 CY23, driven by operational efficiencies on the back of strong revenue growth .

Depreciation increased by 31% Rs. 1,721.9 million in Q1 CY23 as compared to R

s.

1,313.2 million and finance costs increase d by 33% in Q1 CY23 on account of capitalization of assets and s etting up of new production facilities . PAT increased by 61.8% to Rs. 4,385.7 million in Q1 CY23 from Rs. 2,710.9 million in Q1 CY22 , driven by high growth in revenue from operations improvement in margins and transition to lower tax rate in India.

As shared by the chairman, we have successfully commissioned multiple greenfield and brownfield beverage manufacturing lines across region s in India, resulting in an increase in our production capabilities for the peak season.

Overall, we are delighted to report a strong start to the year. We are currently witnessing a healthy demand environment and remain ex cited about our prospects as we enter the peak season with expanded capacities and a stronger distribution network.

On that note, I come to an end of the opening remarks and would like to now ask the moderator to open the forum for the questions and suggestions that you may have. Thank you.

Moderator: We have our first question from line of Chirag Shah from CLSA India.

Chirag Shah: Mr. Jaipuri a, you mentioned that sports drinks and value -added dairy would fuel the next leg of growth. Can you please elaborate a bi t more on this and in that context can you also touch upon how we are positioned to protect our market share in the energy drinks , juices I understand earlier were restricted due to capacity constraints ?

Ravi Jaipuria: We are constrained by the production capacities of both Tropicana juices as well as value -added dairy . We are putting up two plants that are going to add our capacities in both these categories which are Tropicana as well as value -added dairy which is going to be in Maharashtra and UP . This w ill increase our capability for next year as right now, we don't have the capacity to supply.

Chirag Shah: When you say value -added dairy , are we looking to further expand our product portfolio in dairy or the products that we have would suffice for the national rollout?

Ravi Jaipuria: We have enough products but now since we don't have the capacity, we have not looked at expanding it. Once we have the capacity then if we feel there is a need , but right now I don't think . We have enough products which are enough to take care of the current demand .

Chirag Shah: And just your views on the emerging competitive landscape, especially with Campa looking to tie up with bottlers and packaging partners.

Ravi Jaipuria: It's a big market. We already have strong competition , we also had a lot of B brands before. So , there is always going to be competition and as the market is going to grow, there will be more people coming in . Campa and Reliance will be a formidable competition. We think the Indian market i s so large and we are still scratching the surface , so there is enough room for everybody.

Chirag Shah: On the energy drink side, is there a change in strategy to protect our market share over there?

Ravi Jaipuria: I think we are just increasing our distri bution and that is what is required right now. As we said before, there is so much room and there are so many more outlets that we can open , which we are adding every year that there is a huge scope to keep on adding further volumes and the number of stores . We don't think we need to do anything else except to enhance our distribution.

Chirag Shah: And on that note, I mean of course we have come a long way in terms of our visi-cooler infrastructure on the groun d, last year itself has seen a huge ramp -up, what are the plans in terms of the rollout of visi-cooler , and infrastructure going forward and how do we look at enhancing that capacity?

Ravi Jaipuria: We will keep on enhancing that because as our number of outlets keeps growing, our visi-coole rs deployment will also have to keep on going in parallel. As we want to open

more stores, so we will have to keep on adding more visi-coolers every year.

Chirag Shah: Can you just give us a sense of the raw material prices versus the last year and what is the situation of PET inventory and the price that we have logged in for the same ?

Ravi Jaipuria: We normally lock in enough for six months for our season which we did this year also and that's why our inventory levels go very high during this time and then they start coming down by the end of June . We try to maintain this trend because the lowest pricing in P ET is usually in our off-season .

Raj Gandhi: Also, as stated , the gross margin has slightly improved because the commodity prices were under control.

Chirag Shah: Last question, what was the net d ebt at the end of the quarter and any clarity on the CAPEX spend for the year?

Raj Gandhi: The guidance stays the same for CAPEX spent for the year which was around Rs. 1,500 crore out of which a major portion is already spent . This resulted in a debt level of around Rs. 4,000 crore . Going forward , in the season it will come down , so the same by June quarter is the lowest and, in the pre -season, it's always the highest.

Moderator: We have a next question from the line of Vivek M from Jefferies.

Vivek M: Sting volume numbers for this quarter?

Ravi Jaipuria: Sting is doing extremely well with growth in double digits but exact numbers we would not like to disclose .

Raj Gandhi: Vivek , keeping in mind the competitive scenario and the sensitivity around it, we have decided not to share granul ar level numbers anymore but directionally and overall numbers in terms with position and capacity , etc. we will always continue to share.

Vivek M: Momentum continues to be as strong in Sting?
Ravi Jaipuria: Yes, momentum is still very strong .
Vivek M: You mentioned about the nex t leg of growth about dairy , sports drink and juices is it only because of capacity or is it also because you think that Sting has reached a level where you think that you need the next driver because Sting will start to taper off, the growth will start to taper off as we head into this year because the base has certainly moved up quite a bit in the past eight quarters
Ravi Jaipuria: No, We don't think Sting should taper off. There's no reason for it because there are still a lot of outlets that we still have to reach. The value -added dairy , juices , and our sports drink , didn't ha d the capacity , so that is what is being ramped up for CY24, this is going to play an additional role for us .
Vivek M: My understanding is that dairy from a return perspective is a low return business. Is that understanding correct that you know it is going to be returned dilutive or what do you think about the economics of the dairy business ?
Ravi Jaipuria: We are not in the basic dairy business ; we are not selling raw milk. We are selling value -added dairy. Our margins are as good as our soft drink in our dai ry business , so it won't be dilutive at all.
Vivek M: Even for valu e-adde d business, do you think the returns are as good as it is for the base business ?
Ravi Jaipuria: Yes, absolutely and it's a high-value product. The selling price of dairy is much higher than our soft drinks .
Raj Gandhi: Our revenue realization is higher and the tax structure is lower in value -added dairy . Its 40% GST on CS D, while in the case of dai ry, it's 12% and any incremental cost in the case of dai ry gets compensated due to favorable tax structure.
Vivek M: The other thing is if I look at the trend in consol , gross margins in standalone versus in the subsid aries, also the EBITDA margins . So, what if there is a decline in EBITDA margin at a subsi diary level and what is your outlook on subsidiaries?
Ravi Jaipuria: The subsidiaries are doing well , it’s just that we had some weather issues in one of our territories .

Raj Gandhi: Also, Z ambia currency ’s last quarter depreciation was abnormal which affected the results. However, during the current quarter , the currency has started strengtheni ng or at least will remain constant . Instead of spreading that loss to more than one quarter, we have booked complete currency loss, and therefore tempora rily it's looking like this. Otherwise , the basic model stays intact like in earlier period s.
Vivek M: The international margins have moved up quite a bit in the last 3 years. It used to be significantly below our India business. What is your expectation on where this margin should settle on the international side?
Raj Gandhi: Let us share with you a fundamental shift that has happened from th is quarter . Earlier in every quarter we used to discuss the currency volatility in Africa and we used to justify how Zimbabwean Reserve Bank has supported us by giving the currency for

repayment of our debt . Now the debt is repaid and about 90% of our transactions are in dollar terms.
In other words , 50% of our business today in Africa is dollar based . So instead of currency risk on the negative side going forward it is expected to be definitely positive. You may notice this in the current quarter ’s comprehensive income . So in spite of minority interest , total comprehensive income is higher than the PAT. S o, these are some s tructural changes that we witnessed and fundamentally views are continuing to be strong.
Vivek M: My last question is, you are growing so strongly for the last several quarters . I just saw Coke’s comment in the media where they have said that they have gained market share in India. How is that possible if your growth is so strong and it doesn't look like the industry is g rowing faster than that ?
Raj Gandhi: You are all smart people and this we will leave up to you to make your own assessment , nothing beyond it.
Moderator: We have our next question from the line of Nihal J ham from N uvama.
Nihal Jham: Historically you have mentioned Sting id eally should be 15% of the market and while we are not getting the exact contribution, at least currently it is there in terms of our portfolio. So , would it be fair to say that Sting currently has raised the so-called optimum percentage of the portfolio, or do you still see it becoming a much higher proportion going forward?

Ravi Jaipuria: We had never said that Sting should be 15% of the portfolio . We have always said energy drinks are becoming a 15% of the portfolio which is at the industry level .
There is still plenty of room for us to grow .
Raj Gandhi: This is a comparison between other economies where energy drinks are launched. In India, it's a new product , and if we assess the industry size that's a benchmarking and it will keep on growing . We are increasing simultaneously capacity in the Tropicana , in value -added dairy, in sports drinks, etc. So that the momentum continues for many more quarters.
Nihal Jham: Just on that very aspect where you've highlighted the new initiatives and I think th ere have been question s earlier . That the only aspect about dairy is that given it's a cooperative driven business and while I know we are more in the beverage , on the value -added side pricing and margins in that segment are controlled . Would it be fair for us to believe that maybe sports and juice would be more priority for us to scale up rather than dairy at this point in time?
Ravi Jaipuria: Well, not necessarily because our dai ry business is very profitable for us. So , it is both – juice & dairy and the advantage we have is the same machines can manufacture both the products. So whichever demand comes, we can switch from one to the other overnight.
Nihal Jham: So, would the gross EBITDA margins for the dai ry be similar to the current portfolio average ?
Ravi Jaipuria: It is as good or bette

r.

Nihal Jham: Just one last bookkeeping question. For the realization increase that we've seen, I think we took a price increase of 2 %-3% in the corresponding quarter last year and maybe there is a reduction in discounts and plus there has been a product mix, if it's possible to just give a b allpark bifurcation of that?
Ravi Jaipuria: Basically , the main reason has been a very slight increase due to price but mainly because of product mix and our water mix has also slightly come down.
Moderator: We have our next question from the line of Ja y Doshi from Kotak.
Jay Doshi: Could you give us some idea in terms of what's the potential of sports drink in India, the way you had articulated earlier that energy drinks can be potentially 15% of the market when you compare India versus other economies, where does sports drink, do yo u think i n your assessmen t, how big can it be?
Ravi Jaipuria: We are not sure to be honest. As m ore people are becoming health conscious , sports drink is becoming a go to category and we have one of the strongest brands in the world in this category which is Gatorade. We expect a good momentum once we start focusing on it and we have the capacity to supply it.
Jay Doshi: Any color you can give us in terms of in other market, is it comparable to energy drink, half the size of energy drink ? I know it's too early to put a gues s on India.
Ravi Jaipuria: India is still not ready for it but we think we need to really put it in the market properly . We are getting good response wherever we are putting it and the growth is really exponential. But b ecause of our capacities we have not been able to put it. So hopefully by this year , we will have enough capacity and we will be really able to test it next year.
Jay Doshi: And what would be your reach of Gatorade in India today as a percentage of overall reach?
Ravi Jaipuria: The reach is there but it's very exclusive, so we are only going to the top outlets .
Jay Doshi: My second question is if you can give some color, how is the summer shaping up this year? Because from time to time we hear about some di sruption s in the northern part of India.
Ravi Jaipuria: Well, weather always plays an important role in our business, but it's like sometimes the summer is extended or little earlier. So , these things keep on happening it can only make a difference of certain percentage points up or down. So , you can never really say what would happen.
Jay Doshi: Final question is, Mr . Gandhi, what should be modeled in terms of year end net debt at the end of this year ?
Raj Gandhi: We are yet to finalize the plan fully for the next year, although two plants we have already stated . One in Maharashtra, and another in UP foundation for which is already laid. And maybe third one we will be putting up in Oriss a. Our Kinshasa plant in DRC is also yet to be completed. So, we will wait to share the final number s. As stated earlier, the debt level as of now with completion of two plants at Rajasthan and MP which were planned for th e current year is ~Rs. 4,000 and we can give you the number for full year maybe after a month or so .

Moderator: We have our next question from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal : We have started the year with about 28% volume growth in India. So , does this contain any one -off or a favorable base last year or we can expect such things to continue in coming quarters?
Ravi Jaipuria: We've always said double digit growth numbers look decent , but we cannot comment precisely . We had a good year last year and this year has started well , we hope we can end well also.
Devanshu Bansa l: So, your last year base was like normal, there was no one -offs etc . because of Omicron etc.
Ravi Jaipuria: No. It was a normal year.
Devanshu Bansal : What is the revenue salience of this quarter

because there has been a change in geography mix also versus pre-COVID? Q1 is what percentage of our sales?
Raj Gandhi: The first quarter is around 24% of the year . However , to start with, we take 25% in the first quarter and then we keep building on it when the plans are achieved . But broadly, if you see the longer period, it works out to ~24% in Q1 , ~61% for the H 1 and the balance for H2.
Devanshu Bansal : In terms of marketing, PepsiCo this time around is basically aggressive this seas on with several celebrity endorsements. Do we also foresee any margin impact due to this in our P&L?
Ravi Jaipuria: No, this is being spent by PepsiCo. It's not dilutive to our margins.
Devanshu Bansal : We have indicated we'll be adding about 70, 000- 80,000 visi-coolers. Is it fair to assume that majority would have been added before the season itself?
Ravi Jaipuria: Mostly yes.
Moderator: We have our next question from the line of Per cy Panthaki from I IFL.
Percy Panthaki: Just wanted to check the progress on the distribu tion, the number of retail touch points that we are catering to , currently how much have they gone up to on all India basis and how much is the universe just for me to understand what is the upside ?
Raj Gandhi: We have already shared last year's number, this data does not come on r egular basis from PepsiCo, we get it on annual basis. We have not yet updated but the guess is it might have gone up by around 10% because we have put about 75, 000- 80,000 visi-cooler.
Percy Panthaki: And that is how much in number of millions of outlets.
Ravi Jaipuria: We had about 3 million outlets. So , you can look at 300 ,000 to 400,000 more outlets.
Percy Panthaki: And out of these how many would you be directly going to?
Ravi Jaipuria: We don't go directly to any outlet , it's basically our distributors who go and the distributors go to 100% of o ur outlets directly where we serve.

Percy Panthaki: So, as we understand it in FMCG parlance, it would be called 100 % direct distribution.
Ravi Jaipuria: Yes, t hrough our di stributor.
Percy Panthaki: On Gatorade, do you think it can be a big opportunity given the pricing? It's a little bit more niche or premium kind of product ? And correct me if that understanding is wrong given that constraint or do you think that you would be willing to break that constraint and price it sort of more to parity versus the rest of the portfolio in India?
Ravi Jaipuria: We have brought it very close to parity, like we brought in our energy drink . We are looking to expand the market in quite a substantial way next year.
Raj Gandhi: Earlier Gatorade was available only in the packing of 500 ml at Rs. 50. Now we also have a pack of 2 50 ml at Rs. 20 if you compare it with PepsiCo 's other products, it's well comparable with that.
Percy Panthaki: On value -added dairy what is the game plan? What do you need to do differently versus your other part of the portfolio, or you think that it can just sort of be one more product and you don't need to think too differently here?
Ravi Jaipuria: No, we don't nee d to think too differently . The main advantage we have is our distribution and our chilling equipment . All we need to do is make sure that our partners carry it, and we place it in our visi-coolers . The product is excellent and wherever we have been able to supply it, it has done extremely well for us.
Percy Panthaki: And what is the current market size of this product , industry size ?
Ravi Jaipuria: The market size is very large and we are very small because we only have one plant which can produce it. So , it's only being serviced mainly in the north area, because it is being manufactured only in one plant at Pathankot.
Moderator: We have a next question from the line of Amit Purohit from Elara Capital .
Amit Purohit: Just on the distribution side, you earlier

used to provide some guidance or outline the st ing versus the rest of the CSD . Has that g ap further increased ? I remember last w ere some 4 lakhs more outlets for Sting?

Ravi Jaipuria: We can't give you exact numbers, but Sting is doing extremely well for us.
Raj Gandhi: The exclusive ~ 400,000 retailers which were there , as stated earlier , we get this data from the agency once a while. We have this data only as of now , we can only do a guess work and exact data for the latest period is not available. H owever, the idea is to reach a bigger base, and we will always then try to cross sell our other products also. Once they come in our fold, exclusivity will go -away and they can then also carry our other products.
Amit Purohit: Just on Gatorade, would the touch points would be broadly similar kind of thing because this would be more available in gyms or currently how it is getting distributed largely when you say “A” Class out lets, is it like gym?
Ravi Jaipuria: We will expand our distribution of-course, it won't be exactly like our soft drink. It will be much less than our numbers in our soft drink but still there's enough scope and we have also brought it to the right price point.

Amit Purohit: On the region wise growth would you be able to at least give qualitatively whether Southwest has done better than Northeast or it's broadly similar?
Ravi Jaipuria: We are doing well throughout and across the country give or take one State better or worse . Our growth is quite good across the country.
Amit Purohit: Lastly you highlighted the facility in Maharashtra that would be also for dairy as well or there will be?
Ravi Jaipuria: That's right. It will be for dairy and Tropica na also.
Amit Purohit: And including the C SD?
Ravi Jaipuria: Yes, absolutely.
Moderator: We have our next question from the line of Sumant Kumar from Motilal Oswal.
Sumant Kumar : What is the net debt as on date ?
Raj Gandhi: It is around Rs. 4,000 crore as on 31st March 2023 .
Sumant Kumar : And the increas e in interest in this quarter is combination of increas e in debt and the interest rate ?
Raj Gandhi: In the first quarter , these plants have not been put-to-use and it increases the borrowing b ut in the next quarter when the borrowings start coming down so the interest will start coming down. In the last quarter the interest cost is higher because these two plants were under implementation and the Company had to borrow.
Sumant Kumar : Can you talk about the rural growth momentum compared to urban for Varun Beverages ?
Ravi Jaipuria: Our growth in urban and rural is just about the same ; even though rural is slightly going ahead of the urban now.
Sumant Kumar : Currently the rural is ahead of urban , growth side ?
Ravi Jaipuria: Yes.
Moderator: We have our next question from the line of Sanjaya Satapathy from Ampersand Capital.
Sanjaya Satapathy: One thing if you can just tell us that how the weather vagar ies affecting your sales performance nowadays that is considering that the summer has not r eally started the way it used to be in the past and you have also mentioned in the press release that March was not good in terms of weather. So, will that kind of affect your growth plan this year?
Ravi Jaipuria: There's always some months which are sligh tly weather negative , and some month weather is slightly positive. There are also talk s of an extended summer , so this makes a difference of couple of percentage points up or down. This is not really make or break unless -until something really terrible happens or something really positive happens.

Sanjaya Satapathy: The reason why I was asking is become a bit of a more lifestyle or something that it is no longer as dependent on w eather as it used to be earlier because now adays Coca -Cola etc. are talking about much better sales in mid -term

.
Ravi Jaipuria: We agree with what you are saying , it is changing but it is changing m ostly in the urban areas but when you start going to rura l it is partly climate dependent.
Sanjaya Satapathy: You mentioned that your next key growth driver will be sports and fruit juices as well as dairy , which essentially mean Gatorade etc. Do you have to and you are putting up capacity for Tropicana and dairy but do you have to put something special ly for your sports drinks or you are fully equipped ?
Ravi Jaipuria: No, the same plant can make sports drink also.
Sanjaya Satapathy: But the bottling is different ?
Ravi Jaipuria: Now we can make the sports drink in our existing bottling plants.
Sanjaya Satapathy: Just the last thing that I wanted to ask is that when you were saying that you will be a lot more aggressive on sport drinks , you have mentioned that you have changed

some pricing but has it got something to do with the fact that the plain vanilla beverages are now seeing new entrant and the best way to really keep doing better is to have these differentiated products?

Ravi Jaipuria: We believe o ur basic product range will keep growing but we must keep on adding something to show you guys all good growth. So, unless we keep on adding some new things how we will grow faster than the marke t.

Sanjaya Satapathy: And if you can just highlight that this Rs. 1,500 crore Capex that you're talking about ; is it cash out go?

Ravi Jaipuria: It's all cash out go.

Moderator: We have our next question from the line of Pritesh Chheda from Lucky Investment Managers.

Pritesh Chheda: We mention that the C apex is Rs.1,500 crore ? And if it is so then have, we change d our policy where the C apex will be more than depreciation now here onwards ? My second question is for the movement in EBITDA per case which we have seen in the last four-five quarters from the 30 s or 32 to about 35 -36 today. Lot of it seems to have come f rom operating leverage. So, are we at the situation where the assets are fully utilized, and this is the upper end of the EBITDA per case ?

Raj Gandhi: Firstly, on the depreciation , the policy remains the same, but it must be read in totality . For getting a growth of low double digit 10% to 12%, the policy of capex equal to depreciation remains the same and that's very sacrosanct. Now say instead of 12% , if we have organic growth expectation of 24%, then the capex must be equal to 2 years ' depreciation. This is what is happening , because we are growing , we are in the investment phase as of now . The earlier policy still stays the same .
Secondly, o n EBITDA per case , the percentage stays the same and the economies of scale start playing . The realization goes up due to change in mix and on account of higher revenue from smaller packs , the absolute margin is higher . The realization is higher so naturally they will contribute more towards profit margins . We always

had been telling that water rea lization is about one-third of the CSD , so, if CSD mix increases by 1%, the revenue increases by 3x. So, when we divide this by the number of cases , it's bound to give a much higher per case realization and if EBITDA percentage is applied to enhanced revenue, the profit kitty also goes up. This is a brief answer to both of your questions Pritesh .

Pritesh Chheda: Just a follow up here . Incrementally this will be valid even when the mix is moving for juices , sports drink and dairy .

Raj Gandhi: The realization in those two cases is even higher , so this will continue much faster, the realization is higher than CSD also; you take it whether Gatorade , dairy or juices . If we sell th ese at Rs. 30 per serving as against Rs. 15 or Rs. 20 in case of CS D and the tax structure is favorable at 12% so definitely yes to you r question .

Moderator: We have our next question from the line of Onkar Ghugardare from Shree Investments.

Onkar Ghugardare : My question was regarding the targets which you have set , since we are growing this much from last 3 -4 years consistently. Just wanted to know your targets in terms of ROE and ROC E for the next couple of years ?

Raj Gandhi: Our ROC E so far has been growing in range of 200 to 250 bps every year and now we have reached a level around touching 30% R OCE in CY22 . So, our guidance is 100 to 125 bps increase going forward ; we still have a scope to improve for another couple of years.

Onkar Ghugardare : So, 100 to 125 bps every year you are saying , right?

Raj Gandhi: Every year for a few more years and then we'll keep on reviewing this target going forward.

Onkar Ghugardare : So, you are expecting around say 34 %-35% kind of ROC E in next 3 -4 years , right?

Raj Gandhi: It is possible , we are saying this as out of our six territories , two -three are already doing even higher than 3 5% ROCE . Therefore, we feel it's achievable but how much we can achieve , how much turns into reality ; we will wait and watch that at appropriate time.

Onkar Ghugardare : So, in terms of distribution reach, you have said that you have 2 ,400 distributors . Is there any target in mind for say next couple of years again just like the ROC E?

Raj Gandhi: See with the more visi-cooler , more spreading and going deeper into the market and urbanization ; this will keep on growing with the economy.

Onkar Ghugardare : Yes, but internally you must have set some target that we want to reach at this particular point ?

Ravi Jaipuria: As we are looking at increasing 10% to 12% of the outlet base so we must keep on increasing our distribution in parallel .

Onkar Ghugardare : So around 10 %-12% growth you are expecting on the distribution front as well , every

year?
Ravi Jaipuria: Mostly yes.

Onkar Ghugardare: If I can ask one question you have said that dairy , sports drinks and other juices segment I mean all these products commands same margins as of the base category ?
Ravi Jaipuria: That's right , if not better.
Onkar Ghugardare : And what are your plans in terms of debt for say next couple of years as you will be expanding more and more and you have been expanding?
Ravi Jaipuria: It depends on growth levels . last year we have grown more than 40%. For t his type of growth , we have to expand . If our growth comes down to what we've been saying in double digits , which is 10 %-12%, then we don't need to expand and then we don't need debt. And it will depend on where we are and how we grow.
Raj Gandhi: See our debt-to-EBITDA is 1 or a small fraction of more than 1, 1.1 or so. So basically, if in any year if we are not expanding, it's equal to ~ 1-year's EBITDA.
Onkar Ghugardare : Another question is I wanted to know is the size of opportunity in all the business you are doing and another thing is that what kind of more products you can launch in these segments , all the segments you are catering to?
Ravi Jaipuria: We believe we have enough products and there's enough room to grow in these products for the time being as we keep on growing and expanding. Once we start getting saturated, we will look at more product s.
Onkar Ghugardare: And any more products from Pepsi's front?
Ravi Jaipuria: Yes, it will be mostly from Pepsi Co's front. Only the dairy is our own product.
Onkar Ghugardare: So, like for example , just to take the example of main business of Pepsi , how m any products are there and how many products are currently available here?
Ravi Jaipuria: There are hundreds of products . There's no end to it, their portfolio is in hundreds of products .
Onkar Ghugardare: But all the products are not available here so tha t's what I am asking , how?
Ravi Jaipuria: It depends on what suits this market we can keep picking from their portfolio. There's nothing which stops us

.
Moderator: We have our next question from the line of Grenesh Sirwani an Individual Investor.
Grenesh Sirwani : How are you going to compete with the competition in the category of energy drinks , compare and now seeing that Thumbs Up has come up with their charge d drink which also cost the same pricing ?
Ravi Jaipuria: They were always there so it's not that they have come up with something new this year. They have been there after we launched Sting, they launched their product maybe a year or 2 years later, so they have been in the market. So, they have their share and we will have our share. The market is large enough .
Grenesh Sirwani : They must have been gaining , their customer base for them has been gaining rapidly ?

Ravi Jaipuria: They may be gaining and we are also gaining . Energy drink is a big market so there is scope for both of us to gain.
Grenesh Sirwani : Could you please share some light on how the snacks sector performance in Morocco is going on considering you started the distribution this year?
Ravi Jaipuria: Well, it's too early because we have just started towards the end of January early February and then Ramzan had come in March and April . We are confident that it will do well but it's still too early.
Moderator: We have our next question from the line of Nikunj Gala from Sundaram AMC.
Nikunj Gala : My question is on the dairy product. So, w hat were the volume contribution in CY22 for us from the dai ry products?
Ravi Jaipuria: It's still small because only one plant is servicing the whole countr y. It is maybe 3-4 million cases.
Nikunj Gala : And in case of aggression here in terms of expansion, how the procurement we have tied up with anyone or farmers or how are we looking here in case of the?
Ravi Jaipuria: Availability of milk is not a problem because we are not fighting for pennies here. Our product is not plain milk . Ours is a value-added product so even if we get milk Rs. 1 more expensive , it really doesn't impact the overall portfolio. So, we have no shortage of getting the raw milk .
Moderator: We have our next question from the line of Mitul Shah from Reliance Securities.
Mitul Shah : I have a question on this media reports on sugar availability , as sugar production this time very low and prices are also lower. So, any direct -indirect impact in terms of procurement as well as on the gross margin side ?
Ravi Jaipuria: There is enough sugar in this country so maybe they will export less this year. Otherwise, the sugar production is much higher than the consumption in the country

so there is no problem or any shortage. So maybe you know as a commodity it can
go up by couple of per cent or come down so that much effect it will have.
Mitul Shah : Similarly, second question on the P ET bottle. Compared to p rice trend during the last
quarter , what is it during April and May trend ?
Ravi Jaipuria: Similar, very little difference.
Raj Gandhi : In fact, in both the commodities , sugar and PET, in the last two-three quarters the
prices have remained broadly the same .
Ravi Jaipuria: Not any major difference , minor tweaking it keeps happening.
Mitul Shah : Lastly on any update on this recycling which we were planning?
Ravi Jaipuria: We are in the process ; we are finalizing land and hopefully we are targeting that we
should be in production by 2025.

Mitul Shah : But any permission and approval which we were seeking is we already received or
still it's under process?
Ravi Jaipuria: It's a national policy which has to be framed. So right now, they are not allowing
recycled PET for food grade . It can be exported or recycle d but cannot use it for food
grade.
Moderator: We have our next question from the line of Saket Mehrotra from Tusk Investment.
Saket Mehrotra : Any color on the snack portfolio that we have got for the India portfolio? You
mentioned abo

ut Morocco but the Puffcorn contract manufacturing and any
developments or upda tes you expect for this year ?
Ravi Jaipuria: We are doing co -packing for Pepsi Co and we are practically getting complete
utilization of our plant but nothing beyond that. Marketing and selling is Pepsi Co’s
call. We are just producing for them.
Saket Mehrotra : The other question I had you know you mentioned about Gatorade scale up. So just
wanted to get a n understanding as to what in terms of our strategy is here with this
product because it's been around in our portfolio for quite some time so ?
Ravi Jaipuria: It was a niche product in our portfolio and it was only for certain exclusive locations .
Now we want to mass market it and make it available at much more number of outlets
which we plan to do from early next year.
Moderator: Thank you. Ladies and gentlemen that was the last question for today. I now hand
the conference over to the management for closing comments.
Raj Gandhi: I hope we have been able to answer all your questions satisfactorily . Should you
need any further clarifications or would l ike to know more about the Company , please
feel free to contact our Investor Relations team. Thank you once again for your
interest and support . Look forward to interacting with you all soon.

Call: Aug 2023

August 10, 2023

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: VBL BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 540180

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of Investors & Analysts Conference Call

Dear Sir / Madam,

Transcript of Investors & Analysts Conference Call held on August 3, 2023 i.e. post declaration of Unaudited Financial Results of the Company for the Quarter and Half Year ended June 30, 2023 is enclosed.

The same is also being uploaded on website of the Company at www.varunbeverages.com .

You are requested to take the above on record.

Yours faithfully,
For Varun Beverages Limited

Ravi Batra
Chief Risk Officer & Group Company Secretary

Encl.: As above

Varun Beverages Limited
Q2 & H1 CY2023 Earning Conference Call
August 03, 2023

Moderator : Ladies and gentlemen, good day, and welcome to Varun Beverages Limited - Earning Conference Call.
As a reminder , all participants' lines will b e in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Anoop Poojari from CDR India. Thank yo u.
Anoop Poojari : Good afternoon, everyone and thank you for joining us on Varun Beverages - Q2 CY2023 earnings conference call.
We have with us Mr. Ravi Jaipuria – Chairman of the Company , Mr. Varun Jaipuria – Executive Vice Chairman and Whole-time Director , and Mr. Raj Gan dhi – Grou p CFO and Whole-time Director of the Company .
We will initiate the call with opening remarks from the management, following which we'll have the forum open for a question -and-answer session. Before we begin, I would like to point out that some statements made in today's call may be forward - looking in nature and a disclaimer to this effect has been included in the results

presentation shared with you earlier.
I would now like to invite Mr. Ravi Jaipuria to make his opening rema rks.
Ravi Jaipuria : Good afternoon, everyone and thank you for joining us on our earning conference call. I hope all of you had the opportunity to go through our results presentation that provides details of our operational and financial performance for the second quarter and full year ended June 30, 2023.
We have delivered a resilient performance in the quarter despite facing a soft demand environment in India due to abnormally high unseasonal rain throughout the quarter. Our consolidated revenue grew b y 13.3% during the quarter, with our international territory showing strong momentum. Furthermore, sales volume growth and improvement in realization per case contributed to 20.8 % and 25. 3% improvement in our EBITDA and PAT performance during Q2, respectiv ely.
Our newly established greenfield plants and brownfield manufacturing lines have become operational in line with our commitment to meet the increasing demand .

Especially for our juice and value -added dairy products , we are currently in the process of establishing greenfield facilities in the states of Uttar Pradesh, Maharashtra, and Odisha. These new facilities, along with the upcoming facility in DRC, are expected to be fully operational before the next season. Furthe r, we have incorporated a new subsidiary in South Africa to explore the business of manufacturing and distribution of beverages.
We remain firmly committed to minimizing our environmental impact and promoting a greener, more sustainable future . In line wi th our sustainability mission , we are pleased to share that we have recently introduced 100% recycled PET bottles for Pepsi Black in certain sub -territories . As a partner of PepsiCo, we take immense pride in actively participating in the transformative initiative and collaborating to build a greener future for generations to come. Moreover, we are delighted to share that VBL has recently received esteemed recognition of “PepsiCo's International Bottler of the Year 2022 ”. This outstanding accomplishment further validates VBL's commitment to operational excellence, strong governance principles , and sustainability endeavors. We are pleased to share that in line with our dividend policy, the Board of Directors has approved an intrinsic dividend @ 25% of the face value, Rs. 1.25 per share.
While we witnessed slower than anticipated demand due to unseasonal r ains, we remain optimistic about our full-year performance, especially considering the low seasonality in our business following the integration of west an d south territories. As we move forward, we will continue to capitalize on our position as a key player in the beverage industry and focus on strengthening our capabilities in line with customer performance. We are confident this approach will translate in to sustainable value for all stakeholders.
I would now invite Mr. Gandhi to provide the highlights of the operational and financial performance.
Raj Gandhi: Thank you, Mr. Chairman. Good afternoon and a warm welcome to everyone joining us today. Let me provide an overview of the financial performance for the second quarter and half year ended June 30, 2023.
Revenue from operations adjusted for excise/GST grew up 13.3% year-on-year in Q2 CY2023 to Rs. 56,114 million . Sales volume grew by 4.6% to 314 million cases in Q2 CY2023 from 300 million cases in Q2 CY2022, driven by growth in international market s. Sales volume in India got affected due to abnormally high unseasonal rains throughout the quarter.
CSD constituted 73.9% , Juice based drinks 7.3% and package d drinking water 18.8% of total sales volume in Q2 CY2023. In the Q2 CY2023 , there was a notable improvement in net realization per case which increased by 8.3% to reach Rs. 179 per case . This improvement can be attributed to the continued increase in the proportion of smaller SKUs such as 250 ml in our portfolio compared to the corresponding quarter last year.
Our gro ss margins during the quarter improved by 196 basis points to 52.5% from 50.5%, mainly due to the softening of PET chip prices . As a result of higher gross margins and operational efficiencies , EBITDA also saw a notable increase of 20.8% to Rs. 15,110 million with EBITDA margin improving by 169 basis points to the level of 26.9% in Q2 CY2023 .

Depreciation increased by 12.3% and finance cost increased by 49.5% in Q2 CY2023 on account of capitalization of assets and setting up of new production facilitie s. PAT increased by 25.4% to Rs.10,054 million in Q2 CY2023 from Rs. 8,020 million in Q2 CY2022, driven by growth in revenue from operations and improvement

in mar gin.
As of June 3 0th, 2023, our net debt to Rs . 31,716 million showing a decrease from Rs. 34,096 million reported in December 31, 20 22.
It's worth noting that the net debt figure includes approximate

ly R s. 9,000 million for CWIP and Capital Advances allocated for the C APEX planned in Maharashtra, Uttar Pradesh, and Odis ha for the CY2024 season . These investments are expected to drive our growth and expansion in key re gions.
Our financial leverage remains solid and a debt-equity and debt EBITDA ratio stands at 0.48x and 0.96x respectively as of June 30th, 2023 .
In H1 CY2023, the net CAPEX amounted to ~Rs. 19,000 million primarily for setting up new greenfield production facilities at Bund i, Kota, (Rajasthan), and Jabalpur , (MP) for approximately Rs. 8,500 million brownfield expansion at our six existing facilities in India for approximately R s. 6,500 million and brownfield expansion in international markets of approximately Rs. 3,000 million and approximately Rs. 100 million towards land purchase for C APEX in future years.
The net C APEX includes capitalization of CWIP a nd Capital Advances amounting to Rs. 12,000 million which was outstanding as of December 2022. As of June 30th 2023, the CW IP and Capital Advances of Rs. 9,000 million are towards business expansion as stated in Maharashtra, UP, and Odish a. Working capital days increased to ~21 days as on 3 0th June 2023 from ~17 days as on June 30th 2022 due to untimely rain s.
Overall, we are committed to maintaining a strong financial position and continuing to focus on our growth initiatives. At the same ti me, we are dedicated to optimizing our operational efficiencies, which we believe will ensure long-term sustainability and create value for our stakeholders.
On that note, I come to an end of the opening remarks and would like to now ask the moderator to open the forum for any questions or suggestions that you may have.
Thank you.
Moderator: The first question is from the line of Vivek M from Jefferies.
Vivek M: First on international business, can you just highlight how different businesses have grown in this quarter?
Raj Gandhi : Internationally the growth is good in all our territories, like in the past . Luckily, they were not affected by the unseasonal rain s. Anything specific you want to know, we can tell you, but otherwise , the progress is similar as in the past.
Vivek M: So, let's say the 27% volume growth is these geographies, let's say Morocco or others which have grown way faster than the others. Can you just highlight that piece?
Ravi Jaipuria: Our bigger territories, which are Morocco and Zimbabwe have grown faster.

Vivek M: And on South Africa, can you just elaborate on the next steps?
Ravi Jaipuria: South Africa, we have just formed a Company there. We are looking at what are the possibilities . I think it's a bit too early t o say what is going to happen, but we are evaluating and seeing if this is a market , we would like to go in.
Vivek M: The other bit is on the CAPEX. Mr. Gandhi, what will be the second half or full year CAPEX number that we should work with?
Raj Gandhi: Basically, our endeavor will be that out of the three plants , which we have initiated for next season, at least one plant gets complete d by December itself. Because in a normalized year when rains do not affect , we would not like to be in a situation where we are struggling for capacity . Moreover, there are certain products like T ropicana or milk-based value added dairy beverages , which are still to be launch ed in rest of India . So, we would like at least one out of the three plant s to be operational in December. We have already completed capex for CY23 season which is ~ Rs. 1900 million . For the next year , we have already spent ~ Rs. 900 crore and we may spend 500-700 crore more in CY23 itself. T he total capitalization for CY24 should be ~ Rs. 2,400-2,500 crore .
Vivek M: So, just to get it right, so let's say the first half you have done just under Rs. 1,800 crore. You are saying the second -half cash outflow on C APEX will be

about Rs. 500-600 crore f rom a cash flow perspective .
Raj Gandhi: Maybe ~ Rs.800-900 crore.
Vivek M: Where do you think Mr. Gandhi, where the peak debt settles at ?
Raj Gandhi: In fact, the debts in the H 1 have come down and may come back closer to the last year's debt by year end. W ith this we will have four incremental plants with us , three in India and one in DRC. So, basically, you see on an overall basis, all these four

plants will be funded out of internal a ccruals.
Vivek M: So, what you're saying essentially let's say Rs. 3,600-3,700 crore is where the debt will peak at?
Raj Gandhi: Should be around that .
Vivek M: And the next one is on energy drinks. How was the quarter for energy drinks in Q2?
Raj Gandhi: Well, Vivek, as stated in the earlier calls, the exact numbers we will not b e giving but trend -wise, the journey is continuing.
Vivek M: And lastly on the standalone business, if I look at there is no real operating leverage this time around, despite which let's say the margins are at about 28% or so and we have seen the past whe re we have done let's say 28 .5%. So, had it not been for this poor volume growth , the margins could have been far better, probably let's say 30% ballpark. Is that a fair assessment?
Raj Gandhi: In EBITDA , there is a positive shift of 169 basis points at a consolidated level , this progress is primarily attributed to the reduction in commodity prices, particularly in PET, and the operating leverage during this quarter. If this upward trend had continued, as you rightly pointed out, potentially by an add itional half a percentage point or its equivalent, we could have observed further enhancement .

Vivek M: What I was referring to was, let's say the standalone number. So , because your revenue growth is 7%, there is a gross margin expansion, for sure, but th e growth has been somewhat lower than what I'm sure you would have been eyeing.
Ravi Jaipuria: You are correct. If the growth had been usual and the season had unfolded normally, we would have enjoyed a considerably improved margin. However, such outcomes cannot be precisely planned, and it's important to note that we do not assert this as a consistent long -term scenario. Our EBITDA margin guidance has consistently been in the range of 21% -22%, and we maintain that stance. Nevertheless, it's evident that a favorable season coupled with improved commodity prices can lead to a blip in margins .
Vivek M: If I can just follow up on that ? That's exa ctly my point. So , if I extrapolate seasonality and full year number, your guidance is, I get a sense if we look at what your growth targets are , etc., the margins can be higher than what your guidance is .
Ravi Jaipuria: You're not missing anything. It's just that we don't like to give guidance better than that. If we have a good season and this Q2 is our biggest quarter, this margin will always be higher in this . On an annualized basis, 21 %-22% EBITDA margin is reasonably high and that's what we'd like to say. Beyond that, we don't like to say . If we get a good commodity advantage or something better happens or a special season comes, we can do better .
Moderator: The next question is from the line of Percy Panthaki from IIFL.
Percy Panthaki: On Zim babwe , now, for many years we have seen very robust, healthy growth in this market. So , can you help us understand that market a little bit in terms of what is industry growth? Who are the main players there and if you are growing faster than the industry who is really sort of growing at a slower pace to balance the equation out some f lavor on that ?
Ravi Jaipuria: Well, we think Percy, it's very difficult to understand that country given the high inflation and currency volatility . But it's a great country. We are seeing huge growth, very positive, and obviously , our main competition is the Red and we are gr

owing
faster in the market .
Percy Panthaki: But like anything that you are doing there which you would attribute your success to, I'm sure that you are gaining market share and you would have probably crossed the 50% kind of mark by now. So , is it that the other players are not very focused on that geography or something like that or are we doing something right which we can replicate in the other geographies maybe because we are not getting the same kind of market share gain in the other geographies also?
Ravi Jaipuria: We don't want to say they are not focused. We think , we are more focused.
Percy Panthaki: Just wanted to understand the CAPEX part, in the last call we had mentioned that on a full-year basis the CAPEX would be about Rs.1,500 crore and now that number is sort of going up by more than Rs.1,000 crore. It seems to be like on a cash flow basis the CAPEX will be more than Rs. 2,500 crore. So , what has really changed in this one quarter period for such a big difference?
Raj Gandhi: Percy , when we compare the numbers apples to apples, the Rs. 1,500 crore figure becomes Rs. 1,900 crore. The Rs. 2, 500 cr ore figure we discussed pertains to the 2024 season. So, for this current year, the number is Rs. 1,900 crore. There's a

difference of Rs. 400 crore due to the slightly higher capex in international subsidiaries and the land purchased in India for future p rojects .

Percy Panthaki: So, is this just a preponement of CAPEX that you would have planned over CY23 plus CY24 or is it that the total CAPEX of CY23 plus CY24 also will go up and not just this year's CAPEX ?
Ravi Jaipuria: Every year there will be a CAPEX . What we are saying is we had said about Rs. 1,500 cro re for CY20 23 and Rs. 400 crore additional has happened which we just explained . Next year's CAPEX will be there again .
Percy Panthaki: And versus that Rs. 1,900 it seems more like this year will be Rs. 2,500-2,600 crore . So, that difference of about Rs. 500 to 600 crore what is the reason for that?
Raj Gandhi: That will not be capitalized in this year. Next year capex will be sitting in the balance sheet as CWIP. W hen we were reconciling the debt figures, that mention comes because out of 2024 CAPEX a part of which will be spent ahead of time.
Percy Panthaki: But this Rs. 1,500-crore number that you had given last quarter was also on a cash flow basis only or was it on a balance sheet basis?
Raj Gandhi: That was on a capitalization basis.
Moderator: The next question is from the line of N ihal J ham from N uvama.
Nihal Jham: If you could give me the India volume first if that is possible.
Ravi Jaipuria: This quarter the India's volume growth has been very small.
Nihal Jham: The other thing was if I just look at versus the juices segment I see in a contraction , any specific reason for that happening?
Ravi Jaipuria: The primary reason is that our juice pla nt is located in the North, which primarily caters to the Northern region with Tropicana and dairy products. Due to heavy rains in the North, there was a decrease in demand. Ordinarily, we do not transport products from this plant to the south and west due to the high freight costs. This is precisely why we are establishing plants in Maharashtra and in the Eastern region, specifically in Gorakhpur. The excessive rainfall experienced in the North this year was an abnormal occurrence.
Nihal Jham: The next que stion was to the earlier questions on margins. We are currently having a flavor of how the raw material prices are playing out and historically we have increased our discounts to distributors ideally to drive volumes when margins have gone up. So, is that also a thought in the coming quarters that we want to say normalize the discounts, which were maybe taken down last year , and maybe that is one of the reasons we don't want to change our margin guidance too much.
Raj Gan

dhi: Discounts keep on gett ing adjusted. These are through marketing spend s and schemes. Their commission structure doesn't change but over and above that there are a lot of incentives and those are performance based. If the volume goes up , they earn more incentives therefore more c ommission for them and if the volumes don't go up, they don't earn those extra incentives. Apart from the Company they have also co -invested with us in vehicles and other things. So , we are much better

equipped through the distributor's infrastructure to f ace the next round of growth , maybe in the next quarters this year or in the next year.
Nihal Jham: Just one last question if I may. Given the way we've obviously turned around a lot of the territories and if I look at some of the awards that you've received, we do rank among the top bottlers from Pepsi's perspective. Now, where my question is coming from is that today while we found a subsidiary in South Africa and currently it is still a discussion that is currently happening. Are there other intern ational geographies that we will simultaneously look at entering or it will mainly be that maybe right now we'll see how this discussion goes. Focus on maybe South Africa and Congo for the next few years and then look at whether we incrementally want to go ahead and move into other international territories, or it is as and when the opportunity comes, we look at taking them on.
Ravi Jaipuria: We are constantly discussing this with Pepsi . In India , we have already taken most of the territory and there's ver y little to grow in this except organically. So , any market which looks good, which is good for us, and Pepsi is willing to work with us on that, we are looking forward to it and expanding our territory.
Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.
Devanshu Bansal: June quarter was obviously impacted, just wanted to check how is the situation now as there are still evidence of disruption from this part.
Ravi Jaipuria: Even in the disruptive quarter we have done well, so we are sure we'll do well again.
Devanshu Bansal: Second, we have been successful in bringing Gatorade to a very accessible price point of R s. 20. So, firstly I wanted to check how difficult it is for the competition to bring this offering at thi s price point. And second if you could share the trends for our new growth drivers Gato rade, dairy and juices.
Ravi Jaipuria: So, our key growth drivers are energy drink and our juice product, which include Nimb ooz, Tropicana, our value added dairy beverages , and Gat orade . So, these are

the new products and our sugar -free drinks which are doing extremely well, which is
7Up and Pepsi Black. So , I think there are a lot of new categories which we are doing
and doing extremely well and that's why we've b een able to sustain in a bad quarter
like this.
Devanshu Bansal: And from a distribution footprint perspective, all these new growth drivers, to what
extent of our network are they currently available and what is the plan going ahead
in terms of expansion ?
Ravi Jaipuria: Dairy beverages are not available apart from North dairy and Tropicana is also more
focused in the North right now because of our capa city being only in north which is
going to change f rom next year's season. We'll have complete capacities available
for West and South as well as East. So , there we see a major expansion for our non-
carbonated beverages portfolio .
Devanshu Bansal: Lastly, just to understand this CAPEX bit better. So , in H1 we have done 1 ,900 crore
which includes the CWIP that was created of about 1 ,200 crore . So, cash flow
perspective it was about 700 crore in H1 one and then we have created another 900
crore of CWIP which amounts total 1 ,600 crore of CAPEX . But the amount th at you
are indicating is about 1 ,900 crore. For what purpose i

s this additional 300 crore that
is going to be used?

Raj Gandhi: The breakdown of this has already been provided: Rs. 1,900 crore in total. Among
these , Rs. 850 crore is allocated for the Rajasthan and Jabalpur plants, as detailed
on slide 15. The brownfield expansion accounts for Rs. 650 crore, while Rs. 300
crore pertains to international subsidiaries. Additionally, Rs. 100 crore has been
allocated for prepayment of lands intended for future plant constructions , because
the acquisition of land takes a lot of time
Devanshu Bansal: I get that. I'm on that sheet itself. I wanted to understand the cash outgo for CY2023,
so these mentions that in H1 we have done a CAPEX of Rs. 1,900 crore of which
the cash outgo of 1,200 crore has already been done in CY2022. So, the actual cash
outgo is Rs.700 crore in H1 and then we have additionally created the CWIP of
Rs.900 crore . So, the total is Rs.1,600 crore but the number that we are giving is
about Rs.1,900 crore . So, just wanted to in the second half what is this additional
Rs. 300 crore
Raj Gandhi: CAPEX is defined on both capitalization basis as well as on the cash flow basis .
Capitalization in H1 CY23 is Rs.1,900 crore and the cash outflow in H1 is Rs.1,600
crore .
Devanshu Bansal: These working capital days have increased to about 21 days. So , what is this , is this
largely raw material or finished goods ?
Ravi Jaipuria: It is partly both , finished as well as raw material because the season was not as
planned and normally, we get rid of our goods by the end of June, this time we had
to take it to July.
Moderator: The next question is from the line of Vatsal Dujari from CLSA.
Vatsal Dujari : My question is on the line of distribution reach , what is the progress in terms of
number of outlets and Visi-Cooler infrastructure?
Raj Gandhi: We revise our presentation at year-end. The most recent number provided is
925,000 + for visi-coolers . We perform an annual update on this figure at the close of
each year. Concerning the distributors network, we are reaching out to approximately
3.3 million retail outlets .
Vatsal Dujari: And in terms of the South Africa expansion, could you give us some sense of the
size of the opportunity there in terms of how does it stack up versus the other
international geographies you are currently present in ?
Ravi Jaipuria : For now, we would only like to say that we are looking at the market and it's a bit too
early. As soon as we have something concrete, we will get back to you.
Raj Gandhi: Otherwise , the industry size is approximately 50% of carved out share between us
and our key competitor in India .
Moderator: The next question is from the line of Omkar Ghongade from Sri Investment s.
Omkar Ghongade: My question was regarding once the entire CAPEX is done and all the new facilities
are commenced, what kind of total revenue potential it can generate ?
Raj Gandhi: With these new plants coming up, the thumb rule is whatever CAPEX we do , we can
do revenue equivalent to ~1.8x – 2x of that once the plants are stabilized. So , if we
do Rs. 2,900 cr capex , we can expect Rs. 5,500 or 5 ,800 cr revenue .

Omkar Ghongade: Around 2x asset t urn you are expecting on this.
Raj Gandhi: That's right. The thumb rule is 1.8 -1.9 times.
Omkar Ghongade: And a rough figure of how many million cases that would be servicing.
Raj Gandhi: Last year we did about 800 m n cases . This year in H1, we had 11% growth and if

we are able to maintain same , we will reach around 900 mn cases .

Ravi Jaipuria: The c apability is much more, but of course depends on the season and how it works because this quarter was very subdued. That's why it's not showing in the numbers. But otherwise , the capabil ity of production is much higher than this.

Omkar Ghongade: So, that's what I'm asking. With the full capacity , how much is revenue potential?

Ravi Jaipuria: We won't be able to give you exact numbers. But we can produce reasonably high double -digit numbers .

Omkar Ghongade: With the expanded facilities, right?

Ravi Jaipuria: Absolutely.

Omkar Ghongade: Another question is on the product categories. If we look at the international markets where Pepsi Wild Cherry, Pepsi Mango, Pepsi without caffeine, these products are available. How do you decide to bring a new product to Indian markets or other markets?

Ravi Jaipuria: That depends. We work with Pepsi, and we bring products one by one what we think are going to work and the market is tested and after that we choose one product at a time because it must be marketed, it must be distributed. So , there are thousands of products available in the international market. It depends on what suits the Indian palette.

Omkar Ghongade: But any deciding fac tor on that? How do you choose it or what stops us from doing it?

Ravi Jaipuria: We test the products in smaller market s, see the feedback from the people before we put it across all markets. So , test markets are done and then after getting feedback from the reasonable quantum, then we decide what product will work in this market.

Omkar Ghongade: So, let's say out of 100% how many percent is currently available?

Ravi Jaipuria: There are hundreds of products. Every mark et has different products . Apart from the key product, which is Pepsi, Mir inda, 7-Up, and Mountain Dew, those are your basic key products. Otherwise, there are thousands of variants . Pepsi itself might have many variants.

Omkar Ghongade: So, as far as India is concerned, you would say that you have just scratched the surface. You can say that.

Ravi Jaipuria: You can say that.

Omkar Ghongade: Just wanted to know what's the progress on the dairy products, and what kind of growth you will be lo oking at there . As you said that it would be the next category that would lead to growth for the Company .

Ravi Jaipuria: It would be one of the categories that would bring growth because we are setting up new capacity , and it will be available in the West and South as well as East. But we are doing the same for some other categories also. So, production -wise next year we will have no shortfall like we ha d in 2022.

Omkar Ghongade: Any ballpark figure which you can give about the growth in the internatio nal markets, how much it was in volume terms ?

Ravi Jaipuria: Again, these markets have done well. We are further enhancing some capacities where it is needed, and the markets are doing well. So , all our international markets are growing and doing well. We expect the same to continue.

Omkar Ghongade: Just one final question, the earlier participants have already asked about South African things , but just wanted to know what made you form the Company in South Africa then .

Ravi Jaipuria: South Africa looks l ike another big market after India. So , we are looking at it very seriously. But till we have something planned we can't tell you.

Omkar Ghongade : As Mr. Gandhi said, it's 50% bigger than India, right?

Ravi Jaipuria: No. We said it is approx. 50% of carved out share between us and our key competitor in India. It is not bigger than India but it's a large market and per cap consumption is much higher than India.

Omkar Ghongade: But what could be the size of the market if you compare with India?

Ravi Jaipuria: It is more than a billion -case market, so it's a large market.

Moderator: The next question is from the line of Satadru Chakraborty from Chakraborty Family Office.

Satadru Chakraborty: I first want to start with the bookkeeping question. What I see in the balance sheet, both for the consolidated and the standalone results, is that the trade receivables have almost doubled. I was curious what color you could paint around this. And is this happening because of international operations? Is this jus t the seasonality effect or am I putting emphasis on something which is not really a thing for you?

Raj Gandhi : Please note you are comparing Jun’23 receivables with Dec’22 receivables and as you rightly mentioned there is some effect of seasonality between these two period s. Also, looks like in the international market, the currency play may also be one of the reasons because international markets have performed well in this quarter. If you need more details, we can get back to you.
Satadru Chakrabor ty: The second question is, I think, a continuation of the question the previous participant asked. So, I'm more interested in the dairy based beverages field. I mean, you guys spoke on the manufacturing side, so that is good to hear. I was just curious on the physical distribution of this because I imagine that the life cycle for dairy based products is much shorter than carbonated drinks. And I also know that the competitive intensity specifically for dairy waste beverages are already high. So,

what can y ou add to us around how your physical distribution model is and what do you see in the competition in the market going forward?
Ravi Jaipuria : Firstly, shelf -life is the same. Dairy -based products have rather longer shelf life than soft drinks. Our dairy -based products have six months shelf life, and there is no carbonation so there is no dilution of gas also. So shelf life is longer than soft drinks. Secondly, our distribution is the same as what we do, same trucks, the same distributors, and some people carry the product. And we have close to a million visi coolers, which are very easily accessible, and our dairy products go in that which nobody else in the dairy industry has. So, that's our biggest strength and that's what makes it easy for us to p ut our products on the market.
Satadru Chakraborty: So, you're saying the physical infrastructure for supply chain distribution is the same ? There is no additional modification.
Ravi Jaipuria : There's no change at all.
Satadru Chakraborty: And the last question on this one is anything you can add on in terms of volume growth and realization specifically for this dairy -based product?
Ravi Jaipuria : Realization is higher. And what else did you want to know?
Satadru Chakraborty: Volume growth.
Ravi Jaipuria : We've already told you , we don't have capacity. Now we are tripling our capacity. So, we expect a good run next year.
Satadru Chakraborty: And how high is the realization ? Are we speaking like 20 -25, 50%?
Ravi Jaipuria : About 15% to 20% high er.
Moderator : The next question is from the line of Sanjay a Satapathy from Ampersand Capital.
Sanjaya Satapathy : A couple of questions. The first one is that the slower growth that we saw in quarter one is essentially because of the weather. But your comm entary suggests that the weather is not particularly a factor for the rest of the year. So, should one assume that your double -digit growth will come back from quarter two?
Ravi Jaipuria : Well, we can't say. W e have done well in most of the territories whe re the weather was not affected. So, hopefully, we see no reason why not, if the weather does not play spoil sport .
Sanjaya Satapathy : My second question is that you have taken so many steps to push better growth in Gatorade. Can you just give us some sense of how things are there and what are the outlook?
Ravi Jaipuria : We are looking very positively for Gatorade, but we think the real push will come from next year. This year we are just getting our product s right and we have reduced the price , so now it's a product which a common man can afford, which was mainly for the niche before. So, w e expect huge growth in it. But you will really see the traction next year .
Sanjaya Satapathy : What is more to do so that the traction will be there next year.

Ravi J aipuria : We must plan. This is not produced in every unit of ours. There are specific units which only produce it and our capacities and our mo ulds, everything must be redone.
Sanjaya Satapathy : My question is that you are getting into not only you are expanding capacity in these two juices and dairy products, but you are also getting new territories. So, what will be your strategy to kind of gain market share ?
Ravi Jaipuria : We are not getting any new territories in India . Indian territory is the same. There's no expansion in Indian territory .
Sanjaya Satapathy : States , you are not present in those states.
Ravi Jaipuria : Except these products are being added because we didn't have manufacturing capability to go there , we are not entering new States . We are just going to add these products in the existing territories where we are already in the distribution. We have the whole set up. We just have to add these products.
Sanjaya Satapathy : And no need for any branding or anything there.
Ravi Jaipuria : Of cou rse, there is need for branding and that we will do , that's part of the launch .

Whatever we are doing, branding will be there. There is already branding going on for this. Advertisements have started. It will be much more focused because we'll have capacity.
Sanjaya Satapathy : And that is coming by March next year.
Ravi Jaipuria : Next year .
Sanjaya Satapathy : It will be coming by March or a little earlier than that.
Ravi Jaipuria : Maybe a little earlier.
Moderator: The next question is from the line of Rakesh Roy from Omkara Capital.
Rakesh Roy : Sir, my first question is regarding a few years back you said you are not looking to expand your business in Africa but currently you are expanding your business in South Afr ica. Any reason, any change in strategy ?
Ravi Jaipuria : When did we say w e are not expanding our business in Africa. We have never said that.
Rakesh Roy : I think two years back you were saying not looking to expand your business in Africa , only we are looking to Zambia, Zimbabwe, and Morocco only.
Ravi Jaipuria : We have never said that. Sorry if there is some misunderstanding. Because after India and how will we inorganically expand otherwise.
Rakesh Roy : The next question regarding are we looking to expand our product portfolio in Africa also like dairy?
Ravi Jaipuria : Each country has a different market, and we must study the market and see what is practical for that category. So, we'll be expanding once we get our distribution there ,

whatever we can sell there, we will expand . We have the complete portfolio range available .
Rakesh Roy : Next question. Sir, recently PepsiCo declared their result. They increased their guidance from 8% to 10% . Sir, can we assume our second half or H2 will bett er than H1 or higher growth?
Ravi Jaipuria : During H 1, our g rowth is already 11% in India .
Rakesh Roy : H2, we are l ooking for same growth 11 %-12%?
Ravi Jaipuria : Well, we don't know, as we said, we can't control weather , otherwise there's no reason why we should not grow. If you just control the rain Gods, we will take care of the rest.
Rakesh Roy : Last question, regarding, apart from Africa, any other territory or geography we are looking at where PepsiCo is doing the work the sam e as Africa we do?
Ravi Jaipuria : Right now, we are looking for expansion in Africa only and that too, wherever we get a good territory and it makes financial s ense for us.
Moderator: The next question is from the line of Amit Purohit from Elara Capital .
Amit Purohit : Just on the international business, wanted to check, have we changed any distribution -led initiatives which is helping us to probably drive the growth even faster from here on ? What is driving this very strong growth of almost 30% in volumes? The last two quarters have been slightly lower than th

is. So, just wanted to know that.
Ravi Jaipuria : Whatever practices work for us in our key country, India, and we feel can help us in other territories, Africa, or other regions, we try and replicate that and try and do the same. So, we are always finding new innovative initiatives, even for countries in Africa which are helping us.
Amit Purohit : And would you be able to share what would say two years back, what would be our reach in those markets com pared to now? I understand that those markets are different, but still .
Ravi Jaipuria : Each country is different. It's very difficult to bifurcate between each country.
Amit Purohit : There is no seasonality much in these markets, right?
Ravi Jaipuria : There is seasonality. The only thing is it's a reverse seasonality. Their summers are November, December, and January.
Amit Purohit : And just on the India business juices part, wanted to understand would Tropicana and dairy would still be mid-single -digit of our total volumes. Is that fair right now?
Ravi Jaipuria : Yes, approximately. Maybe a little less, but very close. Juices and dairy should be 7%- 8% at least.
Amit Purohit : And in the international market right now, we are not looking to get into the ju ices part, right?

Ravi Jaipuria : We might, but right now , there's so much scope to do without that . Once we complete that, then maybe we'll look at it. Because we must also look at how much CAPEX we want to put at one time.
Moderator: The next question is from the line of Robert Lee from Cusana Capital.
Robert Lee : Just a question on South Africa. I'm interested in what particularly attracted you to

that market and exactly what the CBD kind of market structure is there. I'm aware
that has a position with Pepsi. I just wonder whether that's exclusive or whether you
have other opportunities related to Pepsi there and how the broader competitive
structure is in that market please.
Ravi Jai puria : As we said, it's a bit too early a s we're still looking at the market, talking to Pepsi Co
and our people are looking at the market. As soon as we have something planned
or something happens, then we will come back and tell you what we are doing and
when we would be doing it.
Robert Lee : Why South Africa, what's the attraction .
Ravi Jaipuria : That's the o ther large market in the southern part of Africa, we are in Zambia,
Zimbabwe, which are very close to South Africa. So, we are looking at it, but now it's
a bit too early nothing has been agreed, nothing has been finalized. So, we're still
looking at the market and the conditions as Pepsi Co market share is very weak there.
Moderator: The next question is from t he line of S umant Kumar from Motilal Oswal.
Sumant Kumar : Can you talk about any operational efficiency left post acquisition of South market s
and any benefit of operational efficiency in H 1?
Ravi Jaipuria : Absolutely there have been benefits in H1 and that's why you see that even when
the North was completely rained out, we ha ve been able to do better than last year,
maybe very slightly, and our results have been better. It's because of the South,
West and East. The North was completely washed out th is quarter , which is the peak
season for the North.
Sumant Kumar : But when we see the rainfall in some part of north side, is it still deficient , say Orissa,
some p ocket s of north , Bihar, Odisha .
Ravi Jaipuria : North is no where deficient this year. Bihar is not in North. Bihar is in East.
Moderator: The next question is from the line of Pritesh Chheda from Lucky Investment.
Pritesh Chheda : This one thing which I missed in the call I don't know if it was covered this Rs. 1900
crore CAPEX that we are doing in which large part is India so in India how many
cases capacity that we are adding and in that how much will flow to juices and water?
Ravi Jaipuria : We would not like to bifurcate it into

cases because cases is a very complicated way
of putting it as it depends what size of bottle you are making , each size has a different
capacity. So, to summarize , the only thing is we will have more than enough
capacit ies to support double digit and even further volume growth.
Pritesh Chheda : And we are constrained whatever, I'm listening to the call , we had limited capacity or
constraine d by capacity in juices and dairy, right?

Ravi Jaipuria : That's right.
Pritesh Chheda : So, these are specific capacities for juices and dairy and everything else is fungible.
Ravi Jaipuria : The soft drink lines are different and juice and dairy lines are different. So, in these
plants we are adding juice and dairy lines also along with the soft drinks lines.
Pritesh Chheda : And this Rs. 1900 cro re CAPEX , the asset turn in the CAPEX will be 2x or less than
that.
Ravi Jaipuria : This is what we look at, approximately 2x.
Moderator: The next question is from the line of Jenish Karia from Antique Stock Broking.
Jenish Karia : First question is with regards to other income, why is there a sharp increase on a Y -
o-Y basis?
Raj Gandhi : There are various components in this , like interest income, foreign exchange gain
due to currency movement in subsidiaries , the majority of which we don't have
control.
Jenish Karia : And the second question is about the recycled pet that we have started using in
some of the products in some geographies. So, two questions about that. Firstly,
what is the cost differential perspective for us? And secondly, how much of the
product portfolio going ahead we target to use recycled pet?
Ravi Jaipuria : Well, long term we are looking at least 25% of mix from recycled PET . We've just
started using it. As of now, t he cost difference is very difficult to say because it's a
very fluctu ating market. It would depend on what's the raw material and fresh price
are and depending on that, there will be a cost difference positive or negative.
Jenish Karia : So, any color with regards to the material that we had used in the quarter, with
regards to virgin pet, how much premium or discounted we paid ?
Ravi Jaipuria : That's what we're saying. We have just started using it. It's not even half a percent.
So, it's too early to say. We have just tested it out.
Moderator : The next question is from the li ne of Onkar Gandurde from Sri Investment.
Onkar Gandurde : In terms of competition with the launch of Campa Cola, what competition and what
kind of competition have you seen? What's the initial take on this?
Ravi Jaipuria : We think it's a bit too early. We must first see what they want to do. We are not aware
of exactly what they are doing, how they app roach the market . We think it's a bit too

early.
Onkar Gandurde : You have said that the seasonality factor is no longer because of south and west integration. What exactly do you mean by that ?
Ravi Jaipuria : The North seasonality is very skewed towards summer, whereas the rest of the country is not so skewed just in summer because even in the winter th e weather is not so h arsh. So, that is what we mean by seasonality.

Moderator: Thank you . Ladies and gentlemen , that was the last question for today. I would now like to hand the conference back to the management for their closing comments.
Raj Gandhi : I hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about the Company, please feel free to contact our Investor Relations team. Thank you once again for your interest a nd support. Look forward to interacting with you all soon
Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accura

cy.

Call: Nov 2023

November 10, 2023

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: VBL BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 540180

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of Investors & Analysts Conference Call

Dear Sir / Madam,

Transcript of Investors & Analysts Conference Call held on November 6 , 2023 i.e. post declaration of Unaudited Financial Results of the Company for the Quarter and Nine Months ended September 30, 2023 is enclosed.

The same is also being uploaded on website of the Company at www.varunbeverages.com .

You are requested to take the above on record.

Yours faithfully,
For Varun Beverages Lim ited

Ravi Batra
Chief Risk Officer & Group Company Secretary

Encl.: As above

Varun Beverages Limited
Q3 & 9M CY2023 Earnings C onference Call
November 06, 2023

Moderator: Ladies and gentlemen, good day and welcome to Varun Beverages Limited Earnings Conference Call .
I now hand the conference over to Mr. An oop Poojari from CDR India. Thank you and over to you.
Anoop Poojari: Thank you. Good afternoon , everyone and thank you for joining us on Varun Beverages Q3 and 9M CY2023 Earnings Conference Call . We have with us Mr. Ravi Jaipuria, Chairman of the company, Mr. Varun Ja ipuria, Executive Vice Chairman and Wholetime Director and Mr. Raj Gandhi, Group CFO and Wholetime Director of the company. We will initiate the call with opening remarks from the mana gement, following which we ’ll have the forum open for a question and answer session. Before we begin, I would like to point out that some statements made in today ’s call may be for looking in nature and a disclaimer to this effect has been included in the results presen tation shared with you earlier.
I would now like to invite Mr. Ravi Jai puria to make his opening remarks.
Ravi Jaipuria: Good afternoon , everyone and thank you for joining us on our Earnings Conference Call. I hope all of you had the opportunity to go through our results presentation that provides details of our operational and financial performance for the quarter and nine months ended 30th September 2023. We are pleased to report a robust quarter,

achievin g a top line growth of 22% and a PAT growth of 30% year on year. Demonstrating remarkable resilience, our consolidated sales volume registered a solid growth of 15%, making a strong comeback following the unseasonal rain in Q2 CY2023 in India. Both our In dia and international markets contributed to this achievement with a healthy double -digit growth.

We have achieved notable progress on the operational front by making significant /investments to develop both Greenfield and Brownfield manufacturing facilities

throughout India. In addition, our Greenfield facility in DRC is progressing well and is slated to be commissioned in the upcoming months. These strategic efforts are tailored to meet the rising consumption and to capture untapped market opportunities. As part of our commitment to diversifying and enhancing our portfolio, we are also enhancing our ca pacity for juices and value -added dairy beverages to align with evolving consumer demands.

As part of our long -term vision and in line with PepsiCo's global PEP + objectives, we remain committed to sustainability and environmental stewardship. We are making investments that emphasize using green energy as well as reuse of PET, which will be instrumental in mitigating environmental impact. These endeavo urs are aligned with our pledge to the environment and reflect o ur ambition to nurture a greener future.

Given India's dynamic demographic landscape marked by a burgeoning young population and evolving consumption patterns, we believe the Indian beverage market offers a monumental growth opportunity for the decades ah ead. As we intensify our foothold in India and expand our reach in Africa, our strategic initiatives are aimed towards strengthening our position in the global beverage industry.

I would now invite Mr. Gandhi to provide the highlights of the operation and financial performance. Thank you.

Raj Gandhi: Thank you, Mr. Chairman. Good afternoon and have a warm welcome to everyone joining us today. Let me provide an overview of the financial performance for the third quarter and the nine months ended 30th Septem ber 2023.

Revenue from operations adjusted for excise /GST grew by 21.8 % year-on-year in the Q3 of CY2023 to the level of INR 38,705 million. Consolidated sales volume showcased a healthy resurgence, growing at 15.4 % to 220 million cases in Q3 of CY2023, up from 190 million cases in the comparable quarter of the previous year. This was driven by growth in both Indian and international markets.

Notably, sales volumes within India demonstrated a strong recovery after facing demand challenges due to unseason al rains in the preceding quarter. Furthermore, the net realisation per case rose by 5.6 % to reach INR 176.3 per case, an upturn primarily driven by the improvement witnessed in the international markets. CS D constituted 72 %, juice 5 % and packaged drinking water at a level of 23 % of total sales volume in Q3 of CY2023.

Our gross margins during the quarter improved by 163 basis points to the level of 55.3% from 53.7 %, mainly due to the softening of PET chip prices. As a result of higher gross margins and operational efficiencies, EBITDA also saw a notable increase of 26.2 % to INR 8,821.4 million, with EBITDA margin improving by 79 basis points to 22.8 % in the Q3 of CY2023.

Depreciation increased by 11.5 % and finance costs increased by 38 % in Q3 of CY2023 o n account of capitalisation of assets and setting up of new production facilities. PAT increased by 30 % to INR 5,140.6 million in Q3 of 2023 from INR 3,954.8 million in Q3 of CY2022, driven by growth in revenue from operati ons and improvement in margins.

During nine months of CY2023, the net capitalisation is ~ INR 20,000 million primarily for setting up of new greenfield production facilities in Bundi, Rajasthan and Jabalpur , MP at a cost of ~ INR 8,500 million and the balance for brownfield expansion in India and international markets. The total cash outflow on account of above capitalisation of ~ INR 20,000 million during the year was ~ INR 8,000 million. The balance ~ INR 12,000 million was paid during CY2022 in advance itself. Further, we have investe d ~ INR 16,000 million during nine months of CY2023 for the next year primarily for the three greenfield plants in India at Gorakhpur - UP, Supa Partner - Maharashtra and Kh orda - Odisha and one in DRC - Africa. Once commissioned, the c

ombined capex for 2023 and 2024 taken together will increase the peak month capacity in India at a level of ~ 45% over 2022 capacity.

In conclusion, the company maintains a robust financial position supported by our

well-funded strategic capex plans that are set to dri ve growth and enhance our position in the global beverage industry. We remain confident that it will lead to sustained strong performance and will continue to generate value for all our stakeholders going forward.
On that note, I come to an end of the ope ning remarks and would like to now ask the moderator to open the forum for any questions or suggestions that you may have.
Thank you.
Moderator: We have a first question from the line of Vivek M aheshwari from Jefferies. Please go ahead.
Vivek M: Hi, Good afternoon, team. A few questions. First is on the gross margins, there is a sequential pickup. There is also a Y -o-Y, expansion quite a bit. And I heard your clarification and also saw the release where you mentioned about pet chips. What is

your outlook f or the next few quarters on gross margins? Do you think the current run rate, considering adjustments for mix, is expected to continue in the next few quarters ?
Ravi Jaipuria: We feel so. Our key raw materials are pet chips and sugar. So between one of the two, one keeps on going up or down. So we expect our margins to be around 21%, which we have been maintaining regularly. And little bit up and down it keeps happening. But we are quite confident to maintain around this level going forward.
Vivek M: The se cond thing is on the volume growth. And, last quarter was a bit soft. This quarter again, growth is looking very strong. Mr. Jaipuria, when we look at and maybe may not necessarily be Apple to Apple comparison, but, generally speaking, FMCG companies are c omplaining about slowdown and, whole host of issues, whereas you have reported very strong growth and it's not that the base is low. What is differentiating your category vs most of the FMCG categories, in your view, because of which, you are still reporti ng a double digit growth, whereas most of the FMCG peers are struggling, to go past, let's say, 5%?
Ravi Jaipuria: We think there are two reasons for it. One, we are expanding our go -to market very aggressively, which maybe everybody is not doing as fast a s we are doing. Secondly, with the power situation improving in the country, we have been able to penetrate much deeper into the rural . A lot of the other FMCG companies have said that rural is not growing fast enough for them and rural is rather stagnatin g for them, this is not the case with us because we've been able to penetrate further deeper because of better power supply. We've been able to put much more visi -coolers, this maybe relevant to our industry and not relevant to other industr ies.
Varun Jaipuria: I'll just add to that a little bit as well. There are ~ 12 million FMCG outlets out there in the country today and roughly we are going to about 3.5 million outlets. So, the scope to improve in terms of numeric distribution, as Mr. Jaipuria was m entioning, as electricity and the road get s better, that's one of the big reasons whereas, other FMCG companies are already at a higher distribution.
Secondly, a big unlock for us has been a price pack architecture, wh ich we've played in the market very ag gressively, giving more advantage to the consumer, where consumers can come and consume more at a similar value or pay a slightly higher value and get more quantity . India is a very value -conscious country , if you give the right value to the consumer a nd the right volume, you can really get some numbers going. So, all those have really helped us propel the growth as well.

Vivek M: Very interesting. I've never asked you this question in the past, but this time around, given there was so much of noise around these comment

s from Coke that they have
their market share in India at a three -year high, does that mean that their growth is even faster than yours?
Ravi Jaipuria: Well, we can’t comment on that , but we leave it to you guys to judge , there are numbers av ailable from independent research agencies to check, but we don't get into that. We think they are doing a great job and we are trying to do a better job.
Moderator: We'll take our next question from the line of Percy Panthaki from IIFL. Please go ahead.
Percy Panthaki: Hi, congrats team on a good set of numbers. A couple of questions from my side. Firstly, I see that you have formed a subsidiary in Mozambique. Now, Mozambique is a geography which we were in earlier and exited, I think, in 2016 or 2017. So, what is the thought process here in terms of trying to get into a geography which we had earlier thought it is better to get out of? That's my first question, sir.
Ravi Jaipuria: The markets have changed in the last 6-7 years, and the markets have substantially grown in some of these African region territories. We have some surplus capacity in Zambia, and Mozambique is bordering Zambia. Borders are open and there is no

duty between them.
So, what we are going to do is pa rt of Mozambique which is near the borders of Zambia, we are going to start only a distribution system and use the additional capacity of Zambia that we have. And we have some can capacity excess in Zimbabwe. So, we are going to combine both of them and use this and get advantage of incremental volumes.
Percy Panthaki: My second question is on juices. So, our three drivers for growth which we had sort of articulated one quarter or two quarters bac k going ahead would be Gatorade, juices, and value added dairy beverages. So, if I look at juices, which is an important pillar in your future growth strategy, the volumes here on a Y -o-Y basis are flat. So, what is the reason for that performance right no w? Is it something macro? And how do you think that this situation will improve and you will drive better growth going ahead?
Ravi Jaipuria: This situation has already started improving in the last quarter. But our biggest issue was juice, for which the se cond quarter which is April to June is a very big. Unfortunately, we had seen unseasonal rain and that whole quarter was a washout for us. And that affects the juice category comparatively higher . And if you see in Q3,

Nimb ooz, we have grown practically at ~100% even though we had a bad season this year. Gatorade has also grown at ~50% in Q3 . For value added dairy, we didn't have additional capacity. So, we couldn't grow and hopefully in January when we'll have our other two plants ready, that's when the value added dairy 's real growth will start coming.
Percy Panthaki: Sir, for juices, my question was pertaining to this quarter alone, not the April to June. I understand there was a seasonality there and therefore the growth did not come. But this quarter you have done very well in carbonated soft drinks but not so in juices. So, I just wanted to understand the reason for the difference in performance?
Ravi Jaipuria: Majority of juice sales occur between March and June, representing the largest percentage o f our sales. Sales are not evenly skewed throughout the year. Unfortunately, these four months were a washout for us this year.
Varun Jaipuria: We think juices has seen a softer growth quarter -on-quarter at both industry and the retail level, where as CSDs is growing much faster.
As a phenomenon, people start drinking juices much more in Q2 and they prolong to drink in Q3. The decline in juices sale during Q2 CY2023 might have affected the sales of Q3 in CY2023.
Percy Panthaki: Right. Understood. That's all from me. Thanks and all the best.
Moderator: We have our next question from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.
Nihal Jham: Tha

nk you so much and congratulations to the management. Sir, my first question was that in the international operations, we are seeing an improvement in realizations. Whereas domestic, I think because maybe the share of sting is flat, is maybe not seen as an increment. So, what is driving the improvement in the realization in the international busin ess? Is there a product mix change that is happening there also?
Ravi Jaipuria: Well, in international markets, there is a slight product mix change, but basically our go-to market is improving. And lot of these markets which we have entered were very low share markets. And as we are capturing these markets with our go -to market, it is all helping us out. And with our share improving, our realization is also improving. And the mix is slightly improving in some of the categories.

Nihal Jham: The second quest ion was that we had obviously given a guidance on the capex part of it that the second half of the year, our cash capex will be around INR 5,000 mn for the remaining part of CY 2023. Just wanted to confirm that, where the expected outlook is or there is a r evision to that?
Raj Gandhi: No, there is negligible capex for CY2023 in H2 . It was around INR 1,000 million or even less than INR 1,000 million for the second part of the year. However, for CY2024, we have already expedited implementation of our projects. Out of the projected ~INR 25 ,000 million capex for CY2024, we've already spent ~INR 16 ,000 million this year so to be ready well ahead of time because seasonality keeps on changing . We now need to be prepared for the season from April to June due to increased demand from South and West regions, shifts in product mix, and an expanded territory. Therefore, we've expedited our plans. The guidance for CY2023, however, remains the same.
Nihal Jham: Mr. Raj, I just h ave one question if I could take it. While you were mentioning about depreciation being higher on a Y -o-Y level, despite us capitalizing capex . In Q2, I

see that the depreciation on a Q -o-Q basis has not changed. Any certain assets
which got written -off an d not adding to the depreciation figure, just to clarify?
Raj Gandhi: Yes, the capex is marginally up, primarily because of the implementation of one plant
in Jabalpur during the first half . The increase, when compared to the previous
quarter, is marginal. However, if you compare it to CY2022, where it was at INR
1,111 million and now at INR 1,280 million on a standalone basis , it's in line with
expectations due to the implementation of two addit ional plants.
Moderator: We have our next question from the line of Aditya Soman from CLSA. Please go
ahead.
Aditya Soman: Hi, good afternoon. So just one question on seasonality. We've seen very
pronounced seasonality in the business, with Q 2 being very s trong and the other
quarters being somewhat lower. And now I understand Q 2 being summer is likely to
remain as the most important quarter. But do we expect a meaningful pickup in the
other quarters as we see South India become more relevant? And can you ju st guide
us through the timeframe of how that will play out over the next few years?
Ravi Jaipuria: If you see the numbers, Q3 and Q1 is becoming more significant than just being Q2,
compared to when it used to be only North. So that is why even this year when we
had very bad rains in the North, which is our big territory, we are still not negative.
So the seasonality curve has already started changing . So going forward, even Q4

will see this shift. The percentage of every quarter is going to keep changing as
South and West become more -and-more important to us.
Aditya Soman: I understand. So is it fair for us to then model that the other three quarters continue
to grow sequentially much faster than the second quarter? Just mathematically .
Ravi Jaipuria: Mathematically, yes. But next year mig

ht be different because we had a bad summer
this year.
Aditya Soman: Big base, yes. Yes, I understand for next year. But over the medium term, that would
be a fair assumption.
Ravi Jaipuria: Yes. Absolutely.
Moderator: We have our next question from the line of Sumant Kumar from Motilal Oswal. Please
go ahead.
Sumant Kumar: So can you talk about how is the growth momentum of new product launches in the
past one year? And how is the contribution in the quarter?
Ravi Jaip uria: All our new innovations including the newly launched Sting Blue have done
phenomenally well for us . Gatorade is growing at ~ 50%. We have started pushing
Nimb ooz from this year which is also doing quite well. In value added dairy our
capacit ies were a constraint, otherwise we could have grow n much faster . However,
from next year you will see a major change coming in the value added dairy business .
Varun Jaipuria : We have got a lot of innovation in the pipeline, especially in the no sugar portfolio.
That has done extremely well for us . As Pepsi is mov ing towards a healthier portfolio ,
we are also promoting a lot of products in mid-calorie and no sugar segments . The
no sugar portfolio has performed really well for us in the las t 3-6 months.
Sumant Kumar: How is the performance of Sting?
Ravi Jaipuria: Sting has been extremely good. We are growing at a very healthy pace. And even
the new Sting has done extremely well, which has added to the growth.
Moderator: We have our next question from the line of Jay Doshi from Kotak. Please go ahead.
Jay Doshi: Hi, thanks for the opportunity. I just want to clarify one data point that you shared in
the opening remarks. Did I hear it correctly that you are going to expand India
capacity by about 45% Vs CY22 end by next year?

Ravi Jaipuria: That is right.
Jay Doshi: This will be up and commissioned before the summer of CY24 or during the course
of the year?
Ravi Jaipuria : Before the season of CY2024. That's why we have pre -spent this year in CY2023.
Jay Doshi: Understood. And could you share a similar number for international business as well,
especially the expansion you are doing in Congo?
Ravi Jaipuria: In Congo , we are setting up a greenfield plant that will be ready only after next April -
May . It's the first plant we are putting in Congo.
Jay Doshi: Correct. I meant to ask what would be your capacity in CY24 for international
business Vs CY22 end?
Ravi Jaipuria: In India we have expanded wherever needed , so that we are not short of capacity
for CY 2024. In Africa we have already established our presence in Morocco ,
Zimbabwe and Zambia, where we have suffic ient capaci ties, in both Nepal and Sri
Lanka, we have ample capacit ies to meet our requirements .
Jay Doshi: Right. Just on e final, could you give us some color on the opportunity that you see

in Congo? How does it compare vs let's say Zimbabwe where you have seen phenomenal success and thousand crore plus top line last year? How big is the market opportunity in terms of the current capacity you are setting up? And I'm assuming Pepsi's market share in the market would be negligible today. So what are the dynamics in terms of market share?

Ravi Jaipuria : We think it's too early. Congo is geographically a very different country. It's a large market and w ith one plant, we can only serve around 55% -60% of Congo. If we want to serve the other part of Congo, we'll have to set up another plant.

Also Congo is a large market with more than 100 million population as compared to Zimbabwe with a population of 16 million people. Congo is near the equator and has much warmer climate. So the market is large, much larger than Zimbabwe.

Jay Doshi: One final one, if I may, and if you can share. Could you let us know the capacity at the greenfield plant, capacity that you're setting up in Congo? How big in terms of mill

ion cases?

Ravi Jaipuria: So it can do about between 35 to 40 million cases.

Moderator: We have our next question from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: Good afternoon. My question was regarding the volume growth. If you look at the Q3 2021 growth to Q3 2022 growth, it was around 24%. And in this year, the Q3 2022 to Q3 2023 , it's around 15%. So is it largely because of the base effect or the markets haven't recovered fully because of the unseasonal rains?

Ravi Jaipuria: In Q3 CY2023 , July was a reasonably bad washout for us , as the rains started m uch earlier than it normally starts. There were much heavier rains than normal , as a result it didn’t recover in July. However , in August and September recoupment started well, we were able to come back with a 15% growth for the full quarter . Also, we were lapping over a high growth in CY2022 where w e had a much larger growth. Both the things put together and if we had a decent July, we would have had a much better and a healthier growth.

Onkar Ghugardare: That's the combination of both you a re saying?

Ravi Jaipuria: Both the things, yes.

Onkar Ghugardare: Okay, the second question is on the production. You just mentioned that before season you will be ready. So if you look at all the plants which you are setting up currently, may I know when they will be commencing the production?

Ravi Jaipuria: So, we said before next year season , which is March we expect all our plants to be in production.

Onkar Ghugardare: So whatever capex you are doing for those particular plants, all the plants will be ready before season. That's what you are saying, right?

Ravi Jaipuria: Yes, that's what we are hoping and expecting.

Onkar Ghugardare: Okay, just a small question. What is the current penetration level if you can see or tell in all three categories? I know it is very small as compared to other FMCG kind of products. But still, if you can give a number to that?

Raj Gandhi: In fact, as Varun mentioned, our reach today is up to ~3.5 million dealers out of the base of ~12 million. And also to increase the penet ration every year, we are increasing the visi-cooler base. That's the starting point to reach to an outlet and make them agreeable to carry and sell our product. We got a big runway after the Sting , whe re we added 400,000 exclusive dealers. These dealers were never purchasing the goods from us earlier , and now after Sting, they have also started

carrying our other products. Our reach is increasing by 200,000 - 300,000 stores year after year which is helping us in increasing our share. We have about 925,000 visi-coolers at present and are increasing our efforts to put more visi-coolers in coming years.

Onkar Ghugardare: Okay, one clarification which I need is that last time you mentioned that if you are doing around INR 29,000 million of capex, then y ou will be doing around 1.8 to 1.9 times asset turn that will be. So that's what we are expecting, right?

Raj Gandhi: Yes, it's INR 25 ,000 million . Once the plants reach full maturity and operate at full capacity, they will achieve a turnover of 1.8 – 1.9 times to fully utilize their capacity .

Moderator: We have a next question from the line of Sanjaya Satapathy from Ampersand Capital Investment Advisors, LLP. Please go ahead.

Sanjaya Satapathy: So my question is that your India business, the average sellin g price has not really grown like the way it used to. Like it used to go up like 5%, 7%.

Varun Jaipuria: At the pricing side we have dropped pric es for a lot of our major packs , this in turn has resulted in a huge growth in terms of volumes as well as net revenue. However, That's why our revenue growth, if you're seeing, is in a high double digit.

That's why the revenue per case hasn't gone up, but your growth has gone up on a

n

overall basis, which has made your profitability go up. So we've done a lot of pricing correction in Q3 with a lot of major packs. That's why you're not seeing a huge growth in the net realization per case has been similar as compared to what it was last year.

Sanjaya Satapathy: Understood. And is it something which is just a tactical and you will go back to a different pricing once business season improves?

Varun Jaipuria: The market is very competitive . It is a very agile and very fast-moving market. We hope this will improve going forward and we will increase our pricing. Our focus is how much growth can we drive in the market at a profitable level. And that's what we've been able to do in Q3, and as long we're able to deliver these results, at least in growth and profitability, we'll be pretty happy.

Sanjaya Satapathy: Unde rstood. And the last question is that you're expanding this value added dairy and other business in a big way for next season. So will that have a positive bearing on your margin and ASP?

Ravi Jaipuria: Well, as we had said earlier, our value added dairy a nd juice margins are similar to our CSD margins. So with growth in these segments, our total portfolio will also

expand . The margins are not going to materially change and are not expected to come down either.

Sanjaya Satapathy: The average selling price, will that improve because of change in mix towards dairy?

Ravi Jaipuria: As value added dairy is still too small to make a meaningful change in the overall portfolio , it is not going to affect the average selling price of the portfolio .

Sanjaya Satapathy: Understood. So if I can just ask the last thing, is there any progress on your South Africa side if you can just give us some update?

Ravi Jaipuria: Well, we are always looking forward to new territories, we have set-up a subsidiary in South Africa and let's see what happens in the future.

Moderator: Thank you. We have our next question from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Thanks for the opportunity. Sir, we have seen that our Bihar capacity also sort of ran out in the first year itself. And you have talked about this 45% growth in capacity ahead of next year's summer season. So I wanted to check what is your expectation on full utilization of this capacity, as in can it be like we should be running ou t of this capacity by 2025?

Ravi Jaipuria: We want to be prepared for the normal season , however certain events occur because of the weather which plays an important role in our peak season. Therefore, if we experience a normal season, we should be utilizing a reasonable portion of our capacity.

Devanshu Bansal: Sir, for India business, gross margins have improved quite significantly. So I wanted to check, is it entirely due to lower PET prices or there is some component of mix change in this also be cause juice, etc, the mix is lower in this quarter. So is there a benefit coming from that front as well?

Ravi Jaipuria: Well, there is slight difference, mainly the mix of Sting which is a little more profitable for us has gone up in the overall portfolio .

Varun Jaipuria: Yes, so Sting is obviously a big contributor and is growing very well. But other than that we think our push is always towards more profitable product portfolio , and therefore w e are pushing CSD more in the market , we have also done a better job in managing the discounts in the market , the PET prices have softened . All these initiatives have given us better margins .

Devanshu Bansal: Great, Varun. That's really encouraging. Actually, it seems more structural then. Also on the internation al front, the margin performance, the revenue growth has been quite impressive. But from margin perspective, things have been a bit on the volatile side. So I wanted to check the reason for this. And al

so what are the steps that we are taking for a sustain able margin performance in international operations as well?

Ravi Jaipuria: Actually, the margin contraction what you have seen is basically in Zambia because of the currency devaluation. Otherwise, in other places we have done well. It's basically one cou ntry where the currency has got devalued, where you are seeing a big gap. So this is part of doing business in the Africa region. It keeps happening, unfortunately, and that's why you go slow in Africa.

Moderator: We have our next question from the line of Deepak Singh from Hexaware. Please go ahead?

Deepak Singh: Thank you for taking my question. I want to know, like, you have acquired Lunarmech Technologies. So it is basically into computers. So what is the purpose of acquiring

that company?
Ravi Jaipuria: That company is also making caps for us. It's a backward integration where we already held 55% shares, and from one of the shareholders we have been able to acquire additional 5% equity. So our equity has become 60% now. It's a backward integrati on to our own system.
Moderator: We have our next question from the line of Chintan Katare, an individual investor. Please go ahead.
Chintan Katare: Hello, sir. My only question is, please help me understand the trends of impact on your business from the l ikes of new entrants like Reliance's carbonated drinks, be it Campa Cola or any other soft drink brands that they are introducing. How do you see the trend of the impact?
Ravi Jaipuria: The market is growing at a pace where there is enough room for all the players to come in . We think every new person coming in has a chance to grow the market. Reliance is a formidable competition but they will have to put more investments, more plants, more visi-coolers and we are sure being Reliance, they will do a good job. The market is so large in India, with more investments the market will only grow much faster.
Moderator: We have a follow -up question from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghuga rdare: Can you help me out with the growth in the market, the number which you just mentioned, industry growth?
Ravi Jaipuria: We don’t have exact percentage for industry growth, we are growing at a healthy double digit , and the market is growing at a similar percentage .
Moderator: We have our next question from the line of Ishmohit Arora from SOIC LLP. Please go ahead.
Ishmohit Arora: Thank you for taking my question. Just when it comes to our portfolio of energy drinks, do we have any plans of launchi ng any new products like Rockstar or any new variants of things?
Ravi Jaipuria: Yes, there is a possibility. We are working with Pepsi Co, and maybe next year we will launch another energy drink. We’re not sure it will be Rockstar or what, but we are lookin g to launch one more energy drink next year.
Ishmohit Arora: And these products will be like in higher pricing range or will be the pricing similar to Sting?
Ravi Jaipuria: Sorry, we can't disclose that at the moment, but as we said, we will be launching another energy drink.
Moderator: We have our next question from the line of Sumit Joshi, an individual investor. Please go ahead.
Sumit Joshi: Hello, sir, and everyone. Good afternoon, first of all, and congratulations for the g reat set of numbers. I have just one follow -on question. Like we see Pepsi is growing very heavily in the US from an energy drink perspective. So do we have any plans going forward to launch a similar thing for India and other markets?
Varun Jaipuria: Energy drinks is going to be a big play for us in our portfolio going forward.
Sumit Joshi: Like Pepsi is working with Celsius brand, in US energy drink market? And they are doing very well there. So do we have any plans going forward to launch in India and other markets also?
Varun Jaipuria: Pepsi h

as a lot of energy brands across the world , where they've acquired or created them. So we do have plans to launch more brands under energy in India and other markets . Which brand we will launch and at what pricing we will launch, we are still working through it.

Sumit Joshi: Okay. Thank you. Thank you so much, Varun.
Moderator: We have our next question from the line of Jenish Karia from Antique Stock Broking. Please go ahead.
Jenish Karia: Yes, thank you for the opportunity. One clarification, we mentioned that out of the INR 25,000 million capex for the Greenfield expansion in next year, INR 16,000 million is already spent in CY 20 23. So we expect that around INR 9,000 million will be spent in fourth quarter CY 2 023? Or how should we look at that capex also for next year? That is my first question.
Ravi Jaipuria: It might be split between quarter four of current year and first quarter of next year.
Jenish Karia: Okay. The second question is with regards to energy drinks. So we launched our energy drink at a competitive price point. Now we hear that Tata Consumer Products is launching it at a 50% discount to our MRP. So do we see any competition or market share loss in terms of volume for the energy drink?
Ravi Jaip uria: Well, we don't see volume loss, but we can't say exactly what Tata's are going to do

and how their product is going to be. So very difficult to say till we see the product and what it does in the market.

Jenish Karia: Okay. And lastly, we are using s ustainable recycled PET chips going forward. So will that affect any of our gross margin? Will it be gross margin, accretive, neutral, any of that?

Ravi Jaipuria: Use of recycled PET is till reasonably small and we don't expect any impact on gross margins . Also, we are ourselves getting into manufacturing recycled PET. So by the time we will be using the reasonable portion of recycled PET, we'll be manufacturing it ourselves. We have a joint venture signed with Indorama, which is going to be in production by 2025.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to the management for closing comments.

Raj Gandhi: Thank you. I hope we have been able to answer all your questions satisfa ctorily. Should you need any further clarifications or would like to know more about the company, please feel free to contact our investor relations team. Thank you once again for your interest and support and for taking the time to join us on this call. L ook forward to interacting with you all soon. Thank you.

Call: Feb 2024

February 10, 2024

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: VBL BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 540180

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of Investors & Analysts Conference Call

Dear Sir / Madam,

Transcript of Investors & Analysts Conference Call held on February 5, 2024 i.e. post declaration of Audited Financial Results of the Company for the Quarter and Financial Year ended December 31, 2023 is enclosed.

The same is also being uploaded on website of the Company at www.varunbeverages.com .

You are requested to take the above on record.

Yours faithfully,
For Varun Beverages Limited

Ravi Batra
Chief Risk Officer & Group Company Secretary

Encl.: As above

Page 1 of 12

Varun Beverages Limited
Q4 & CY2023 Earnings Conference Call Transcript
February 05 , 2024

Moderator: Ladies and gentlemen, good day and welcome to Varun Beverages Limited Ea rnings Conference Call.
I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.
Anoop Poojari: Thank you. Good afternoon , everyone and thank you for joining us on Varun Beverages ' Q4 and CY2023 Earnings Conference Call . We have with us Mr. Ravi Jaipuria , Chairman of the company , Mr. Varun Jaipuria , Executive Vice Chairman and Whole-time Director and Mr. Raj Gandhi , Group CFO and Whole-time Director of the company. We will initiate the call with opening remarks from the management following which we will have the forum open for a question -and-answer session. Before we begin , I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.
I would now request Mr. Ravi Jaipuria to make his opening remarks.
Ravi Jaipuria: Good afternoon , everyone and thank you for joining us on our Earnings Conference Call. I hope all of you had the opportunity to go through our results presentation that

provides details of our operational and financial Performance for the fourth Quarter and year ended 31st December 2023.
Despite the abnormally high unseasonal rains in the peak season , we are pleased to conclude CY2023 on a strong note . We witnessed a healthy double -digit volume growth in both Indian and international markets. Our consolidated sales volume increased by 13.9% and the net realization per case increased by 7% in CY2023. Both these together contributed to our remarkable revenue growth of 21.8% and an impressive PAT growth of 35.6%.
In line with our strategic objectives , we have successfully commissioned multiple greenfield and brownfield facilities across key geographies during the year. This expansion not only strengthened our manufacturing capabilities but also extended our market reach. Our distribution network and chilling infrastructure have also seen substantial growth , further solidifying our presence in the market .

Marking a key milestone in our growth journey , we are delighted to announce the acquisition of the Beverage Company (BevCo) s ubject to regulatory and other approvals . BevCo holds franchise rights for PepsiCo beverage products in South Africa , Lesotho and Eswatini , along with distribution rights in Namibia and Botswana. This acquisition which aligns perfectly with our strategic goals offers an excellent opportunity to significantly enhance our presence in the African market - a region known for high demand f or soft drinks and favorable demographics. The integration of BevCo into VBL ’s operations is expected to yield substantial synergy benefits in the future.
As part of our long-term vision and in line with PepsiCo's global PEP + objectives we remain committed to sustainability and environmental stewardship. We are making investments that emphasize using green energy as well as reuse of PET which will be instrumental in mitigating environmental impact. These endeavors are aligned with our pledge to the environment and reflect our ambition to nurture a greener future.
We are also pleased to share that in line with our dividend policy , the board of directors have approved a payment of final dividend of Rs. 1.25 per equity share of the face value of Rs. 5 , subject to the approval of equity shareholders in ensuing annual general meeting of the company. With this , total dividend declared for the year December 31st, 2023, stands at Rs. 2.50 per equity share of face value of Rs. 5 each .
As we move forward , our strategy is geared towards sustaining our healthy growth momentum. We will continue to focus on strengthening our market position , both in India and internationally and place emphasis on product categories that are aligned with evolving consumer preferences. Our journey through 2023 has set a solid foundation for continued success and we remain confident in our ability to deliver sustainable g rowth and value for our stakeholders in the years to come.
I would now invite Mr. Gandhi to provide the highlights of the operation and financial performance. Thank you.
Raj Gandhi: Good afternoon and a warm welcome to everyone joining us today. Let me provide an overview of the financial performance for the fourth quarter and the year ended 31st December 2023 .
Revenue from operations adjusted for excise/ GST increased by 21.8% to the level of Rs. 1,60,426 million in CY2023. Consolidated sales volume grew by 13.9% to the level of 912.9 million cases in CY2023 from the earlier level of 801.8 million cases in CY2022, led by double -digit growth in both Indian and international markets , with an increase of 12.9% and 18% respectively.
During the year CY2023, the consolidated net realization per case increased by 7% to Rs. 175.7 per case. This is driven by the improvement in the mix of smaller SKUs and the mix of CSD in the Indian markets and high realization per case in the international markets. In CY2023, CSD constituted 72% , Juice contributed 6% and Packaged Drinking Water constituted 22% of the total sales volume.
Our gross margins during the year improved by 137 bps, taking it to the level of 53.8% from the earlier level of 52.5% , primarily due to the softening of PET chip prices although sugar prices increased slightly during the year . As a result of improved realization per case and enhanced gross margins , EBITDA increased by 29.5% to the level of Rs. 36,094.9 million , with EBITDA margin s improving by 133 bps to the level of 22.5% in CY2023. In other words , the company had been able to

achieve flow through of the 137 bps improvement in gross margins into the EBITDA margin improvement.
Depreciation increased by 10.3% in CY2023 on account of capitalization of assets

and setting up of new production facilities. Finance cost increased by 44% which was primarily led by the increase in the average cost of borrowing

by about 30% to
the level of 7.95% p.a. from the earlier ~6% in the last year. This is in -line with the increasing rate of interest in India. P AT increased by 35.6% to the level of Rs. 21,018 million in CY2023 from the level of Rs 15,501 million in CY2022 on account of growth in revenue from operations and improved profit margins.
On the balance sheet front, our net CAPEX stood at approximately Rs. 21,000 million at the end of CY2023 reflecting our commitment to growth and expansion. Out of the total CAPEX around Rs. 8,500 million was spent on setting up of 2 new greenfield production facilities in Bundi , Rajasthan and Jabalpur , Madhya Pradesh , ~ Rs. 8,000 million on brownfield expansion at 6 of our existing facilities in India and the balance was for brownfield expansion in the international markets , assets written -off and forex fluctuation all taken together . Furthermore , as part of our growth strategy we have invested approximately Rs.1,500 million towards land acquisition including Buxar in Bihar , Kangra in Himachal Pradesh in anticipation of construction of plants in the future years. Once commissioned , the combined capex for CY20 23 and CY20 24 season will increase the peak month capacity in India by ~45% over the base year of CY2022.
Our net debt stood at the level of Rs. 47,345 million as on 31st December , 2023 as against Rs. 34,096 million as on 31st December 2022. We would like to highlight that major reason for the increase in net debt is due to increase in CWIP and capital advances incrementally by Rs. 1 2,000 million which is the composition of closing CWIP of Rs. 24,000 million minus the opening CWIP of Rs. 12,000 million. This is due to Supa plant in Maharashtra which was near about implement ed by the year end and came in production with effect from 25th January , 2024. Further , we expect to additionally incur approximately Rs. 12,000 million towards capex for the season of CY2024 , that is the balance CAPEX for the next year. Our debt-to-equity ratio remained healthy at a level of 0.67x and the debt to EBITDA ratio was at 1.31x as on 31st December , 2023.
To summarize our journey of last 5 years , while our net revenues have grown at a CAGR of 22.5% , our PAT has grown with a CAGR of 45.2% which is led by improved EBITDA margins , higher asset utilization to depreciation as a % of revenue reducing from 6.9% to 4.2% in the corresponding period of 5 years and the tax rates coming down from 32.2% to 23.3% average , primarily because of improved profitability of international operations and the lower corporate income tax in India. All these factors have led to PAT margins improving from 6.6% to 13.1% over the last 5 years.
As we close CY2023 we are immensely proud of our progress we have made at VBL. Our robust operational and financial performance and significant expansion in manufacturing capabilities have all contributed to a remarkable year. Our growth - focused CAPEX for the year highlights our commitment in creating a long-term sustainable value. Looking -forward , our strategic investments combined with our proven execution capabilities and demonstrated operational excellence should enable us to sustain our growth outlook in the forthcoming years.
On that note , I come to an end of the opening remarks and would like to now ask the moderator to open the forum for any questions or suggestions that you may have.
Thank you.

Moderator: We have a first question from the line of Vivek Maheshwari from Jeff eries.
Vivek Maheshwari: A few questions. First, is on the C WIP and CAPEX for 2024. So , Mr. Gandhi I would imagine Rs. 1,900 crore , bulk of this will be for the capacity that you commissioned in Maharashtra , right? The C WIP what is lying as on 31st December?
Raj Gandhi: Absolutely. About Rs. 900 crore out of the incremental Rs. 1,200 crore CWIP and capital advances was for the Supa, Maharash

tra manufacturing facility, which got
implemented on 25th January 2024 .
Vivek Maheshwari: What will be for rest of the year? You said Rs. 1,200 crore cash outflow on CAPEX is that correct?
Raj Gandhi: The plan for the year CY2024 is Rs. 3,600 crore CAPEX, out of which approx. Rs. 3,000 crore in India and approx. Rs. 600 crore internationally . Out of this, Rs. 2,400 crore as CWIP , as we are carrying on 31st December 2023 . The Rs. 1,200 crore balance is to be spent in the next year plus any CWIP for the CY20 25 season.
Vivek Maheshwari: For CY20 24, actual cash outflow can be higher than Rs. 1,200 crore , right?
Raj Gandhi: That is right.
Vivek Maheshwari: On the debt side Rs. 4,700 crore roughly and Rs. 1,300 crore will go for the

acquisition. Where do you think , at what level Mr. Gandhi the debt peaks?

Raj Gandhi: I think the best way will be to look at it as a percentage because we have given a percentage debt to equity of 0.67. It will remain under that because all these CAPEX is ahead of the season and capacity which is being created will generate enough profits to pay for itself. If you notice in the last few years our debt to equity and debt to EBITDA is improving in spite of doing all th is CAPEX . I think that is the biggest indicator and we should draw comfort from there.

Vivek Maheshwari: There is obviously a comfort but specifically on debt given the acquisitions. I understand balance sheet is strong , cash flows are strong and the new capacities will add to operating cash. But at what level do you think the absolute debt level peaks?

Raj Gandhi: We think it is already peaked because Rs. 1,300 crore for acquisition is equivalent to 2-3 months cash profit once the season starts , that is not a challenge. Look at last year, as the Chairman stated , last year the season was a partial washout. In spite of that, we are so comfortable and even Rs. 1,200 crore increase in CWIP was funded very easily and without debt to equity ratio going up. Further, t his year , we are hopeful the season will be much better than last year , and with new plants already executed , resulting in capacity going up by ~45% over CY2022 , we expect things should be much more comfortable.

Vivek Maheshwari: Moving to P &L, 2 questions. First on the realization you have explained in the past also and on this call , as we look into 7% growth this year , 6% last year. I know last year as in 2022 had a bit of a base issue but India 's realization as well as international did quite well. Do you think that low-hanging fruit in terms of the mix change has played out and therefore the number should be more moderate as we head into 2024 , on the unit realization bit?

Ravi Jaipuria: It could b e slightly moderate , but we think if you really look at it in our industry , our peak season is March to July and th ose whole 4 months w ere a complete washout

in 2023. If we have done a growth of 13.9% with a complete washout peak season , we cannot predict the rain gods , otherwise , we do not see any reason why it should not be much better.

Vivek Maheshwari: Sorry Mr. Jaipur ia, that comment was on Rs. per case realization you are talking about ?

Ravi Jaipuria: Rupees per case would automatically be better because in peak season the small pack always sells more and in the small pack , our realization is much higher.

Raj Gandhi: Vivek, in the past we have given a guidance that over a larger period realization increase in a year is about 2% , if you see a longer period of 10-20-30 year. So , it will never be as sharp , but lot of juice is left because of energy drink category , Gatorade and other value -added dairy products , etc.

Ravi Jaipuria: Our other two plants are also starting , which will have Value-added Dairy, which is high value products. Our Tropicana sales will go up. We think with the volumes going up, you will se

e slightly more improvements.

Vivek Maheshwari: The last bit is on EBITDA margins , in the past 2023 , you have ended just around 23% which is higher than what you have historically given ballpark . Do you think that the margin range will be better than what you historically thought or we should see margins going down as we go forward ?

Ravi Jaipuria: It is always good to do better than what we say . So, we will stick to what we have said before and hope to do better than that. We think 20-21% is a fairly high EBITDA margin in our industry and we would like to stick to that.

Vivek Maheshwari: Absolutely respect that point of view Mr. Ja ipuria , but you are at 23% now. Given that business is growing strongly even if we do not build any operating leverage , unlikely that these margins should go down. 2023 margins should be the new level , is that fair?

Ravi Jaipuria: We would not like to say that because there are so many things, there are geopolitical factors today , suddenly freight charges have gone up and someday the sugar charges go up. We would not like to comment that we would be more than 21 -22%, and God willing if things go well , we could be better. But , we would not like to predict.

Raj Gandhi: Vivek, particularly for this year , as we stated , PET prices ha ve softened and the effect of that has been reflected in the bottom line from the gross profit to the EBITDA level.

Moderator: We have our next question from the line of Aditya Soman from CLSA.

Aditya Soman: Firstly , on the India business what is really differentiating Varun Beverages compared with some of the other players that have reported results? Most of them have reported flattish or even declines whereas Varun Beverages continues , especially in this quarter we have seen very strong numbers. What do you think is the big differentiator where in a weak underlying macro environment you are seeing

very strong growth? And second question , with regard to the acquisition in South Africa , when do you expect the closure of that acquisition? Any update in terms of timelines?
Ravi Jaipuria: First for the growth , we think in every call we have said that we are improving our go to market. We are adding more chilling equipment and the key reason for our growth which maybe some of the other companies are not showing is our go to market. We

are enhancing our go to market. We are adding close to 4 ,00,000 - 5,00,000 new outlets every year , that is what the main source of our growth is coming. As we had said that electricity is no longer a challenge in this country and because power is now available in villages, we are able to place more chilling equipment 's and we are able to go more deeper and deeper into the rural markets. If you would have heard last year most of the companies were saying rural market was not doing well for them. For us rural market has done extremely well because of our penetration and going deeper into the markets. Secondly , as far as South Africa is concerned , we are hoping that by February end we should get the approval. We have already got approval f or Botswana from the ir Competition Commission, and we are waiting for the approval for Namibia and South Africa which we hope we should get it before the end of February.
Aditya Soman: Just a couple of follow -ups. So , on the first bit in terms of improving go-to market , how much of that process is done or do you feel there is still a long runway?
Ravi Jaipuria: We cannot complete it in the next 5 years to be honest. It is a long journey and you can keep on adding and there is a limit to how much we can add because there is lot of CAPEX involved , there is a lot of people involved. We think if we can keep on adding even 4 ,00,000 to 5,00,000 outlets , we should be very happy .
Aditya Soman: Sir, just on that , you were talking about manufacturing your own visi -coolers and where a

re we on that process now?
Ravi Jaipuria: We are in the process. We have not finalized it yet. As soon as we do it then we will let you know.
Moderator: We have a next question from the line of Devanshu Bansal from Emkay Global.
Devanshu Bansal: Sir, y ou mentioned 45% increase in capacity. So, if you could provide the absolute peak month capacity ahead of this CY2024 summer season it would be helpful.
Ravi Jaipuria: It is very difficult Devanshu to give you because our capacities depend on the product mix and the sizing. But if we look at comparative to what we had done in 2022 , we can do 45% more than that.
Devanshu Bansal: Secondly , there was some news flow around the competition , Coca Cola also sort of transferring bottling operations to its partners in North and East regions. So , wanted to check , do you foresee some increase in competition or competitive intensity because of this?
Ravi Jaipuria: I think you can not have a more formidable competitor than the parent company. We wish them all luck and they are a very strong competitor. We will keep on fighting in the market and the best one will win.
Devanshu Bansal: Lastly , on one hand the PPT sort of mentions a good amount of work that we are doing in terms of water usage reduction and PET weight reduction. Some target s has been mentioned for recycled PET as well. On the other hand , we now see promotional launches in terms of 400 ml SKUs at Rs. 20 in the market. So, just if you could explain how should we see the net impact of both these things on our gross margin?
Ravi Jaipuria: For PET recycling , we are putting up a manufacturing facility , we have signed a joint venture with Indorama and we hope to be in production by 2025 , which should take care of about 20 %-25% of our requirement , and that is what our commitment is. We

have a second plant also which will go into production and should also be ready by the end of 2025. We will be more than covered for the recycling part.
Raj Gandhi: Moreover , added by the initiatives taken by the company , in the weight reduction in the preforms and weight reduction in the closers , and as chairman mentioned on rPET, so altogether , we are doing whatever best can be done and target for 2025 is 100% of our plastic waste to be recycled.
Devanshu Bansal: These savings are being sort of rooted into these promotional launches. Like I mentioned 400 ml at Rs. 20 which is there in the market.
Ravi Jaipuria: These will keep on happening. It is a competitive world . We have to keep competing with our competition. Somewhere we will be ahead , somewhere they will be ahead.
Devanshu Bansal: The working capital at CY2023 has sort of increased Vs last year. What is the reason for this? Because last couple of years , there w ere these advanced purchases that we were doing . This time around what is the reason and is it expected to sustain at

current levels ?
Raj Gandhi: Because the volume has gone up therefore , in absolute terms these things have gone. If you see with the number of days , it has stayed at the same and marginally payables ha ve reduced. Otherwise , there is no change.
Ravi Jaipuria: Also, some risk protection we are doing with the geopolitical situation. Suddenly the Suez Canal has got blocked and we do not want to take any chances for any goods , safeguarding ourselves.
Devanshu Bansal: These payables level are expected to sustain or they are expected to go back to earlier level , payable days ?
Raj Gandhi: Well, depends upon the situation but we have made the payments ahead of time. Sometimes if we get a good pricing etc.
Moderator: We have our next question from the line of Nihal Mahesh Jham from Nu vama.
Nihal Mahesh Jham: 3 questions from my side. First is if I look at the strong volume growth of 25% that we have delivered in the CSD segment. Historically we have given a sense that at times Sting

and even earlier Nimb ooz has done well. Specifically , any products which have stood out in terms of giving a larger share of this growth.
Ravi Jaipuria: We think energy drink is still doing well for us and our juice category has started doing extremely well. If you see the last quarter , our growth has been about 20% on juices which has been flat and juices category have a great movement in the peak season. Unfortunately , we lost our peak season last year. We expect a huge growth in the Juice category and our value -added dairy also because till last year we didn't have the capacity , we have tripled our capacity in that for Tropicana and as well as our value -added dairy , our production capabilities have gone up by 200%. We expect the growth in both these categories to be stronger.
Nihal Mahesh Jham: I was asking that maybe in the CSD segment , the energy drink would have driven a larger share of the growth if that's fair to understand.
Ravi Jaipuria: No, even our core CSD portfolio is growing. So , if you see our water mix has come down and our overall CSD as well as energy has gone up.

Nihal Mahesh Jham: The second question was in the upcoming season , maybe there would be an increase in the competitive intensity with the third larger player coming in. So , what is the changes maybe or the incremental efforts on the go -to market or maybe any thoughts on the advertising side that we are planning to in a way take care of this?
Ravi Jaipuria: Well, we cannot talk about the third competitor. We know they are there and we're sure they will do what is right for them and we will keep on enhancing our go-to market and do the best we can in the market. And we think the India market is growing at a reasonably good pace. It can accommodate everyone, so we think there is enough room for everyone.
Nihal Mahesh Jham: Final question was on South Africa. If you could give a sense of the current share of Pepsi and what would be the aspiration from our side. Also , if you have a thought of the mix between the share of Pepsi and own brands for BevCo and I will be done.
Ravi Jaipuria: The Pepsi Co share is about 1.5% and the BevCo share is about 12%. The combined is about 14% and Pepsi 's share is only about 1.5% .
Moderator: Next question is from the line of Percy Panthaki from I IFL.
Percy Panthaki: First question on the CAPEX . A few quarters ago you had guided that the CAPEX on a cash flow basis this year would be about Rs. 2,800-Rs. 2,900 crore. It has come at Rs. 3,200+ crore . So, can you explain the reconciliation of this Rs.350 crore approximately higher than expected CAPEX ?
Raj Gandhi: Percy , this is as we mentioned . In fact the capitalization of Supa plant which we initially planned for March CY2024 got expedited by couple of months, by 25th January we were ready to make it operational . This resulted in incremental cash out flow for CAPEX of Supa Plant in CY2023 . Also t his was in light of the logistic issues which we were facing, because Gorak hpur plant which we were planning for February may go to March this year . Instead of looking only at the cash flow , we had to ensure that we were fully covered for production for next year.
Percy Panthaki: And this year also we are planning a Rs. 1,200 crore CAPEX plus any WIP at the end of the year which is typically around Rs. 500-600 crore. So , we are talking about Rs. 1,700-1,800 crore CAPEX on a cash flow basis for this calendar year as well. So, what are the projects that would be included in this number?
Raj Gandhi: The balance capex for 2024 season includes G orakhpur which we have already announced , next is Khurda, Orissa which we have to complete in another 1-2 months , DRC is the new territory which is about Rs. 400 crore in CAPEX and we have to complete that and maybe certain Brownfield , where another ~ Rs. 2 00 crores will be spent .
Percy Panthaki: Se

condly , just wanted to understand your opportunity in the African continent. That is the announcements that have happened till now which is your Congo and South Africa plus a few small countries. I understand that the top line from the South Africa business which you are taking over is about Rs.1,600 crore , is that correct?
Raj Gandhi: Yes, around that much. That is right. North of Rs.1,600 crore .
Percy Panthaki: And Congo is a completely new territory. So , whatever you generate there will be on your own. So , if basically I have to make an estimate for your first full year of operations that will be CY2025 for the South Africa plus Congo , what kind of very ballpark kind of turnover and what kind of margins should we build in for these

operations? Because there is a certain valuation which is attached to these new opportunities which is already sort of reflecting in the share price. So , for us in order to sort of determine the fair value of the company as a whole , we also have to sort of put some fair value to these opportunities. Although the business has not yet started. So , any kind of flavor that you can give on this will be very helpful.
Ravi Jaipuria: Our suggestion would be , you give us 1 more quarter. Let us get onto the driving seat of South Africa which is the big part in this , because DRC will not start before May. So , it won't even reflect in the next quarter also. We think give us a couple of months for us to fully understand that market. We have understood it but before we start saying any numbers , it will be only fair for us to have full clarity . It will be better than what it is currently, that is the only thing we can tell you right now .
Percy Panthaki: Lastly, if you can give some idea of your new initiatives. So , you have mentioned three things , Juices , Gatorade and Dairy based beverages. These are the 3 new growth initiatives of the company. So, just wanted to understand how much could these 3 initiatives add or boost your overall growth by? Will it be 200 -300 bps? Any kind of rough sort of estimate on that or any kind of way as to how you are thinking on that will be helpful.
Ravi Jaipuria: First of all , these are not the only 3 initiatives we are taking. These are some of the categories where we have now got the capacity which will give us the growth where we were constrained with capacity last year. But our core CSD business as well as the energy drink business is doing extremely well and that is growing on its own pace. So , these will be additional growth where the volumes will be much more higher than anticipated.
Percy Panthaki: Exactly , these additional growth drivers , the other is business as usual and you will obviously every year have some of the other projects and initiatives in all parts of this business but this is relatively sort of new. So, apart from if you are targeting in normal course of business , organic growth of 12% , with these opportunities can it go to 14% - 15% is what I just wanted to have a flavor of.
Ravi Jaipuria: Well, we cannot predict numbers. Last year , peak season was a washout and still we have done 14% , so we leave it to you to decide .
Moderator: We have our next question from the line of Jay kumar Doshi from Kotak.
Jaykumar Doshi: I have got a couple of questions. The first one is , a couple of years back you called out that when Sting's salience was about 5% of volumes , you had indicated that the potential can be up to 15% volume salience based on the way it has been in some other markets . I believe that number Sting would be now close to that number or would have crossed that number. So , can you give us some more color now , where can it settle in a normalized salience of Sting for your business in India?
Ravi Jaipuria: Well, a lot of markets and especially in the emerging markets , energy drinks are 14%-15% of the mix. Sting has reached aro

und 14%-15% of our portfolio mix and there is still a lot of potential left for the energy drinks industry. We think there is enough room for us to play.
Jaykumar Doshi: Industry mix it would be still 6%-7%, is that right understanding , overall energy drink today?
Ravi Jaipuria: Yes, that’s what it should be around 6%-7% or maybe little lower.

Raj Gandhi: This is a ballpark figure. In fact, you asked when we were at 5% and optimistically at that time we envisaged because you insisted upon giving some number. And if you ask today again , we are in a similar situation because if we look at market like Vietnam where the mix for PepsiCo is ~30%, in Pakistan we understand that the mix of energy drink may be ~25% for PepsiCo. So , it all depends , let's keep a watch and keep on doing the go-to market improvements. We can only say this.
Jaykumar Doshi: 25%-30% is mix of Sting in PepsiCo's portfolio ?
Ravi Jaipuria: Yes, P epsiCo portfolio.
Jaykumar Doshi: Second , is a bookkeeping question. You mentioned earlier that you add 400 ,000-500,000 outlets every year. So , at the end of CY2023 what is the total reach in India and international , if you can share both ?

Ravi Jaipuria: About 3 .5 million is our outlet reach in India.

Jaykumar Doshi: And international would be. If you have the number handy .

Ravi Jaipuria: International , we do not have the exact numbers and we would not like to comment. We are entering new markets. May be next time , if you come offline , we will try and get you the approximate details.

Moderator: We have a next question from the line of Amit Purohit from Elara.

Amit Purohit : Just on the Juices and Gatorade part. I wanted to understand if this could be the growth drivers would the mix would have a good effect or a better effect on the realization as well as we move forward.

Ravi Jaipuria: We think we had mentioned that in value -added Dairy, Tropicana and Gatorade , we have doubled , and added our production capacity by 200%. These products are very significant in our overall growth and these are high value products, so they add to our overall value. But that cannot be the only reason for our growth. Our key growth will still come from energy and our CSD portfolio , these products will be an additional support to the overall growth.

Amit Purohit : On the base of that 200% expansion which year should be taken as a base from that?

Ravi Jaipuria: It will be from this year onwards. One plant is already commissioned which is Maharashtra and the other one is Gorak hpur which will be commissioned by March or April.

Amit Purohit : So, Vs CY2023, CY2024 would have a ~200% higher capacity.

Ravi Jaipuria: Yes.

Amit Purohit : And just you highlighted on some challenges which may be there because of geopolitical reasons. Any impact that right now you are witnessing in the international market or India market?

Ravi Jaipuria: Not really. The only impact we are seeing is some of the freights have become more expensive. The cost of material s has gone up and some of the shipments are getting delayed. We are having to overstock ourselves just for safety reasons. And those

are costing , it is creating some cost but nothing beyond that. So, that is why we are making it very safe for ourselves and not worrying about additional inventory cost.

Amit Purohit : So, that would be both for India as well as international.

Ravi Jaipuria: Some markets. Whichever comes under the Suez C anal where the products are coming that ’s getting more affected , but the freight rates are going up for everyone.

Amit Purohit : And this would not force you to take any pricing action , right?

Ravi Jaipuria: No, it is not that large. Our imports are not that large.

Amit Purohit : Sir, just if you could give some insights on Gatorade how has been the response ?

Ravi Jaipuria: The response has

been very good, but Gatorade is a very small part , it is not even 0.5% or less than 0.5% of our category. We think it is really not relevant right now. It will just add on. It is a good value item. Long term it is a great product and we think we will do well with it. But we think our other product which is doing extremely well is Nimbooz which will be a decent mix for us.

Moderator: We have our next question from the line of Anand Shah from A xis Capital.

Anand Shah: Can you comment qualitatively on the growth in the international markets? I mean within your core markets how this year has been ?

Raj Gandhi: It is 16% in this quarter and overall , we think broadly in line with our India's market.

Anand Shah: But within this I mean how Zimbabwe , Zambia or Nepal and Sri Lanka would have grown quarterly roughly.

Ravi Jaipuria: Overall, we have grown 16% in Q4 CY2023 and 18% in CY2023 for the international markets.

Anand Shah: But within this Zimbabwe would have grown how much for the full year not quarterly ?

Ravi Jaipuria: 23% growth for Zimbabwe in CY2023 .

Anand Shah: And in international , this year we have seen some margin correction. Normally we have seen that margins were in the range of 21 %-23%. They've come down to 18 %-19%. So , is there any margin ahead and do you expect this to now stabilize going ahead ?

Ravi Jaipuria: The currencies are going up and down so much in the international markets , we think on an overall basis, you should look at a margin of 21 %-22%, which is very healthy. So, one country will go down , one country will go up. Sri Lanka had 100% devaluation , now it is stabilizing. It is very difficult to base it on each country.

Anand Shah: And in Congo at peak capacity what kind of cases would you be sort of targeting?

Ravi Jaipuria: It's too early. We are putting two small lines so it's too early to say. Once we see the market developing then we'll keep on adding . But we are looking at maybe about 30 million cases from these lines .

Moderator: We have our next question from the line of Suman t Kumar from Motilal Oswal.

Sumant Kumar: Can you talk about Dairy-based beverages current contribution and going forward what kind of growth we are looking for and which market we are going?
Ravi Jaipuria: It is less than 0.5% at the moment and we hope to double it or maybe even little better than that.
Sumant Kumar: In the next year ?
Ravi Jaipuria: This year 2024.
Moderator: We have a next question from the line of Thanekaivel , an individual investor.
Thanekaivel : I would like to know what the maintenance CAPEX for the quarter ended December ’23 and for the year ended December ’23.
Raj Gandhi: Mr. Thanekaivel we do not capitalize it. It is a P&L item. So , it is charged to the P&L like earlier years , from the beginning.
Thanekaivel : Could you give it , like a percentage?
Ravi Jaipuria: It does not work like that. It depends on the utilization of the machines and a lot of other things. We charge 100% of our maintenance to our P &L.
Thanekaivel : Just one more question sir on the Dairy products availability. Has the availability come from North to other areas like South and other places?
Ravi Jaipuria: This year our only plant was in the North . We have just started our dairy production in the W est and we will be starting in the E ast soon . So, we will be covering the full India region this year. That's why we expect the growth to be quite strong.
Moderator: Thank you . Ladies and gentlemen , we will take that as the last question for today. I now hand the conference over to the management for closing comments. Over to you sir.
Raj Gandhi: Thank you very much. I hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about our company please feel free to contact

our Investor Relations Team. Thank you once again for your interest , support and for taking the time out to join us on this call. Look forward to interacting with you very soon. Thank you very much.

Call: May 2024

May 20, 2024

To,

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Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: VBL BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 540180

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 : Transcript of Investors & Analysts Conference Call

Dear Sir / Madam,

Transcript of Investors & Analysts Conference Call held on May 13, 2024 i.e. post declaration of Unaudited Financial Results of the Company for the Quarter ended March 31, 202 4 is enclosed.

The same is also being uploaded on website of the Company at www.varunbeverages.com .

You are requested to take the above on record.

Yours faithfully,
For Varun Beverages Limited

Ravi Batra
Chief Risk Officer & Group Company Secretary

Encl.: As above

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Varun Beverages Limited
Q1 CY202 4 Earnings C onference Call Transcript
May 13, 202 4

Moderator: Ladies and gentlemen, good day, and welcome to Varun Beverages Limited's Earnings Conference Call. I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you and over to you, sir.
Anoop Poojari: Thank you. Good afternoon, everyone, and thank you for joining us on Varun Beverages Q1 CY2024 Earnings Conference Call. We have with us Mr. Ravi Jaipuria, Chairman of the company; Mr. Varun Jaipuria, Executive Vice Chairman and Whole -time Director , and Mr. Raj Gandhi, President and Whole -Time Director of the company. We will initiate the call with opening remarks from the management, following which we'll have the forum open for a question -and-answer session. Before we begin, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the results presentation shared with you earlier.
I will now request Mr. Ravi Jaipuria to make his opening remarks.
Ravi Jaipuria: Good afternoon, everyone, and thank you for joining us on our earnings conference call. I hope all of you had the opportunity to go through our results presentation that provides details of our operation al and financial performance for the first quarter ended 31st March 2024.
In-spite of the delay in Holi festival by 17 days result ing in delayed seasonality cycle, we are pleased to report a reasonably strong overall operation al and financial performance in the first quarter of the year . We achieved a consolidated sales

revenue growth of 10.9% with the breakup of volume growth of 7.2% and net realization per case growth of 3.5% in Q1, reflecting an improved product mix in India and higher contribution s from international markets . Overall , EBITDA increased by 23.9% Y-o-Y and PAT increased by 24.9%.

Further, our sustainability efforts, including the focus on reducing sugar content, removal of corrugated pads in pack aging and light -weighting of packaging material have started showing results by increase in gross margins. During last quarter, we also published our sustainability report in accordance with the GRI reporting standards. We are committed to transparency and accountability in our sustainability reporting practices , and we believe that using the GRI standards allows us to provide comprehensive and compara ble information to our stakeholders.

To fulfill our growth commitment in our core market i.e. India, we commenced three new greenfield facilities located in Supa, Maharashtra; Gorakhpur, Uttar Pradesh;

and Khordha, Odisha. This expansion is designed to meet the rising demand for beverages in India and support our long -term growth trajectory.

Our greenfield plant in DRC is expected to start by the next quarter.

A significant highlight of the quarter was successful comp letion of the strategic acquisition of the Beverage Company (BevCo) in South Africa. This move has notably expanded our footprint and fortified our presence across several dynamic markets in the African region.

Furthermore, Varun Beverages Morocco SA, our wholly -owned subsidiary, has entered in an Exclusive Snacks Appointment Agreement to manufacture and pack age Cheetos into Morocco , by May 2025. This agreement complements our existing distribution of PepsiCo's snack portfolio, ma rking another step forward in our strong symb iotic partnership.

In nutshell, we have additionally fuelled 3 growth engines which will gradually and consistently contribute to revenue and profitability growth in the company. First growth engine is the South Africa's combined territory with Lesotho, Eswatini, Namibia, Botswana, Mozambique and Madagasca r. Second growth engine is entry into new territory of DRC where PepsiCo is not present at all as of now , the commercial production here from our new state -of-the-art green field plant is expected to start from the next quarter. The third growth engine is entry into sn ack food production by May 2025 in Morocco.

I would now invite Mr. Gandhi to provide the highlights of the operational and financial performance. Thank you.

Raj Gandhi: Thank you, Mr. Chairman. Good afternoon, and a warm welcome to everyone joining us today. Let me provide an overview of the financial performance for the quarter ended 31st March 2024.

Revenue from operations adjusted for excise /GST, saw a healthy 10.9% Y-o-Y increase to the level of Rs. 43,173 million in Q1 of CY2024. Consolidated sales revenue reported a growth of 7.2%, reaching 240.2 million cases in Q1 CY2024 , with increases of 4.4% and 21.9% in India and International markets respectively.

During Q1 of the CY2024, the consolidated net realization per case rose by 3.5% to the level of Rs. 179.7, supported by an improved product mix in India and a higher contribution from international markets, which command higher realization per case.

CSD constituted 71% , Juice 7% and Packaged Drinking Water 22% of the total sales volume in the Q1 of CY2024.

Our gross margins improved significantly, rising by 385 basis points to the level of 56.3% from the earlier level of 52.4%. This increase was largely driven by our focus on reducing sugar content and the lightweighting packaging material, incidentally , also meeting our sustainability initiatives, along with the benefits from reduced PET prices, which contributed to this improvement.

Approximately 46% of our consolidated sales volumes come from low sugar or no sugar products, reflecting our commitment to meeting the evolving preferences of all consumers. This strategic focus now only aligns with the consumer trends, but also optimizes our cost structure by reducing sugar costs and enhancing overall efficiency.

These efforts have had a tangible impact on our financial performance with EBITDA increasing by 23.9% to the level of Rs. 9,887.6 million Y-o-Y and the EBITDA margin

improving by 240 basis points to the level of 22.9% in Q1 of CY2024. The above improvement of 240 basis points is in -spite of rise in fixed costs associated with the acquisition of the new territories and commissioning of new greenfield plants for the season. As these new capacities begin to contribute to our performance, we expect these costs to be better absorbed enhancing our financial efficiency moving forward.

Depreciation increased by 8.9% in Q1 of CY2024 on account of capitalization of assets and the establishment of new production facilities i.e. Kota and Jabalpur during

the last year and Supa in the current quarter . Finance costs increased by 49.7%, primarily due to higher debt for acquisitions and CAPEX as well as increased borrowing costs. The CAPEX for these 3 plants is already done, barring a bit for DRC , which is pending . And on the other side, the cost has gone up. Last year same quarter, the average c ost of borrowing was 7.7%, which this year is 8%.
On the debt front, we expect to amortize majority of the incremental debt taken during the year for BevCo acquisition as well as for CAPEX in the next couple of months.
PAT grew by 24.9% to the level of Rs. 5,479.8 million in Q1 of CY2024 from the level of Rs. 4,385 million in Q1 CY2023, driven by volume growth and enhanced profit margins.
Coming to an update on our growth initiatives. We have successfully commissioned 3 new greenfield production facilities in India, significantly enhancing our production capacities : in Supa, Maharashtra on 25th January 2024 , with an investment of Rs. 10,000 million; in Gorakhpur, U ttar Pradesh on 13th April 2024 , with an investment of Rs. 11,000 million; and in Khordha, Odisha on 30th April 2024 , with an outlay of Rs. 7,000 million. We also have set up backward integration facilities at all the 3 above mentioned greenfield plants, taking the total number of integrated plants to 13, that is the number of plants with the backward integration facilities. These investments are poised to s upport our long -term growth objectives as well as profitability. Additionally, the forthcoming CAPEX of Rs. 4,000 million for our DRC unit will further our expansion in the African region . Furthermore, we finalized the strategic acquisition of BevCo, expanding our footprint into new and dynamic markets. We also secured an agreement to produce and package Cheetos in Morocco.
As we move into peak season, the growth outlook stays no way different from the past few years and the performance, given the strong heatwaves prevailing across India during the summer quarters, where we are. Our strategic investment in enhancing production capabilities and making new acquisitions have significantly strengthened our global presence. These initiatives have established a solid platform for sustained growth in the foreseeable future.
On that note, I come to an end of the opening remarks and would like to now ask the moderator to open the forum for any questions or suggestions that you may have.
Thank you.
Moderator: The first question is from the line of Abneesh Roy from Nuvama Institutional Equities.
Abneesh Roy: Congrats on strong margins. My first question is on the outlook. June quarter, clearly, your base is quite favorable, it was soft. Plus, we also have the heat wave. And is there any benefit also from the election -related rallies? I wanted to get a sense on how you see June quarter. I understand the guidance will be difficult. But do you think that much stronger double -digit growth should come back in the Indian business, volume growth?
Ravi Jaipuria: Well, we can't tell you exactly what growth will come back because half the quarter is already over. As you see, the heats are strong and soft drink sells when it's stronger heat, and we have the advantage this quarter of Ramzan been moving

towards March, which hurt us a little bit in the March quarter this year. It looks very positive, and we think we should have a good quarter.
Abneesh Roy: And one related question was on the overall market also. Campa Cola in FY24 has done around Rs. 400 crore sales. If you could tell us any market, any kind of impact or its mostly the market has expanded? And second, to your own business, if you could tell us quick commerce, e -commerce and modern trade, in March quarter, how was it this year v/s the same quarter last year?
Raj Gandhi: See, the e-commerce contribution in our category is very small. Consequently, we do not track it extensively,

but yes, the growth is there . Regarding Campa Cola, w e can talk about our numbers, which are looking very healthy . The reason for this is, heat wave, elections , low base from the last year , and our capacity, which we have already increased by adding 3 new plants. We are amidst actually making all the time arrangements to meet the requirement s and ensure we don't go out of stock.
Moderator: The next question is from the line of Percy Panthaki from IIFL Securities.
Percy Panthaki: I was just looking at your subsidiary sales, that is the consol minus the standalone, that has grown for this quarter roughly by about 30% Y -o-Y. So , what is leading the growth in the international? And secondly, in the international on an overall basis,

what is the volume growth?

Raj Gandhi: Volume growth internationally, as stated earlier, is 21 .9%. In fact, India would not have been any different. The reason for lower growth in India is because Holi was late and Ramzan was earlier. . The reporting calendar actually does not coincide with the festival calendar.

Percy Panthaki: And this 21 .9% growth, any flavor on which geographies are higher than the average, lower than the average?

Raj Gandhi: Well, Morocco and Zimbabwe have led, they have already become large and good percentage increase in the larger territories makes the impact.

Percy Panthaki: Understood, sir. Also, could you give us an idea what is the CAPEX on a cash flow basis that you are estimating for CY24?

Raj Gandhi: Out of ~Rs. 3,600 crore CAPEX , which was already informed , ~Rs. 2,400 crore was already done in the last financial year . Majority of the remaining ~Rs. 1,200 crore is already done this year . Only a small portion, ~ Rs. 200 crore is left in DRC and maybe a small amount in India. Most of it is already done. Percy, n ow our effort is to repay the money which we have borrowed for CAPEX .

Percy Panthaki: Right, understood. So , most of your CAPEX is done? And would I be right in assuming that, let's say, next calendar that is CY25 also, our CAPEX would not be more than like Rs. 1,000 – Rs. 1,500 crore, would that be a reasonable assumption?

Raj Gandhi: Let's wait until June because the kind of growth we expect, if we get it, it has to be more.

Moderator: The next question is from the line of Jay kumar Doshi from Kotak.

Jaykumar Doshi: If I were to look at other than June quarter last year, for the remaining 3 quarters, the volume growth in India business of about 20%, whereas last year, June quarter, it was badly about 2%. So , when we look at this June, should we think about a 17% - 18% potential volume growth that you lost last June and about 10 % - 20% over and above that. Is the demand environment conducive? And is your supply side, capacity

expansion, was it commissioned on time for you to be able to capture what the math indicates, which is like close to 30% volume growth in June quarter?

Raj Gandhi: Jay, we appreciate the parameters, which you have defined. We no way differ from you, but let's keep our fingers crossed. It's an ongoing quarter.

Ravi Jaipuria: But our capacity is enhanced, the plants were in time, so we are okay capacity -wise.

Jaykumar Doshi: That's very helpful. Second is now that you've made some progress on the foods business. Would it be possible to give us some color in terms of at the right scale, what would be the profitability and return ratios? How would it compare v/s the beverages business on the food side?

Ravi Jaipuria: We think it's a bit too early. We are only going to start the first plant next year. But food business is as good or better than the beverage business.

Jaykumar Doshi: I'm assuming this is return on capital, right, given that CAPEX would be much lower than capital?

Ravi Jaipuria: Yes.

Moderator: The next question is from the line of Anand Shah from Axis Capital.

Anand Shah: The first one , you've done great work on the gross margin expansion through multiple initiatives . I just wanted to understand the sustainability of this and would you at all to sort of revise your margin guidance?

Raj Gandhi: The guidance stays the same, Anand, as we have given earlier. We have specified the reasons for one of f benefits in the short run which we keep on getting but in the long run the margin guidance, we should take as the same because we do not know the weather conditions , the competitive scenario , etc. We think the margin guidance, which we have given in the past, for the long run, we should stay with that only.

Anand Shah: On the balance sheet side, I mean, can you share the debt numbers there for the current quarter given that you expanded on the BevCo payment and all, so that we know as to what is the repayment and how it go down?

Raj Gandhi: We have made a payment of ~Rs. 1,260 crore for BevCo and out of ~Rs. 1,200 crore CAPEX , which was to be done in this quarter, about Rs. 1,000 crore is already done, minus the profit of last quarter and 45 days in the current quarter . Exact numbers for the quarter, we will not be able to give. We also have given a guidance that in a couple of months, the additional debt taken during the year will be repaid , and it will be our endeavo ur to reach at the 31st December debt position.

Anand Shah: You had indicated during the acquisition, you may explore some structure sort of to work out in South Africa in terms of the payment and all. Is that something which is ongoing?

Raj Gandhi: The structure is such that 100% equity is with us, minus the ESOPs, which we had to allocate to the eligible staff. To partly fund the acquisition, we have taken some borrowing at the local subsidiary level as the cost difference between India and borrowing in the local currency in South Africa was not much, only a 150 basis point difference, which in turn gives us a big insurance on exchange rate fluctuations and in managing our balance sheet.

Anand Shah: And one last if I may. I mean, are we starting to see Rockstar in your presentation, a new drink . So should we expect the launch this year?

Raj Gandhi: Anand, this is what we got in South Africa because they were doing a small portion of Rockstar there. It was good when we are making a consolidated brand presentation to include that. For India, we will have to wait for some time.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on good margin execution in the past quarter. Sir, you indicated that summer season has started off well. I wanted to check if you can call out the utilization levels of your plants for the month of April as in how are we trending on that f ront?

Raj Gandhi: We were running at close to 100% in April . However, please note that the two out of the three new plants have come into operations only towards the later half of April month.

Devanshu Bansal: Okay. That's really encouraging to hear, sir. From a depreciation perspective, Mr. Gandhi, as some of the plants were commissioned during the quarter, what is the expected run rate for depreciation going into the coming quarters, if you can help us?

Raj Gandhi: Basically, how we measure it is as a percentage of revenue, if you see the percentage year after year, full utilization basis is coming down . We expect the same trend to maintain , and the depreciation as a part of revenue, we don't think will change much this year also.

Devanshu Bansal: Got it, sir. And lastly, from my end, what is the expected contribution from South African market in terms of Revenue, EBITDA for this year? Is it like broadly similar to the metrics shared during acquisition? Or we are seeing some improvement there?

Ravi Jaipuria: It's too early for improvement. We think we've just taken over, and off season in South Africa has alrea

dy started. Give us a couple of quarters before we can start giving you numbers for South Africa, but it's a great acquisition. We think we'll do well, just give us a little bit of time.

Moderator: The next question is from the line of Aditya Soman from CLSA.

Aditya Soman: Two questions. Firstly, can you tell us a little bit more about the increased capacity and your plans for Gatorade and Cream Bell? And secondly, again, in terms of South Africa, any sort of color in terms of the numbers for the next year will be super useful.

Raj Gandhi: In Gatorade, the focus has come after the price and pack size correction and also we got the approval from PepsiCo to produce from more than one plant. The efforts are on, but we're still at a very niche stage. And at this moment, a small change will not make a difference. Also Gatorade is in zero cal in the new packs . It's a very promising product, but we'll have to wait for this. Same is true for Cream Bell as well .

Ravi Jaipuria: But it's doing well, and we are seeing good growth and whatever capacity we are able to produce, we are able to sell even with the enhanced capacity.

Raj Gandhi: Aditya coming back on BevCo, there are 5 plants, which are already operational and working, by September -October when the season starts, we have to make certain improvements to enhance the capacity. In the meantime, the focus is also on increasing the share of PepsiCo brands , which is a better contributor to top line and bottom line . So interchanging the share from our own brands to PepsiCo will enhance profitability. And then , once we are ready, we will increase capacity by adding new lines or plant and act accordingly .

Moderator: The next question is from the line of Onkar Ghugardare from Shree Investments.

Onkar Ghugardare: My question was regarding , I know it's been only few months you have taken out o n BevCo . But could you share some vision on that where you want to take it? What kind of size it can become in terms of overall portfolio for Varun Beverages?

Raj Gandhi: South Africa is a huge market, with one of the highest per capita consumption rates of about 250 servings per person . However, PepsiCo's market share is very meagre at 1.8%, and even when comparing Pepsi Co and Coke, the global brands, the relative share is only 2.7%. This presents us with a huge upside for growth. In the past, our track record has been good with Zimbabwe, Zambia & Morocco. PepsiCo had no share in the past in Zimbabwe , but as we've mentioned in past calls, we achieved 71% market share. Similarly, we've made strides in Zambia, and in Morocco, we've repeated this performance. You have to give us some time to get

our act in order. And make it grow few folds, at least.
Onkar Ghugardare: Okay. So , like volume -wise, it is lesser than India, but the realization will be much higher, right?
Raj Gandhi: Realisation per case in India is much higher.
Ravi Jaipuria: We think, it is still too early for South Africa answers. Give us a little bit of time to understand the full market, a quarter or 2 , let's then give you the right answer but it's a huge market with a huge scope, and we are working on it.
Onkar Ghugardare: In terms of the Indian growth this season, you said that Holi festival was delayed by 17 days, that's why there was some loss or delay .
Raj Gandhi: 17 days delay was for India for Holi.
Ravi Jaipuria: That was for the first quarter because Holi was late this year, and Ram zan was earlier, so it affected the season partly, that benefit we will get in th e next quarter.
Onkar Ghugardare: So there w as delay of sales, in the current quarter
Raj Gandhi: Yes. Basically, the calendar doesn't coincide, summer calendar v/s the reporting quarter. Yes, there will be some shifting from last quarter to this quarter because summer is shifted towards April.
Onkar Ghugardare: Okay. Just wanted

one clarification that all the 3 plants, which you just told, all of them were working, operating in the last quarter?
Ravi Jaipuria: They are all operative from April onwards.
Onkar Ghugardare: And what was the utilization in the last quarter, Jan to March, for all 3 of those?
Ravi Jaipuria: Two of them have started operating only in April.
Onkar Ghugardare: And the one remaining, which started in January, I think?
Raj Gandhi: The one which started last quarter, January, February are not season month s, those are part of the off -season. But as we are heading towards the season, every plant is being utilized more or less around 100%.
Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: The first question is when you talk about the low or lightweight packaging. Can you talk about how much percentage of total portfolio is lightweight packaging currently? And how much it is going to increase from current level? And the second question is for the low sugar content, we are talking about 46% of the total consolidated s ales volume is from low sugar content. Can you talk about from here, can you increase this percentage?
Raj Gandhi: Well, it's difficult to give a futuristic number. But for the past, if you are interested, we have worked in detail and compared it from 2010 to 2023 in Page number 15 of our quarterly result presentation put on website, and we have also given this for various SKUs 600 ml, 750 ml, 1 litr e, 1.25 litr e and 2.25 litr e as well as reduction in the grammage for the closures. So these two things are already provided in much detail in Page number 15. And the scope for future basically will depend upon the technology changes, etc., which will support the rate reduction.
Sumant Kumar: And what about the sugar content, 46% portfolio?
Raj Gandhi: As we stated in the opening remarks, currently ~46% of our total portfolio consists of either zero sugar or low sugar products. South Africa will significantly add up to this achievement, with approximately 90% of our portfolio being comprised of low or no sugar products in that country. Another country following suit is Morocco. In India, we are also making considerable efforts. Our recent launches include Mirinda, 7UP, and ot her products by PepsiCo, such as Pepsi zero sugar and low sugar Sting. We are continuously developin g more options. For instance, Gatorade, which PepsiCo has provided us with a formulation containing zero sugar, is a recent launch. Our efforts to reduce sugar content remain constant.
Sumant Kumar: And this will help our gross margin going ahead?
Raj Gandhi: Yes, to some extent, it is helping us also in the gross margin.
Moderator: The next question is from the line of Karan Gupta from Varanium Capital.
Karan Gupta: My question is regarding the capital structure, how we are looking forward for the next 3 -4 years, how much debt we are including and how much equity you are putting up. Over the years, our debt is increasing. If you just see the last 2 to 3 years, debt is increasing significantly. And I understand this thing that we are entering into the market, where the opportunity is very huge. So , the expansion part is must. But over the next 2 to 3 years, how we are looking forward to raise the debt as we are also putting up expanding our capacity. How much the cash flow we are generating? Just the estimat ion that we will not add much debt in our capital structure. Is there any benchmark, any structure you have prepared for the next 2 to 3 years that, let's say, 30%-40% will include from our internal accruals, and then the rest will be from debt? So, that's something kind of question I had.
Raj Gandhi: In the past , any time for the last 3-4 years, you must have noticed that our Debt-to-

EBITDA is around 1 - 1.25 and Debt to Equity is 0.5 - 0.7. After the season ends in 1 or 2 months, these ratios wil

l be at the same level. When we made this statement , in a couple of months, we'll be amortizing debt, which we have taken in the current year, for setting up 3 new plants and for acquisition of BevCo. By the year end we shall be at the same level as of December 2023 . In return , what we get is perpetual increase in EBITDA and equity, including retained earnings. Yes, we had to take on this debt in the interim, but it has helped us in enhancing the return for our stakeholders with a very healthy ROI. And we are conscious of the fact that it should not go beyond comfortable levels.

Karan Gupta: And with these 3 greenfield expansions , what's the estimation of your cash flow submission from this, how we are looking forward around Rs. 5,000 crore of cash flow in terms of cash flow from operations? We are currently hardly Rs. 1,500 crore. So, that the cost reduction will be there.

Raj Gandhi: Well, it's a little difficult to calculate that way. These are integrated plants with backward integration, and 2 out of these are with the aseptic packaging line, which are capable of producing Tropicana as well as Cream Bell VAD. So all these are slightly difficult to explain at a granular level on the phone . However, we can only say that debt levels are well within the norms .

Karan Gupta: Further for expansion, as you said, for a CY25, you said June will be the time you will announce some CAPEX for the CY25. What's the plan for again, same question, for the better structure? If you're raising anything or there will be internal accrual?

Raj Gandhi: Well, all the all expansion from 2019 to 2024 in last 5 years had been only from internal accruals and the ratios of debt equity and debt EBITDA remained more or less at the same level and have shown improvement only. But however, sometimes in the short run, this maybe supported through the borrowing because you have to incur the CAPEX first and then from the very first year itself from April, May, June, you start realizing and brings us to a comfortable level. We study our balance sheet in 2 parts, actually. One, is when we incur the CAPEX , the asset are put to use that's around December and June is when it is actually put to use and we amortize part of debt.

Moderator: The next question is from the line of Sanjaya Satapathy from Ampersand Capital.

Sanjaya Satapathy: So my question is that in the Cream Bell, you were kind of giving some color that there was some delay in starting the factory. Can we just complete that part?

Ravi Jaipuria: No, the delay was because of the global supply chain issues . Instead of starting in January, it started in April. But this is still before the season, and it's running very well, and we are practically doubling our capacity.

Sanjaya Satapathy: Sir, the South Africa plant, which will be completely merged and the full impact of it will come from the June quarter. Have you kind of given any idea about how much your depreciation, amortization costs and other costs will go up by?

Raj Gandhi: In South Africa, the acquisition cost for franchise rights essentially balances the asset value, so depreciation costs will not increase significantly. Depreciation ideally has to be seen on the consol level, where in the last 5 years, balance sheet, if you'll see, as a percentage to revenue, the percentage is coming down . Last year it has come as low as 4.2% as a percentage of our top line, which in earlier years used to be 7 % - 9%. So this improvement is very healthy, and it's a good percentage. We have consistently delivered on this parameter in the past.

Sanjaya Satapathy: Sir, will the amortization go up a lot? Or I mean I just wanted to understand the cost impact of South Africa, if at all it is there.

Raj Gandhi: No, it will not have a significant impact because it will contribute maybe anything with Rs.1,800 - 2,000 crore top line. It will have its own EBITDA. It'

s a positive profit - making operation with a huge top line. So , it will not increase as a percentage.

Sanjaya Satapathy: And last thing, if I can ask that you mentioned that you have no plan to immediately use brands like Rockstar that is there in South Africa in India. Just trying to understand what all synergy benefit that you're really looking at? I believe that you are s aying that it will give us 2 quarters, but just understanding the thought process.

Raj Gandhi: The Rockstar brand belongs to PepsiCo, we have to align with them to get their strategy to launch it in India. Basically, this is a n energy drink category to address the premium category, which is very niche .

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers.

Bharat Shah: CY25, barring any acquisition really speaking, that you should mark the beginning of a very favo urable operating and financial leverage for us. Is that right?

Assuming no significant acquisition occurs in 2025 and we will be digesting the
current acquisition of BevCo that we made, assuming no further acquisition in 2025,
then 2025 onward should offer a period of, once again, very favo urable operating
and financial leverage to us is where acquisitions will get digested and we'll scale
them.
Raj Gandhi: Very rightly put up by you. In fact, very true. And this resonates with our earlier
answer that in a couple of months, the CAPEX made by the company in this current
year plus debt for BevCo acquisition will already be amortized. After that, any
addition in the debt is going to be for the CAPEX of CY25 only. Without any new
M&A for CY25, the debt should not substantially change from CY2023 end to
CY2024 end. Also, EBITDA coming from these 3 plants and coming from 5 plants of
South Africa should start contributing and DRC should also start contributing.
Bharat Shah: In a way, kind of flow -through model, very favo urable virtuous cycle that we
witnessed earlier, with top line to operating profit to after the financial leverage into
the cash profit due to depreciation, kind of a favo urable virtuous cycle, what we
witnessed for preceding period of 2 -3 years, something like that, hopefully should
begin in next year onwards.
Raj Gandhi: In fact, this is what we are demonstrating for the last several years. And this is what
we always plan. But in the short run, a little variation is always possible. See what
happens if there is a demand growth in the market, we must prepare and make every
endeavo ur that we don't lose our share by advancing the CAPEX . At the same time,
if internationally some opportunity comes up, we should not delay the M&A and
temperately support the cash flow through the borrowing. But of course, we have to
be very cognizant of the fact, one, that we do not spoil our leverage ratios. Secondly,
we are confident in a period of 12 to 18 months, we are going to come back to the
original strict levels.
Bharat Shah: Without doubt. I think what has been achieved so far has been really commendable
on each acquisition in each move, but always the heart is greedy , Yeh Dil Mange
More . So it only from that point of view.
Raj Gandhi: Mr. Jaipuria is smiling. He is amused from the statement and adopting our tag line.
Thank you very much.
Moderator: The next question is from the line of Ruchita Ghadge from I -Wealth Management
LLP.
Ruchita Ghadge: My question was mainly on the line of DRC. Just wanted to understand, what kind of
volumes can we potentially do in that region? And how big is that market?
Ravi Jaipuria: That market is quite large. But unfortunately, the numbers are not very clear in that
market, it's more than 100 million population and warm climate. We have put 2 large
lines and our capacity is about 35 million cases. We hope to do well and as soon as
our plant starts by the end of this quarter, we will really see how well we do and

how
fast we can grow that market.

Ruchita Ghadge: And sir, similarly, the South Africa, sorry if I missed it, but how big is that market?
And how much volume can we do there potentially?
Ravi Jaipuria: South Africa is close to 1 billion case market. It's a huge market, and our Pepsi Co
share is only ~2% practically , there is huge room there, although we have our own
brands where we are doing well and another ~10% market share is that. But as a
market, it's a very big market, and we have huge scope to grow, and we have 5
plants.
Ruchita Ghadge: And sir, can you give me the capacity of these plants all together?
Ravi Jaipuria: Well, there is enough capacity, but they were not maintained very well. So we are
correcting them. And by September before the season starts, we will have enough
capacity to grow the market. And whatever corrections are needed, we will do it
before the sea son starts.
Moderator: Ladies and gentlemen, we will take this as the last question for today, which is from
the line of Saket Mehrotra from Tusk Investments.
Saket Mehrotra: Sir, could you give us any sense on how much contribution in our sales is right now
coming from quick commerce, if you could just like give us some understanding
about how that channel is evolving?
Raj Gandhi: In fact, the quick commerce or e -commerce is still not very prominent in our segment.
It's very little, and we have not tracked it that minutely, but as and when some more
data on this is available, we'll share.
Saket Mehrotra: And any sense in terms of growth, while I understand maybe the contribution right
now is insignificant, but if you can give us a sense on what kind of growth is coming
from this channel?
Raj Gandhi: Yes. Once we get the more data at that level, we will definitely be sharing.

Moderator: As that was the last question, I would now hand the conference over to the management for closing comments. Over to you, sir.

Raj Gandhi: Thank you. We hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would you like to know more about the company, please feel free to contact our investor relations team. Thank you once again for your interest and support and for taking the time out to join us on this call. Look forward to interacting with you soon. Thank you very much.

Call: Aug 2024

August 3, 2024

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: VBL BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 540180

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 : Transcript of Investors & Analysts Conference Call

Dear Sir / Madam,

Transcript of Investors & Analysts Conference Call held on July 30, 2024 i.e. post declaration of Unaudited Financial Results of the Company for the Quarter and Half Year ended June 30, 2024 is enclosed.

The same is also being uploaded on website of the Company at www.varunbeverages.com .

You are requested to take the above on record.

Yours faithfully,
For Varun Beverages Limited

Ravi Batra
Chief Risk Officer & Group Company Secretary

Encl.: As above

Varun Beverages Limited
Q2 & H1 CY202 4 Earnings C onference Call Transcript
July 30, 202 4

Moderator: Ladies and gentlemen, good day and welcome to Varun Beverages Limited Earnings Conference Call. I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you and over to you, sir.
Anoop Poojari: Thank you. Good afternoon, everyone, and thank you for joining us on Varun Beverages Q2 CY2024 Earnings Conference Call. We have with us Mr. Ravi Jaipuria, Chairman of the Company; Mr. Varun Jaipuria, Executive Vice Chairman and Whole -Time Director; and Mr. Raj Gandhi, President and Whole -Time Director of the Company. We'll initiate the call with opening remarks from the management, following which we'll have the forum open for a question -and-answer session.
Before we begin, I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier. I would now request Mr. Ravi Jaipuria to make his opening remarks.
Ravi Jaipuria: Good afternoon, everyone, and thank you for joining us on our earnings conference call. I hope all of you had the opportunity to go through our results, presentation that provides detail of our operational and financial performance for the second quarter and half year ended June 30 th, 2024.
We are pleased to report robust performance for the second quarter of CY2024 , achieving a consolidated sales volume growth of 28.1%, which includes volumes

from BevCo . The impressive volume growth of 22.9% in India primarily contributed to this outstanding performance, supported by our expanded capacities, enhanced distribution network and a strong summer season. Meanwhile, our international markets remain ed relatively flat. Moreover, it was a seasonally weak quarter for African markets.

We are excited to announce further expansion in our partnership with PepsiCo having entered into an exclusive snack franchising appointment to manufacture, distribute and sell "Simba Munchiez " in Zimbabwe by October 2025 and in Zambia by April 2026. This follows our recent announcement to manufacture and package Cheetos in Morocco by May 2025. These agreements complement our existing distribution of PepsiCo portfolio, marking another significant step forward in our strong symbiotic partnership. Additi onally , we are pleased to share that we have commenced commercial production of carbonated soft drinks and packaged drinking water at our greenfield facility in DRC . With the region representing an untapped market for PepsiCo , this expansion offers a huge growth opportunity for us.

In line with our dividend policy, the Board of Directors has approved an interim dividend of 25% of the face value , i.e. Rs. 1.25 per share. Additionally, the Board has considered and recommended the subdivision split of existing equity shares of the company from one equity share with a face value of Rs. 5 each fully paid up into such number of equity shares having face value of Rs. 2 each fully paid up. This is subject to the approval of our equity shareholders of the company. This is intended for wider retail participation.

With strong performance in a key quarter, we are on track to deliver healthy double - digit growth in the calendar year. India remains a high -demand market with massive growth potential driven by a growing consuming class and the young population. To capital ize on this demand, we are focused on further strengthening our infrastructure, distribution network and product portfolio . With a focus on strategic growth and leveraging new opportunities in both India and international markets. We are confident in our ability to deliver sustainable value to all shareholders.

I would now invite Mr. Gandhi to provide the highlights of the operational and financial performance. Thank you.

Raj Gandhi: Thank you, Mr. Chairman. Good afternoon, and a warm welcome to everyone joining us today. Let me provide an overview of the financial performance for the second quarter and half year ended 30 th June 2024.

Revenue from operations , adjusted for excise /GST, grew by 28.3% YoY in Q2 of 2024 to the level of Rs. 71,968.6 million. Consolidated sales volume reported a growth of 28.1%, reaching 401.6 million cases in Q2 of 2024, which includes about 28 million cases from BevCo. Indian market grew by 22.9%, while the international markets were almost flat primarily on account of volumes in Zimbabwe getting affected due to portfolio of transitioning to zero sugar without affecting profits.

CSD constituted 76%, Juice 8% and Packaged Drinking Water 16% of the total sales volume in Q2 CY24. In the second quarter of CY24, net realization per case was steady due to the consolidation of BevCo where realization purchase for own brands is much lower than the company's average.

Our gross margins improved by 222 basis points to 54.7% from 52.5%. This improvement was due to timely procurement and storage of PET chips to avail pricing benefits. This was a trade -off between savings in cost of goods sold and partial offset of enhanced interest cost due to higher inventory carrying costs. Further, our ongoing focus on reducing sugar content and lightweighting packaging is also contributing to sustainable growth in gross margins . Notably about 46% of our consolidated sales volume now co mes from the low sugar or no sugar products.

As a result of higher gross margins, EBITDA increased by 31.8% to the level of Rs. 19,912.2 million , with EBITDA margin s improving by 74 basis points to the level of 27.7% in Q2 CY2024. With enhanced capacity of preform manufacturing , majority of preform requirement is now being manufactured in -house, leading to shifting of conversion

costs from COGS to other expenses.

Moreover, to get better operational efficiency and low production overheads, we have written off small residual values of Property, plant and equipment of certain lines from the acquired sub -optimal -sized old plants. All the new production categories are fully integrated and backward integrated and the renewable solar energy generation facilities, which will further help in reducing fixed costs.

Depreciation increased by 41 .0% in Q2 CY2024 on account of the acquisition of

BevCo and the establishment of new production facilities. Finance costs increased by 86.2% primarily due to new production facilities , the acquisition of BevCo and, higher borrowing costs. PAT grew by 25.5% to the level of Rs. 12,618.3 million in Q2 CY2024 from the level of Rs. 10,054.2 million in Q2 CY2023 , driven by volume growth and improved margins, partially offset by higher depreciation , finance costs and write -off's of Property, plant and equipment values to the extent of approx. Rs. 700 million .

As of 30th June 2024, our net debt stood at the level of Rs. 58,808 million, up from Rs. 47,345 million as on December 31, 2023. During H1 2024, we spent ~ Rs. 12,000 million on the capex of CY2024 and around Rs. 6,000 million for the capex of CY20 25. Additionally, we acquired BevCo for ~Rs. 11,629 million. Consequently, net debt increased by about Rs. 11,500 million with the remaining amount funded through internal accruals. These strategic investments have expanded our footprint and strengthened our presence across several dynamic markets, both in India and

the African business. Despite these growth -led investments, our financial stability remains strong with debt-equity and debt -to-EBITDA ratios standing at 0.67 x and 1.37x, respectively, as of 30 th June 2024.

In H1 of CY2024, the net capex capitalized amounted to ~Rs. 30,000 million, excluding BevCo assets . This expenditure was primarily for setting up new greenfield production facilities in Supa ; Maharashtra, Gorakhpur ; Uttar Pradesh and, Khordha ; Odisha , as well as for brownfield expansion in Morocco. As of June 30 th, 2024, the capital work in progress and capital advances totalled around Rs. 12,000 million , mainly for the DRC plant and Phase 2 of the Gorakhpur plant, which focuses on Juice and value -added dairy plants. The net capitalization, capex for CY2024 is expected to remain at the earlier disclosed level of Rs. 36,000 million only.

Considering the continued robust demand for our products as well as diversification into our newer product categories, we shall be doing a capitalization of around Rs. 25,000 million -Rs. 26,000 million for the season of CY2025 primarily towards the greenfield production facilities in India and th ree snack s manufacturing facilities in the African markets. Out of the planned capex , about Rs. 3,000 million has already been spent till June 2024, and we expect to spend about Rs. 10,000 million more in the second half of CY2024.

Our working capital days increased to ~33 days as of 30th June , 2024 from ~21 days of 30th June 2023. This increase is attributed to the strategic purchasing of PET chips in India and the inorganic expansion into new markets , including BevCo and the DRC plant . DRC plant, as indicated earlier, already started commercial production on 22nd July 2024, and we have a lot of good hopes out of it.

To conclude, we remain committed to maintaining a strong financial position by focusing on the execution of multiple strategic initiatives that we believe will sustain our long -term growth trajectory . Our ongoing investments in expanding capacities, enhancing our network , on ground infrastructure , and diversifying our product portfolio are expected to drive sustainable and continuous growth in the coming years.

On that note, I come to an end of the opening remarks and would like to now ask the moderator to

open the forum for any questions or suggestions that you may have.

Thank you.

Moderator: The first question is from the line of Aditya Soman from CLSA India. Please go ahead.

Aditya Soman: Sir, two questions from my end. Firstly, on India growth, can you give us a sense of how growth has p lanned out in Q 3, especially in the first month of Q3, since we had a very strong calendar Q 3. And related question to that, can you give us a sense of how this 23% volume growth that we saw in Q 2, how the various months have done, particularly energy drinks an d on CSD with regards from that?

Ravi Jaipuria: Our Q3 is also growing in double digits, and we are quite happy with our growth. Q2 growth was close to 23% in India, which is a very healthy and a very nice growth.

Raj Gandhi: Aditya, as far as Sting is concerned , it's mix is around 15% in H1 . So Sting has stabilized, and we are very happy to say that we are holding on to that in a competitive scenario and still expanding further. And as far as rest of the mix is concerned, we have seen growth in juice and in CSD s, but we have deliberately kept the sale of water quite low in this quarter because, as indicated earlier, the margin is

comparatively lower in case of water. We increase d water only in Morocco, where realization is much higher as compar ed to India. And as Chairman said, the outlook stays healthy going forward also.
Aditya Soman: I understand, very clear. And then just maybe a second question on the new snacking opportunity. At the margin level, would business be similar to what you've seen for beverages, or do you have any sense of how the margins for the snacks would compare in Morocco, Zimbabwe, and Zambia?
Ravi Jaipuria: No, for each country the margins are different, but overall, we had a very healthy EBITDA margin of 27 %-28%.
Raj Gandhi: This is for the season. And Aditya, your question is about the snack foods or on the beverage for those territories ?
Aditya Soman: On snack foods . Beverages, obviously we get the overall average, right? So on snack foods, would it be very different from the beverages average or broadly in the same beltline?
Ravi Jaipuria: It would be actually better than the beverages. Snack food has quite healthy margins and it's a good business. That's why if you look at it, mostly, it's kept by Pepsi Co themselves.

Aditya Soman: Understand. Very clear. And then would you look at this as like a stepping stone to hopefully getting more of these in other geographies?
Ravi Jaipuria: We are open to take as many countries they are willing to give us, but it would be in the African region only. They are not interested in giving it to us in India. But each country is a large market and the 3 countries we have taken alone are $800 million worth of market for snacks.
Raj Gandhi: And Aditya, if you remember a few quarters ago when we mentioned it, the initial step was starting the first co -packaging at our Kosi plant. Since then, we have been regularly providing updates. We think the progress we have made in this short time is commendable.
Moderator: Next question is from the line of Gautam Trivedi from Nep ean Capital.
Gautam Trivedi: First of all, congratulations on yet another bumper quarter. So we are happy shareholders. With respect to the fact that you are now at 4 million outlets and the fact that, as you just mentioned. So I guess my question is that, as you just mentioned, Mr. Jaipuria, that the PepsiCo is not expanding the portfolio for snacks outside of Kurkure for India as of today, if I understood that right. Would that be correct?
Ravi Jaipuria: Well, they are keeping the complete snack portfolio for themselves in India. We are only co -packing for them in India and that also Kurkure Puffcorn .
Gautam Trivedi: I guess my question is, since we already have an outreach to 4 million outlets and have successfu

lly launched Cream bell milk products, is there merit in entering the snack food business ourselves with our own brands?
Ravi Jaipuria: We would not like to do that and that would not make our partner happy . We don't think we would be doing that , we are getting full support from PepsiCo, especially in the African country, they are quite happy to give it to us in Africa . We think there's enough room for us to grow, why go into competition with them.
Moderator: Next question is from the line of Abneesh Roy from Nuvama Institutional Equities .
Abneesh Roy: My first question is on the water business. What you are seeing in this quarter, June quarter, the market leader in Juice business base of an impact because out -of-home travel being less. So they were expecting and maybe Street were also expecting good double digit, but it can be lower than that. Sim ilarly, another listed player, which is in Water business, we were also expecting a very strong double digit, but it will be lower than that. Wanted to understand in your business also when I see th is quarter

v/s last year same quarter, around 100 bps lower water contribution is there. So you have also seen some impact of less out of on travel?
Ravi Jaipuria: Well, there is impact because when it's 45 -48 degrees, there is less traffic in the market, which you also saw. So there is a definite effect , and we are also not going out of our way to push water anyway .
Abneesh Roy: And one follow -up question on the coming quarters. I see your base in India is now 15% and 18%. And this quarter, the high range, of course, is not conducive because the temperature will be lower. In December quarter, the La Nina impact generally, the winter is harsher. So would you be still confident that for the entire second half CY, you will be confident of double digit. These are early days, I understand. But given the base and given the seasonality, would you still expect double -digit growth in India?
Ravi Jaipuria: Consolidated, we see no reason why we should not be doing double digits growth .

Abneesh Roy: Not India.
Ravi Jaipuria: India also.
Raj Gandhi: The factors influencing the extent of what we are saying are, First, the stability in the South where seasonality is flat, so those regions will continue to contribute.
Secondly, in Africa, the second quarter of the year is a low season , while the peak season is in the fourth quarter . Further , BevCo and DRC will contribute to this trend going forward.
What we are seeing in our 30th June results is all the costs associated with setting up these operations. We should be mindful that in Africa, through BevCo acquisition and a new plant in DRC, we have doubled our capacity this calendar year. The result of that has not yet come, but we are seeing the costs, depreciation, and interest related to it. We have also taken some strategic decisions where we have taken advantage in COGS by stocking PET materials, and the cost of which is getting reflected in the in terest cost. The interest expense was at its peak last quarter . And i n the next few months, when the costs come down, as our model sta ys the same and as the chairman explained, with these two territories of SA and DRC , for whom the season is going to be the fourth quarter, and with the South and West India , which have flat seasonality, there is no reason why we should not achieve double -digit growth.

Abneesh Roy: Sir, last question, back on Africa. So , on Africa, if I see, another HPC company has sold some parts of Africa because of, maybe the potential not being to the desired expectation. And if I see per capita income of Africa also last 10 years , it is very below initial expectation. So my second qu estion here is if Pepsi is happy in some geographies in Africa to give you, what are the pros and cons and how would you also meet because currency fluctuation iss

ues, lack of democracy or per capita income not at all meeting the expectation, what is initial expectation. What are your proactive steps to overcome to you?
Ravi Jaipuria: See, if you look at it, the per capita consumption in Africa is 5 -6x of that of India. The consumption in African countries is very high. Secondly, the population growth in Africa is close to 3%. Every year, there is close to 3% people being added. So , there is a huge potential . Also, Pepsi is very underpenetrated in Africa , like DRC which was a white patch. In South Africa, we are at ~2.0-2.5% market share. So , there ’s nothing to go down. There ’s only upside everywhere, which we have shown in the other markets too, we have seen that every year, we have gained share or increased our margins and done better. We don ’t see any reason in Africa where we would be struggling, it might take a little longer , because each country is a different animal.
Raj Gandhi: And you asked in your question that the per cap ita income is low, but as Chairman explained, per capita consumption is higher, which compensates much.
Ravi Jaipuria: Soft drink is food in Africa, it ’s not a luxury. It ’s a food. Almost e very individual has soft drinks in the afternoon.
Raj Gandhi: And on the currency, we think the worst situation is in Zimbabwe. However, we have managed very well over the last few years; it ’s a debt -free company and is really growing. The sugar tax, which came a couple of quarters ago, did cause volumes to drop during the transition, but the margins were not affected. Now, volumes have started to recover. So, we have learned to manage these c hallenges in Africa effectively.
Ravi Jaipuria: If you can manage it, Africa is a great business and going forward it ’s looking very positive for us.
Abneesh Roy: Sir, I understood on the positive. Just one question on your comment on why Pepsi is willing to give some part of Africa, but not willing to give India.
Ravi Jaipuria: They don ’t give snacks anywhere in the world. This is the first time they have started giving snacks. They will give it in the smaller territories. Snacks worldwide, they don ’t give franchise. We are one of the lucky ones who have got it initially.

Moderator: Next question is from the line of Percy Panthaki from IIFL.
Percy Panthaki : Congrats on a good set of numbers. My question is also on the Foods business. While there is some idea on what is happening there in terms of the company willing to give you a franchisee, etcetera. As investors, if you can give some better guidance on how to estimate what kind of sales this business could generate in the next couple of years so that we can accordingly model it.
Ravi Jaipuria: Well, I think at present we are looking at 3 countries and in the next couple of years, we can definitely look at close to $100 million revenue depending on which other countries we expand . It's a growing market and it ’s a very lucrative and a positive market in snacks because the capex is much lower and the turnovers are much

higher.

Raj Gandhi: Percy, just see the data points we have already shared. One is the capex. Second is the date from when the plants will be installed. Third is the market size. As of now, these should be sufficient because we only have these data points. Once this starts, the size of the market and Pepsi Co's presence will be factors to consider. The rest of the projections depend on the date by when the plants will be ready. According to the new guidelines, we have to inform about any new investment . So, we have informed and are now working on those things. Except in Morocco, where we had the selling and distribution agreement and sales started ahead of time.

Percy Panthaki : Understood, sir. Second question is on the capex . If I look at your cash flow statement, in addition to the acquisition, there is a Rs. 2,000 crores of capex as per t

he cash flow. And if I look at the balance sheet, there is about a Rs. 3,000 crores of capitalization. So , if you can just help me for the remaining half of the year, how much we should see capex in the cash flow and how much more in terms of capitalization?

Raj Gandhi: Percy, you remember on the 31st of December, we mentioned that out of this year's total estimated capex of Rs. 3,600 crore, approximately Rs. 2,400 crore was sitting in CWIP.

Out of the opening CWIP of Rs. 2,400 crore plus Rs. 1,200 crore spent in the current year for current year's capex , Rs. 3,000 crore is capitalized, and Rs. 600 crore will be capitalized later. The major part of remaining capitalization was DRC, which got capitalized on the 22nd of July, with Rs. 400 -plus crore, and roughly Rs. 200 crore is in Gorakhpur, which is still a work -in-progress.

For the next year, about Rs. 2, 600 crore is planned for new plants coming up in areas near the market to take freight benefit and handle the competition more effectively. Out of the planned capex for next year season , about Rs. 300 crores has already been spent till June 2024 and we expect to spend about Rs. 1000 crores more in the second half of CY24.

Percy Panthaki : Understood. So basically, next 6 months, the cash outflow you are saying will be about Rs. 1,200 crores for next 6 months?

Raj Gandhi: Rs. 1 ,000 crores, roughly.

Ravi Jaipuria: Rs. 300 crores is already incurred.

Moderator: Next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Sir, congratulations on a very good performance, and thanks for the opportunity. Sir, this 23% growth when we compare it to about 40 %-45% expansion in our capacity. I guess some of it is due to delay in opening of some of the plants, which happened during the quarter. The question is to check is in even for a short period of time, did we touch the peak capacity in the June quarter?

Ravi Jaipuria: Well, for very short period before some of our new plants started because some of the plants got delayed slightly because of the supply chain issues and the containers getting delayed.

Raj Gandhi: Moreover, majority of the expansion was for CSD Lines in India.

Devanshu Bansal: Got it, sir. Second question is on margin time. Our stand -alone EBITDA margin improved largely in line with the gross margin improvement that we have seen. However, in the consol idated level, there is some mismatch between gross margin gains and EBITDA margin gains. What is the reason for that, sir?

Raj Gandhi: Yes, this is because of consolidation of South Africa territory , which has come with its own brands, and their higher costs . This was the first quarter, and South Africa's ratios are slightly different .

Ravi Jaipuria: One, it was the first quarter. Second, it was the winter quarter, which is the worst quarter for the African region and especially South Africa. So , give us another quarter and we will be pretty used to South African systems and market . We are just correcting all the weaknesses to be prepared for the next season, which is coming up in the fourth quarter of the year.

Raj Gandhi: And in Q2 , basically, one, we were setting it right in South Africa. And secondly, we were installing the DRC, which is now operational and start ed contributing from this quarter.

Devanshu Bansal: A couple of bookkeeping questions. The working capital days have inched up to 31. Can we expect normalization back to 20 -odd days at CY 2024 end?

Raj Gandhi: In fact, in a couple of months , you'll see the difference. As already explained, we purchased excess PET chips worth about Rs. 250 crore to take advantage of the pricing, which has led to a substantial increase in the gross margin. However, this has been partially offset by an increase in inventory carrying cost and interest cost.

Nonetheless, it made sense as it brought savings.

So, we decided to proceed with this strategy. In the normal course, if we stop purchases, the excess inventory will be liquidated in the next couple of months .

Devanshu Bansal: Got it. And sir, you mentioned about margins in the snacking business better being , better than the overall beverages business. Can you throw some light on asset turns for this business? Are these also better versus the beverage business?

Raj Gandhi: It should be similar , and the only advantage is that we don't have to run that business with three shifts, which is not that complicated. In this business, we don't have to make adjustments in the off -season, reduce the staff, and still manage the sha w.

Ravi Jaipuria: The seasonality curve is much better in snacks. It's reasonably flat. So you get a much better return on your capital.

Moderator: Next question is from the line of Nitesh Dutt from Burman Capital Management.

Nitesh Dutt: My question is regarding the usage of recycled PET chips. So if my interpretation is correct, you will have to use 30% recycled content, I think, from 1st of April 2025. So given, I believe there are capacity constraints in the market and Indorama joint venture potentially is not active yet. So how are you planning to comply with the regulations from per capita as well?

Ravi Jaipuria: The joint venture plant will be operational next year and will be sufficient to give us close to 30% of our requirement . Between what we are buying and what the plant will be able to produce , we don't see any challenge.

Raj Gandhi: And as a trial, last year we started production of Pepsi Black from recycled PET procured from outside .

Nitesh Dutt: And sir, what will be the impact of this on your cost of PET chips? Would it be gross margin dilutive? Also, do you expect any kind of relaxations in this from the government or regulators?

Ravi Jaipuria: We don't know about the relaxation part, but it's not very negative on margins . It's very close to the virgin PET chips. So we don't think it's much of a margin issue.

Moderator: Next question is from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: My first question was, sir, if you could give some flavour on the market share which we have in Africa for the Beverages business, we understand South Africa, it's low single digit, but if you could remind us what is our market share across the markets we are present here?

Raj Gandhi: Sheela, as we have already informed you that we have different share in different markets, South Africa we just discussed. And in Zimbabwe last year, we reported ~71% market share on a full year basis. And we finished at about 35% in Zambia . And including water, we did ~30% in Morocco.

Sheela Rathi: Just a follow -up on the question asked earlier on working capital days. So you mentioned that this will be resolved in the next couple of months. Does that also mean for the consolidated changes also, which we are seeing because of BevCo? Because you know inventory days are higher, debtor days are higher as well as the receivable days are higher. So I just want to understand whether all this will improve in the coming months.

Raj Gandhi: Well, as far as the effect of BevCo is concerned, it will take time. It will start showing results from the next quarter, but it will take a lot of time because there are many fundamental issues to correct. Market penetration needs to be deepened so that w e can dictate the terms. Currently, most of their volume sales are to large modern trade outlets , where it's very difficult to dictate terms; instead, they d ecide the terms for the number of days of credit period . This will not change in a coup le of days but rather in a few months. The impact will be felt in a couple of months, and it will definitely be addressed over time.

As far as India is concerned, it’s in good shape because we have been in this business for 50

years. And in South Africa , we have only been there for 4 months.

Initially, we are assessing what needs to be done. On the margin front, the realization is much lower for own brands , about 30% lower than the Pepsi Co brands in that country. The mix of PepsiCo brands , which used to be 15%, has already increased

to 18.5%. Gradually, Pepsi Co brand ’s sales mix will start improving, and this will help.

We need to create our own larger facilities with economies of scale, like in India. All three of our plants that started this year in India are using solar electricity. We generate our own power and do 100% backward integration in -house. We are aware of these changes in India, and we plan to replicate them in SA , though it will take time. However, we should not underestimate the value of our investment. Acquiring five operational plants for ~ Rs. 1,200 crore was too reasonable , and we need to capitalize on that. We have taken a big step, but the results will take time to come in .

Moderator: Next question is from the line of Sanjaya Satapathy from Ampersand.

Sanjaya Satapathy : Congratulation s once again for delivering superb numbers. Sir, you have already explained, but still made a bit of clarification that your staff cost and other expenses as well as finance cost , as expanded both for the stand -alone as well as consolidated entity. So if you can just explain like why such a big jump in staff cost, particularly.

Raj Gandhi: 9 plants were added in H1 compared to the last year: 5 in South Africa, 3 in India, and 1 in DRC. The results of these additions are yet to come in. As we mentioned, it will take some time for us to stabilize. The expenses have already come in , but the revenue will start building up. And f or South Africa, as we have discussed, keep in mind that it was the off season. If you calculate the interest cost and depreciation in India for November, December, and January, it mirrors the winter months in South Africa. We will see the positive impact over th e next two quarters. Improvements will come as we make progress, and the steps we are taking will bring advantages, as well as economies of scale and backward integration.

Today, they have to buy everything from outside, unlike in India where we manufacture everything in -house, except for concentrate and sugar. Further, ~85% of their sales are from their own brand, and they don't have the ability to upcharge in the market. They are treated as B-Brands , where the realization s are 30% lower than if we manufactured the same product on the same equipment with the same sugar, but for the Pepsi Co brand, which is a more premium, well -accepted, and recognized brand. On the availabili ty side, as we mentioned, we had to make a lot of adjustments. Currently, they are too dependent on modern trade .

Sanjaya Satapathy : Understood. And lastly, I just wanted to check that you will continue to be on an investment phase for quite some time to come, which is, in a way, a good thing because you have that kind of a growth opportunity ahead of you. And is there any way to articulate that what kind of minimum return on capital employed or any other

risk parameter like net debt to equity or something which you are closely monitoring while you're driving your growth trajectory?

Raj Gandhi: Firstly, regarding the debt -to-equity and debt -to-EBITDA ratios, we are very cognizant of those and are monitoring them closely. Based on these ratios, we decide on any capital expenditure. The only time we felt the need to address this was in 2019 when w e were acquiring South and West India , which led us to do a QIP. Currently, all these ratios are well under control, and we are in a very happy situation. So there is nothing to worry about; these issues have been taken care of .

Moderator: Next question is from the line of Amit Purohit from Elara Capital.

Amit Purohit: Sir,

just on the comment that you made on international volumes, which are flat ex of BevCo and that you ascribe it to shift towards zero or low sugar. One, while you indicated 46% of the volumes is low sugar, I mean, majority of that would be in the international market, right? Just one clarification.

Raj Gandhi : That's right. Yes.

Amit Purohit: Yes. And this shift has been happening for quite some time, right? Why has the impact been seen probably in this quarter? And how do we think about it going forward in this transition ?

Ravi Jaipuria: The impact was temporary, which was mainly in Zimbabwe, which is a large international market for us, before South Africa and DRC starts. There was a special tax on sugar. So there was a complete change in the portfolio and that's why there was an effect on volumes for this quarter, which has already changed now, the market is growing back into normal, and we are growing in that territory again.

Moderator: Next question is from the line of Kaustubh Pawaskar from Sharekha n by BNP Paribas.

Kaustubh Pawaskar: Sir, my question is on the realization front. In this quarter, our realization stood flat and we have stated that because of the consolidation of the BevCo business, where the margins are quite lower, the realization stood flat. Considering the fact that in the second half of the year, when season for Africa business is quite good, should we expect realization to be lower in the second half of the year on a YoY basis?

Raj Gandhi: Kaustubh, there are two things to consider: one is South Africa, which will bring it down, and the other is DRC, which might take it up. Let's wait and see. We are analyzing this ourselves, and maybe both will compensate, and we might end up with the same monthly revenue growth and per case sales growth. Moreover, in

South Africa, the mix will also be changing. For example, from the 15% mix of

PepsiCo brands we have moved to 18.5% in South Africa , without adding even a single bottle of capacity or doing backward integration . If we c an increase t his further , the top line will grow from its previous level. We would be happy if we are able to continue this trend.

Kaustubh Pawaskar: Right. Second, maybe Q3, Q4 might give us a better understanding how the realization would pan out.

Raj Gandhi : That's right.

Kaustubh Pawaskar: And just from the understanding point of view, we are seeing the contribution of no sugar or low sugar products going up, are realization and margins in this product much better than the conventional Pepsi products?

Ravi Jaipuria: That's right. Our margins are better with low sugar and no sugar.

Kaustubh Pawaskar: Once the contribution pick up, I think that should also add to your profitability going ahead.

Ravi Jaipuria: Yes. It depends which country and where, but it will definitely help.

Moderator: Next question is from the line of O nkar Ghugardare from Shree Investments.

Onkar Ghugardare : Yes. Is it possible to give the volume growth or how many million cases BevCo sold in the last season, which is the fourth quarter?

Raj Gandhi: Quarter -wise, we can't give historical numbers but t hey sold about 112 million cases last year.

Onkar Ghugardare : The entire financial year, you are saying?

Raj Gandhi : That's right. Last calendar year.

Onkar Ghugardare : And this quarter, it was 28 million cases, right?

Raj Gandhi: Yes.

Onkar Ghugardare : Only for the current quarter, you are saying?

Raj Gandhi: Yes which is 1/4th of 112 that is 28, and this is the weakest quarter. This tells the total story.

Onkar Ghugardare : What you are saying is earlier, you mentioned that you will be seeing quite a lot of changes in BevCo in the upcoming season. Can you just share some light on what kind of changes we are expecting there?

Ravi Jaipuria: Changes with respect to our go -to-market , our backward integration. It will

take time,
but we are going to correct and that's why we have taken the market with such a low share. But if you look at it, what the total year volume was, we are achieving 25% of that practically in the lowest quarter, which is the weakest quarter of th e year.

Onkar Ghugardare : Now that you have understood the market a little bit better when you acquired the company, can you throw a little bit more light on what kind of opportunity you are looking ?

Ravi Jaipuria: It's a new country, and we've only been there for 2 -3 months. We ha ve given you enough information that, during the worst winter, we are achieving the numbers we should. We can't give you the complete exact detail at this point. We wish you would give us a couple of quarters to really understand the country.

Onkar Ghugardare : One more thing is that you had mentioned that DRC will be a big opportunity. Can you just throw more light on that?

Ravi Jaipuria: It's a big opportunity because there's more than 100 million population. And it's practically on the equator. There, i t's summer all the time. The seasonality is very low there. There's no change in seasonality throughout the year. So it's a good market and it will be a constant throughout the year market.

Onkar Ghugardare : What's the presence of Varun Beverage over there or through PepsiCo?

Ravi Jaipuria : We have just started 8 days back .

Onkar Ghugardare : Can you say that, I mean, apart from India and South Africa, this can be our biggest market for you?

Ravi Jaipuria: No, we won't say it's the biggest market, but it will be a decent market for us. India of-course is much bigger, and it will always be the biggest market.

Onkar Ghugardare : And what about the consumption wise, per capita consumption there?

Ravi Jaipuria: Africa per capita consumptions are all high everywhere, South Africa being the highest. I don't have the exact number, but it would be at least 3 -4x of India.

Moderator: Next question is from the line of Shravan Rajpurohit from Nakshatra Assignment.

Shravan Rajpurohit: Sir, my question is, what is your guidance for next year? How much percent we can grow next year?

Ravi Jaipuria: We can't give you exact number . We have said double digit looks feasible, and that's what we can tell you.

Shravan Rajpurohit: Sir, one more question. What kind of growth we can expect in the next 2 quarters?

Ravi Jaipuria: Well, again, the same thing we are saying we should grow double digits. That's the guidance we are giving and that's what it was feasible.

Moderator: Ladies and gentlemen, we'll take that as the last question. I'll now hand the conference over to the management for closing comments.

Raj Gandhi: Thank you very much. I hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about the company, please feel free to contact our Investor Relations team. Thank you once agai n for your interest and support and for taking the time out to join us on this call. Look forward to interacting with you all soon. Thank you very much.

Call: Oct 2024

October 28, 2024

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: VBL BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 540180

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 : Transcript of Investors & Analysts Conference Call

Dear Sir / Madam,

Transcript of Investors & Analysts Conference Call held on October 22, 2024 i.e. post declaration of Unaudited Financial Results of the Company for the Quarter and Nine Months ended September 30, 2024 is enclosed.

The same is also being uploaded on website of the Company at www.varunbeverages.com .

You are requested to take the above on record.

Yours faithfully,
For Varun Beverages Limited

Ravi Batra
Chief Risk Officer & Group Company Secretary

Encl.: As above

Varun Beverages Limited
Q3 & 9M CY202 4 Earnings Conference Call Transcript
October 22 , 2024

Moderator : Ladies and gentlemen, good day and welcome to the Varun Beverages Limited Earnings Conference Call.
I now hand the conference over to Mr. Anoop Poojari from CDR India . Thank you , and over to you , sir.
Anoop Poojari : Thank you. Good afternoon, everyone, and thank you for joining us on Varun Beverages Q 3 CY2024 Earnings Conference Call . We have with us Mr. Ravi Jaipuria , Chairman of the Company; Mr. Varun Jaipuria , Executive Vice Chairman and Whole -Time Director; and Mr. Raj Gandhi , President and Whole -Time Director of the Company . We will initiate the call with opening remarks from the Management , following which we will have the forum open for a question -and-answer session .
Before we begin, I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the results Presentation shared with you earlier . I would now request Mr. Ravi Jaipuria to make his opening remarks .
Ravi Jaipuria: Good afternoon , everyone , and thank you for joining us on our earnings conference call. I hope all of you had the opportunity to go through our results presentation that provides details of our operational and financial performance for the third Quarter

and nine months ended 30th September 2024 .
We are pleased to report another strong quarter despite the challenges posed by excessive rainfall in India. We achieved consolidated revenue growth of 24.1% including contribution from BevCo driven by our expanded distribution network, increased product penetration and favorable demand trends in key markets .
Enhanced operati ng efficiencies led to an improvement of 117 basi s points in our EBITDA margins , resulting in a robust 30.5% growth in EBITDA and a healthy 22.3% growth i n PAT for the quarter .
On the operational front, we are excited to share the successful commissioning of our Greenfield facility in the Democratic Republic of Congo (DRC). In response to strong demand and our limited presence in this region , we have swiftly ramped up the facility to 100% utilization on a three -shift basis. This performance has encouraged us to move forward with expansion plans including backward integration and the second facility expected to commence operations in the next calendar year .
Furthermore, we are making significant progress on new facilities across India, which

are on track to be commissioned before the key season next year. These developments reflect our commitment to capturing high growth opportunities and enhancing both our domestic and global footprint .
As part of our commitment to long -term growth, the Board of Directors has approved a proposal to raise funds through the issuance of equity shares with an aggregate amount not exceeding Rs 7,500 crore by QIP, subject to shareholders' approval. The capital will be instrumental in supporting our growth plans, including expansion into new territories, potential strategic acquisitions, and further strengthening of our balance sheet .
Overall, our focus remains on sustaining healthy growth in both Indian and international markets. The Indian market, with its growing consumption class and evolving consumer preference continues to offer immense opportunities . Meanwhile , our global operations, particularly in Africa, are positioned to drive further growth as we capitalize on emerging demand trends and enhance our operational capabilities .
Our proven execution capabilities have been instrumental in delivering exceptional value to all stakeho lders. And we remain committed to sustaining this momentum well into the future .
I would now like to invite Mr. Gandhi to provide the highlights of our operational and financial performance. Thank you very much .
Raj Gandhi: Thank you, Mr. Chairman. Good afternoon , and a warm welcome to everyone joining us today. Let me provide an overview of the financial performance for the third quarter and nine months ending 30 th September 2024 .
Revenue from operations , adjusted for excise/GST , grew by 24.1% YoY in Q3 CY2024, to the level of Rs . 48,046 .8 million. Consolidated sales volume increased by 21.9% to the level o f 267.5 million cases in Q3, 2024, including about ~34 million cases from South Africa and DRC markets . The Indian market grew by 5.7%, primarily impacted by heavy rains throughout the quarter, while international markets grew by 7 .9%. CSD accounted for 75%, Juice accounted for 4% and Packaged Drinking Water accounted for around 21% of the total sales volume in Q3 CY2024, this is at a consolidated level . Non-carbonated beverages portfolio which includes juice-based drinks and value -added dairy beverages, sports drinks, etc. in India has grown by 23.9% in the 9M CY 2024 YoY .
Our gross margins during the quarter improved marginally by 22 basis points, rising to the level of 55.5% from the earlier level of 55.3% , reflecting our continued focus on cost management . This, along with higher operational efficiencies, led to a 117 basis point expansion in our EBITDA margins, rising to the level of 24 .0% from the earlier level of 22.8%. This is driving a robust 30.5% growth in EBITDA , which has gone to the level of Rs. 11,511 .2 million during the quarter .
Depreciation increased by 50.2%, primarily due to the acquisition of BevCo and the establishment of new production facilities in India and the plant in DRC . Finance costs increased by 89.7%, reflecting the impact of the new CAPEX on these facilities, the BevCo acquisition and higher borrowing costs . PAT grew by 22.3% to the level of Rs. 6,288.3 million in the Q3 CY2024. This is compared to Rs . 5,140.6 million in Q3 CY2023. This is driven by volume growth and improved margins .
The other income in India more than doubled on account of Rs. 310 million dividend received from Sri Lanka. This is the m aiden dividend declared by that subsidiary. This is for the first time and is non -taxable under the Income Tax Act .

In conclusion, the company continues to maintain a solid financial foundation. Our focus on expanding into high potential markets, enhancing our product portfolio, and investing in new production facilities positions us well to drive long -term growth in both India as well as international markets . F

ollowing the integration of BevCo this year, we are also focused on driving our presence in the South African market. With efforts already underway, we are confident that this will provide additional avenues for growth in the near future .

Additionally, as covered by the Chairman, the Board's approval for a QIP of an amount not exceeding up to Rs . 7,500 crore, subject to shareholders' approval, will further support our growth plans. The funds will be raised to enable the company to repay debt and enhance profitably at PAT level. This will also strengthen the balance sheet and prepare the company to pursue strategic acquisitions. The net debt was around Rs . 6,000 crore. This was including CWIP on capacity for CY25 season , through implementation of plant at Kangra, Himachal Pradesh, Prayagraj , Uttar Pradesh and Buxar, Bihar and Meghalaya .

On that note, I conclude my opening remarks and would now like to ask the moderator to open the forum for any questions or suggestions. Thank you .

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Aditya Soman from CLSA. Please go ahead .

Aditya Soman: Two questions from me. Firstly, on the India volume growth , which has deflated sharply, are there any sort of regional or brand level nuances given the relatively sharp slowdown? While I understand obviously the rains have been very uneven in the quarter and this quarter is not very large seasonally, I just want to understand if there were any differences between different regions and secondly, just in terms of whether there's been a recovery in October .

And the second question is on competition. Now, Tata Consumer in their call indicated that they were impacted by the higher trade margins offered by Campa Cola. Have you seen any effect of this?

Ravi Jaipuria: First of all, the 2nd Quarter and 3rd Quarter normally should be looked combined together because the rains can shift one month this way or that way. Sometimes the rain becomes heavier in the 2nd Quarter and at other times the 3rd Quarter gets affected by heav y rains. Rain affects a big portion , especially the rural part of the business , and which is what has happened this year and that is one of the main reasons we see. We don't see any other major challenge in the growth in the market .

As far as competition is concerned, as we have always said before, Campa is a formidable competition. They are in the market, but we are improving our go -to market . It has not affected us at the moment and going forward , they may take a part of the share of the total market. Who is going to get affected ? we are not sure. Maybe it will be the smaller B-brands, maybe the people who are stronger in cola or may be the market itself will expand .

It is very difficult to answer, but they are a formidable player, and the India growth story is so large that we think there is enough room for everyone to grow . And if we look at it, there are 12 million FMCG outlets in India , and we are only reaching out to close to 4 million outlets. So, there is so much room for everyone. There is enough room for us to grow, as well as for our competitors to grow.

Aditya Soman: Thank you , Mr. Jaipuria. No, I agree on the growth opportunity . The question was actually more with regards to sort of trade margins. Was there any change made by trade margins by us as well in the reaction to that?

Ravi Jaipuria: The results are self explanatory , our EBITDA has actually gone up .

Moderator: Our next question is from the line of Abneesh Roy from Nuvama Institutional Equities . Please go ahead.

Abneesh Roy: I have two questions. First is on the QIP, Rs. 7,500 crore . Will it be largely used for acquisitions and if possible mostly Africa or will it be for debt reduction given Rs. 6,000 crore debt is there ? Historically, y

ou have been much more focused on the expansion part of the business. So, will it be half -half or any clarity if you can give on how you think in terms of use of the QIP?

Ravi Jaipuria: It will be used for both. It will be for a reduction of debt as well as we are looking for acquisitions. We are always open to acquisitions. We have been getting opportunities in the past and hope we will keep on getting new opportunities. We want to have a war ches t available with us so that when the opportunity is available, we can raise debt at that point of time instead of carrying the debt when we can pay it.

Secondly, we are also looking at expanding our snack business in Africa, which we see has a huge potential. Also, we are expanding our capacities in India. It can be

partly used in different , different areas .
Abneesh Roy: My second question is on the India business. Of course, this quarter almost every beverage company was impacted because of the rain. My question is, would you need some inventory correction? If you see , Dabur saw very sharp inventory correction because for them 2 back to back quarters was on the higher side . Your volume growth in the previous quarter Q2 was 22% and now 5.7 , and your base is quite high. Your base is almost 19% in December quarter. If you could comment on how you see the December quarter, no specific guidance, but given La Nina effect and given high base, and would you need some inventory correction given the kind of scenario current you have?
Ravi Jaipuria: We don't carry that much inventory, and we can correct our inventories any time we want within 30 days , it is not something that we have to hold for 6 months or 8 months. Sometimes when we see a favorable pricing in a raw material or a category which can be stored, then we pre -buy it and store it. Otherwise, we can correct our inventory any time. We don't have an issue .
Abneesh Roy: And the last quick question on Campa Cola. In terms of Rs. 10 pricing , in how many States would you have that in terms of your key products?
Ravi Jaipuria: We don't sell at Rs. 10. We are not selling anything at Rs. 10 except glass bottles .
Abneesh Roy: Given Campa Cola's entry, at some stage, would you need to shift to Rs. 10 pricing also, and from glass to pet , how do you see the customer preference? Because pet bottle, obviously you can carry it, obviously much cleaner option. Glass also would have some advantage. Could you share your thoughts?
Ravi Jaipuria: Glass sells mostly in restaurants and eateries. Eateries and restaurants prefer to carry glass where they can make better margins , while PET sells more on the go. We have our products which are differentiated totally from what Campa is selling. As we said, you know, they will help expand the market.
Abneesh Roy: And your pet will be Rs. 15 - Rs. 20, right? Currently?
Ravi Jaipuria: Our PET bottle pricing is at Rs. 20.

Moderator: Our next question is from the line of Ja y Doshi from Kotak Institutional Equities . Please go ahead .
Jay Doshi: Could you give us some more color on what's your, b ased on the early success you have seen in DRC, the roadmap ahead, I know you have shared some details in the presentation, but I want to broadly understand how big the market is and what is a reasonable market share to have in a market like DRC , that is one . And second is, I think in the six months so far, you have clo cked about 60 million cases, 58-60 million cases in South Africa. What is the seasonality in that market? Because the next six months will probably be the peak season there. And hence, what should we expect from the first 12 months from the operating perspective, from July to June, if you were to think that way?
Ravi Jaipuria: In our first 6 months in South Africa, we were primarily focused on fixing our backend, and it was the low season , similar to

our winters here. From October to March, it is peak season in South Africa, and we have now corrected most of our backend. We expect reasonable growth moving forward and we are improving our go -to market strategy for the same . It's a bit early to say because October has just started, but we definitely believe we should do a reasonably decent job . As far as the DRC is concerned, the capacities we put are sold out. We are expanding our capacities, with part of the expansion happening in early January and February, and the balance will be in July and August .
Jay Doshi: This is a doubling down of capacity at the current plant will happen in Jan-Feb and the new plant that you are opening in the other part.
Ravi Jaipuria: Overall , it will be more than doubling the capacity .
Jay Doshi: And currently it is a nameplate capacity is 25 million cases, right? While you are operating three shifts, you may be doing more .
Ravi Jaipuria: No, it is about ~35 million cases considering three shift operations for full year .
Jay Doshi: By this time next year, your capacity for DRC will be 70 million cases or more than double what you indicated .
Ravi Jaipuria: Yes, it should be .
Jay Doshi: And just to follow up there, in India, typically the seasonality we see is that this first half tends to be a little over 60% of annual sales. Is that something we should expect in South Africa as well, that the next 6 months should be more than 60 %-65% of annual volumes ?
Ravi Jaipuria: This is our first year and we can't give you the exact details yet. We need a little more time as we are making the necessary changes to enter the markets which were not entered properly. Hopefully, the seasonality will follow 60-40 as you have said.

Jay Doshi: And just one question more if I may ask . You know, lately we are seeing this Jeera Masala Soda seems to be doing quite well in many markets and we see it in some small retail outlets as well in Mumbai. What are your thoughts on the opportunity in some product like that and whether there is a case for you to have something ?

Ravi Jaipuria: We hope to have something by next year. We are in discussion with Pepsi Co, and hopefully we should have something soon. We already have Nimbu Masala Soda , which we are relaunching and hope to have something with J eera also. However this depends on when Pepsi Co is ready .

Jay Doshi: These will be basically under PepsiCo portfolio?

Raj Gandhi: Yes, the J eera flavour was not allowed earlier by PepsiCo as they have been doing R&D to arrive at a healthier formulation . The are working on it .

Jay Doshi: And how big is the Jeera market today ?

Ravi Jaipuria: The Jeera market is expanding and is doing well. As a lot of people are looking at this category and we are also seriously looking . We are hopeful that we will come up with something by early next year before the season .

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead .

Devanshu Bansal: First question is on India's gross margin, which have dipped about 120 b asis points in this current quarter. I wanted to check if this is due to raw material or inferior revenue mix , if you could just highlight .

Raj Gandhi: Water cost, which was previously accounted for at the o ther expenses level but has now been classified under COGS from last quarter onwards . This reclassification has made a difference.

Devanshu Bansal: That 1% has actually shifted upwards from the earlier expenses .

Raj Gandhi: Yes, t hat's only a shifting .

Devanshu Bansal: And within South Africa, that seems to be doing pretty well for us. What are the few initial steps that we have taken in the market? That is number one . Secondly, is the existing distribution network for food businesses for PepsiCo in that geography also helping us? Just wanted to check on that geo graphy separately .

Ravi Jaipuria: PepsiCo's food business is completely separate from our business. We are doing our own, we are improv ing our go -to-market , which has been our key focus . We are doing similar to what we did in India over the last few years. That's what we are focusing there also. We have also corrected the back end, so the previous inefficient lines have all been corrected and now they are running reasonably efficiently .

Devanshu Bansal: Last one bookkeeping question. Till June, our CWIP was about Rs. 1,200 crore . What is the number at the September -end?

Raj Gandhi: Our CWIP at September end was around Rs. 400 crore .

Moderator: The next question is from the line of Anand Shah from Axis Capital . Please go ahead .

Anand Shah: Just on the international margins, basically I wanted to know they have improved actually QoQ and both YoY. And if I even look at the realization per case, it's gone up. My understanding was South Africa was slightly lower margin at 12 %-13% when you acquired it and even realizations were much lower than the average international realization margin. Have you already started seeing the improvement there?

Ravi Jaipuria: Improvement s will come gradually . The lines which were running at 50% efficiencies have already been corrected and are now running efficien tly. We are making sure that cost efficiencies will start materializing , including the advantage of bulk buying, as we now make purchases together as one group, those advantages will soon start to show .

The key issue is that the sales need to go up, which ties with our go-to market strategy . We have already started working on this and have seen improvement in the month of September . Now when the peak season is starting , we expect to see noticeable difference from the coming quarter onwards. We are very hopeful and are expecting a reasonable bump in South Africa . As for DRC, as we said, in the first 4 weeks we have been sold out. That was unexpected and has performed better than what we had expected .

Anand Shah: On DRC, can you break up what was the volume between 34 million ? How much did DRC do this quarter?

Ravi Jaipuria: 5 million. It was only about one-and-a-half months operation .

Anand Shah: On the other parts of the international business, Zimbabwe and all, you have had that transition of that sugar issue and all, that is now completely behind, you are already back with good growth .

Ravi Jaipuria: Absolutely, Zimbabwe did not show growth this year due to the transition to low sugar . However other international territories like Zambia , Sri Lanka, Morocco are

doing a very healthy growth for us. Zambia grew close to 30% for us. We think overall, international business is doing well for us.
Anand Shah: And one last question f rom me for the India business , what would be your market share overall in the carbonated space? And let's say, I mean, some percentage change, let's say, over five-year period since you acquired Southwest now. I mean, can you share any market share change that would have happened on an overall basis?
Ravi Jaipuria: We are doing reasonably well.
Anand Shah: Would it be fair to say over the last 5 years since South , West acquisition, you would have gained a decent market share?
Ravi Jaipuria: Yes, we have gained a decent market share .
Moderator: The next question is from the line of Percy Panthaki from IIFL . Please go ahead .
Percy Panthaki: My question is a little bit hypothetical, but I guess now we might have to start thinking along those lines. In a situation where , let's say , Campa is able to make inroads and is, let's say, gaining a share, what would be our response and what would be our priority? Would we sort of prioritize a sort of market share and therefore try and come lower in the pricing or would

we prioritize our margins given that there are other brands also at a lower pricing and we would just probably treat Campa in the same bucket? What would be the top -down thought process on this?
Ravi Jaipuria: We believe the first thought process should be to expand the market. As we continue to grow , we are adding 300,000 to 400,000 outlets every year , and Campa has just entered the market. For Campa to reach a significant portion of the market, it will take some time , just as it has for us . There is enough room in the market, out of ~12 million retail outlets , we are currently reaching out to only ~4 million . We are sure there are enough outlets available for Campa to target . We have our products , our go-to-market and our brands , that are different . We are pursu ing our go-to-market strategy and if necessary we can create a product range that competes on pricing also.

Percy Panthaki: Because see one major difference between a Coke and a Pepsi v/s a Campa is that they don't have to pay any sort of concentrate charges, which is like a form of a royalty. They don't have that cost. So, they save on that .
Ravi Jaipuria: That's not a large component . That cannot change the pricing so much .
Percy Panthaki: Sir, next, just wanted to understand the South Africa ramp up. I believe when we took over the Pepsi market share was a low single digit. And they had some private labels and the total market share of that company was I think in low double digits, if I am not mistaken. Has there been any ramp up to those numbers? I know it's very early, but like in DRC, we saw even in the first month, a very big, sort of very material ramp up . Just wanted to understand, have you seen any kind of ramp up in South Africa v/s the situation when we took over?
Ravi Jaipuria: Absolutely, we are ramping up . Pepsi Co share is increasing. But it's still an early stage. Last quarter, we have grown at ~12% already and if you look at September month , we have grown at ~20%.
Percy Panthaki: And this is on a YoY basis, right?
Ravi Jaipuria: Yes, it will take some time as we are ramping up our system , September has given us the go forward to what is possible , and we are very happy with the ~20% growth and th e season has not even started yet.
Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal . Please go ahead.
Sumant Kumar: Can you talk about the overall growth we have seen 6% volume growth? How is the Tier 2 - Tier 3 cities and rural doing compared to urban?
Ravi Jaipuria: When there are heavy rains, the rural areas are always affected first. This quarter has witnessed a lot of unprecedent ed rain s. The rural got disturbed during this quarter , however in the 2nd Quarter , rural grew faster than the urban. That's why we mentioned that these 2 quarters should be considered together and not in isolation. Because in India specifically , the soft drink business is influenced by the rain s, it plays a bit of a role .
Sumant Kumar: And when we talk about the margin expansion, the operational efficiency we are talking about, in the last couple of quarters we have seen the benefit of low sugar usage and also the thickness of bottle. How currently we have said 49% low sugar and also in bottle size , we are also reducing the weight of bottle. Till what quarter can we see this kind of improvement in margin from these two activities?
Ravi Jaipuria: We will keep on seeing improvements because all our new plants, large plants which are coming up , are much more efficient than the older plants. Secondly, we have now tried to do a complete backward integration in our bigger plants. There are

freight savings on preforms, on caps , boxes. These are though small savings , but when you add up, it all starts becoming a large number. We are trying to do whatever is practical

.
Further, 17 of our plants are now backward integrated. With these new plants coming up, our cost of production is much lower. The same lines which used to produce at 100-200 bottles a minute are now producing 800 - 900 bottles a minute. However, the number of people required is the same .

Sumant Kumar: And many beverage companies have seen subdued performance and some companies we have seen the beverage industry de -growth also and we have grown 6% volume growth in domestic market. What differentiation we have seen in our company and our business model?

Ravi Jaipuria: We think the main thing is that a lot of people may not be inves ting enough money in the backward integration or in expan sion of plants. When we open a new plant, our distances from market come closer, we save on freight. As we said, we don't transport preforms and caps from other plants at the same time , our new plants are larger in size with much higher production efficiencies .

Also, we are adding close to 300,000 to 400,000 outlets every year . We are expanding our go-to-market reach , which is the main game in the soft drink industry . If we could reach to 8 million outlets instead of 12 million outlets , then our sales would at least go up by 50%. The question is how fast we can ramp up the system .

Sumant Kumar: And lastly , the rPET size, the industry it is a mandatory to use 30% rPET . So, what is the status on that ?

Ravi Jaipuria: Our first plant will be operational by the 2nd Quarter of the next year and we will be producing enough rPET to meet the government mandatory requirements before deadline .

Moderator: The next question is from the line of Nihal Jham from Ambit Capital . Please go ahead .

Nihal Jham: Sir, I had a couple of questions on the food business . If we look at the food arrangement that we have say for Zambia and Zimbabwe where we do the manufacturing and distribution , would the business model and the weightings will be similar to how the India beverage business operates ?

Ravi Jaipuria: Yes, it's a franchise . Like we pay for concentrate we will pay for seasoning for our snacks . The same arrangement will apply for Morocco , Zimbabwe and Zambia . Morocco would be the first plant to come up.

Nihal Jham: And the second question is Pepsi's food portfolio obviously is present in much lesser number of countries v/s beverages . When we are looking at incremental opportunities as part of the QIP and potential food expansion , would it primarily be focused only in countries where Pepsi has a food portfolio , we could be entering countries in the food or Pepsi is not present with food at this point in time ?

Ravi Jaipuria: In Africa , we understand that Pepsi Co doesn't produce snack foods anywhere except South Africa . All the other countries are open technically , and you cannot transport air as the distances are too far . That's why PepsiCo decided to give us t he rights to manufacture because it doesn't work to import or to bring it from one plant to the other . It is too expensive . Gradually , wherever we can ramp up , we will try and ramp up.

Nihal Jham: With the manufacturing and distribution and not maybe only distribution because of the limitation of transporting food .

Ravi Jaipuria: Only distribution doesn't work . It's too expensive. You can do a niche product . We can go to the modern trade and just sell basics and only the rich people can have it, but that doesn't give you the scale .

Moderator: The next question is from the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead .

Sanjaya Satapathy: Sir, a couple of things. One is that this fundraising that you are doing, is it essentially to complete this transaction that is South Africa ready to fund this transaction and are the companies kind of looking at some more transactions or very lastly like the compan

y looking to become a debt -free kind of a company?

Ravi Jaipuria: Regarding fund raise, w e are looking at partly reduction of debt and partly expansion , we are always open to new acquisitions if anything comes in our way. We want to have our wa r ches t ready.

Sanjaya Satapathy: And sir, my last question is that , though I understand that the company has done great things in terms of expansion as well as cost rationalization, anything big like

Sting , which can be expected in the next couple of years?
Ravi Jaipuria: We will let you know as soon as it comes out .
Sanjaya Satapathy: How do one think about it ?
Ravi Jaipuria: We have enough things to play with, enough things to work with and Pepsi Co is always innovating new things .
Moderator: The next question is from the line of Onkar Ghugardare from Shree Investments . Please go ahead .
Onkar Ghugardare: My question is regarding what could be the CAPEX for the next upcoming year?
Raj Gandhi: During the last call we stated ~ Rs. 2,400 crore which is primarily for the implementation of our facilities at Kangra, Himachal Pradesh, Pr ayagraj , Uttar Pradesh, Buxar , Bihar and in Meghalaya .
Onkar Ghugardare: Now considering you have approved the fundraising; would that change anything?
Raj Gandhi: It's a little early to predict for next year. First, we are awaiting the resolution to be approved by 8th November, then moving to the market. As the Chairman said, we always keep analyzing opportunities.
Onkar Ghugardare: And you have mentioned that debt reduction is one of the things which you will be doing with the QIP proceeds. At what debt -to-equity level you are comfortable with? Right now, I believe you are at 0.7 x.
Raj Gandhi: That's right , if there is a possibility of M&A, we would like to have a max of 1 .0x debt-to-equity level . As the chairman mentioned, we want to create the wa r ches t so that in case anything comes, we can raise debt at that point of time instead of carrying the debt when we can pay it .
Onkar Ghugardare: Sorry, I missed the number which you just said .
Raj Gandhi: We said that debt-equity max in case good opportunity comes, we can go up to 1 .0x But in the meantime, proceeds of the QIP shall be used for the reduction of debt so that we are able to create wa r ches t to grab the opportunity whenever it comes on our way .

Onkar Ghugardare: And in this presentation, you have not mentioned anything about the food and snacks business. What do we see about that?
Ravi Jaipuria: Three plants are going to come next year in Zimbabwe, Zambia and Morocco. Further, w e are looking at more opportunities from more territories in Africa. But at this moment, only three have been agreed and that's what the plan is for the next year.
Onkar Ghugardare: The plant would be commercializing the operations next year, right?
Ravi Jaipuria: Yes, by n ext year .
Onkar Ghugardare: All the three plants, right?
Ravi Jaipuria: One plant could spill over to early 2026.
Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking . Please go ahead .
Shirish Pardeshi: Just two questions in the beginning. In this past comment, there is no mention of sting . So, I was more curious if you can break this 5.7% volume growth carbonated soft drink v/s non-carbonated specifically for India. And maybe if you can give little more color of each segment, how the growth has happened in Quarter 3 .
Raj Gandhi: In fact, incidentally, all the three segments in India, CSD, Juices and Water have grown equally , there is not much difference .
Shirish Pardeshi: Largely , you are saying that our growth is similar because we are now expanding our distribution in south and that's why the growth is normalized?
Ravi Jaipuria: We are expanding the number of outlets in various areas , not just south but also in the north , east

and west also. There is still lot of room everywhere, as we said, 4 million retail outlets to 12 million retail outlets, there is a huge scope everywhere. The focus on south and east is because of the fact that before the acquisition , these regions had very low penetrat ion. Even Gujarat had low penetrat ion for us. Those territories which were not penetrated properly, we are growing faster, on the other we are adding outlets everywhere, including north .
Shirish Pardeshi: Actually, you are pushing me to ask a little bit different question. This penetration led growth will last for next 4-5-6 quarter, because I think in India we have enough supply .
Ravi Jaipuria: It should last for the next 5-10 years . The numbers are in front of you. We can only add 300,000 - 400,000 outlets. Whatever we add, the market goes by that many outlets . We are still minus 8 million outlets .
Shirish Pardeshi: The reason why I am asking for you, rather than putting our vehicle on street, the distribution led model is quite penetrated in the beverage industry if I go back when we worked together in the slurry. I think there is a good amount of distributorship which is happening, because high throughput is happening. Is it that difficult why we

cannot grow maybe 5x in one year?
Ravi Jaipuria: No, you can't, because it's not easy to add so many outlets. You need visi-cooler s, people , trucks. It's a full gambit and not just one thing. Additionally y ou need

capability of production to serve added 400,000 outlets, you would need 3,000 -4,000 people being added and trained.
Shirish Pardeshi: My second question is on Bev Co. We also had the non -Pepsi product there . I just wanted to understand, in the new outfit, how those businesses will get scale up?
Ravi Jaipuria: We are scaling up the whole portfolio in South Africa . Pepsi Co brands are growing faster than our own -brands portfolio, but we are scaling up the whole portfolio. We have grown 12% int he last quarter but Pepsi Co brands have grown at 20% over the last quarter. Mix is about 20%
Shirish Pardeshi: And this last question in India, what would be the contribution for Sting as of 9 months?
Raj Gandhi: It's slightly more than 15% .
Moderator: The next question is from the line of Vismaya Agarwal from Citi. Please go ahead.
Vismaya Agarwal: I had two questions here. One is more strategic when you talk about the opportunity of expanding territories and growing and whether you have maintained that as a key growth lever. Now, in that front, which is a bigger priority? Is it expanding new territories into beverages like that you have done in Africa or do you think that the India business itself has some white spaces in adjacent categories that you could look at? And I am mentioning adjacent because again, you have always maintained that we are not getting into any category that competes with PepsiCo's portfolio here. more separate from beverages. Just your thoughts on that, please .
Ravi Jaipuria: If you look at it, we are expanding as fast as we should in India. We need to ensure that we continue delivering return s for our investors as we grow . Similarly, there are opportunities outside India , particularly in Africa , which is the next horizon for growth . Looking ahead over the next 20 years, Africa appears very bullish. There are some challenges, but that's why we don't put all our eggs in one basket. We are going into different countries. Each country might represent 2 %, 3%, 5% of our turnover. If one of the country has an issue, it will not affect us .
Vismaya Agarwal: If I may follow up on that. What I understand is India, you are happy with the portfolio here, while yes, you didn't mention earlier on the call that Jeera is, say, a subcategory that you could look for, but nothing beyond beverages at the moment in India,

right?
It's predominantly Africa .
Ravi Jaipuria: We will not do any beverage which competes with the PepsiCo portfolio .
Vismaya Agarwal: And sir, secondly on profitability in India , now in the past nine months, margins have been well ahead of something that you have done historically well ahead of the guidance that you have maintained always. So, just a question there, like, is it a time where you probably look at revising the guidance upwards or do you see some risk in on the RM side, like we have seen this quarter?
Ravi Jaipuria: We have never given guidance upward of that. In soft drink industry , 21%-22% margins are the best that you can get. We are always trying to improve ourselves and we will keep on doing that .
Vismaya Agarwal: But sir, do you see any risk on the RM side? Because we just saw this quarter, the gross margins dip a bit in the India business. Is there something?

Ravi Jaipuria: We have not seen any major dip. However, we are not guiding any upside as o il prices could rise, or there could be a dro ught causing the sugar prices to go up . These factors are beyond our control . We are mitigating these risks as our portfolio is becoming less dependent on sugar, 49% of our portfolio is low sugar. We are covering ourselves from every side. That's why we don't give you a guid ance on margins more than 21%-22%.
Moderator: The next question is from the line of Jay Doshi from Kotak Institutional Equities . Please go ahead .
Jay Doshi: You know, the 3 snacks plants that you are setting up in Africa, what will be the turnover at full capacity that you expect to do from these 3 units?
Ravi Jaipuria: About $100 million .
Raj Gandhi: This is a potential, Ja y, going forward. In our presentation, we have included the country -wise industry size in US dollars. We have also provided the data on the investment, and in a couple of years, once these plants are operational, there is a potential for about $100 million in revenue from these three plants.
Jay Doshi: Second is, can you give us some indicative sense of how would margins in snacks business at optimal scale compare v/s beverages and what about return ratios? Because I assume that asset t urns will be much higher in that business. How would

return on capital employe d look?
Ravi Jaipuria: Only thing we can tell you, t hat's the only reason Pepsi Co doesn't give snacks business to other people. This is less CAPEX , more turnover business .
Jay Doshi: ROC E will be better, even though margins could be a little lower .
Ravi Jaipuria: Yes, ROCE should be better .
Moderator: Thank you. Ladies and gentlemen, we would take that as a last question. I would now like to hand the conference over to the management for closing comments .
Raj Gandhi: Thank you very much. We hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about the company , please feel free to contact our Investor Relations team. Thank you once again for your interest and support and for taking the time out to join us on this call. Look forward to interacting with you soon. Thank you very much once again. Thank you .

Call: Feb 2025

February 17, 2025

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: VBL BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 540180

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of Investors & Analysts Conference Call

Dear Sir / Madam,

Transcript of Investors & Analysts Conference Call held on February 10, 2025 i.e. post declaration of Audited Financial Results of the Company for the Quarter and Financial Year ended December 31, 2024 is enclosed.

The same is also being uploaded on website of the Company at www.varunbeverages.com .

You are requested to take the above on record.

Yours faithfully,
For Varun Beverages Limited

Ravi Batra
Chief Risk Officer & Group Company Secretary

Encl.: As above

Varun Beverages
Q4 & CY2024 Earnings Conference Call
February 10 , 2025

Moderator: Ladies and gentlemen, good day and welcome to Varun Beverages Earnings Conference call.
I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you and over to you sir .
Anoop Poojari : Thank you. Good afternoon, everyone and thank you for joining us on Varun Beverages Q4 and CY 2024 Earnings Conference Call . We have with us Mr. Ravi Jaipuria , Chairman of the company, Mr. Varun Jaipuria , Executive Vice Chairman and Whole - Time Director and Mr. Raj Gandhi , President and Whole - Time Director of the Company. We will initiate the call with opening remarks from the management , following which we will have the forum open for a question -and-answer session.
Before we begin, I would like to point out that some statements made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.
I would now request Mr. Ravi Ja ipuria to make his opening remarks.
Ravi Jaipuria : Good afternoon, everyone and thank you for joining us on our earnings conference call. I hope all of you have had the opportunity to go through our

results presentation that provides details of our operation al and financial performance for the fourth quarter and year -ended 31st December 2024 .
We are pleased to conclude CY2024 on a strong note through adding geographical presence into new territories of South Africa along with distribution rights in Namibia, Botswana, Mozambique and Madagascar. We also started Greenfield operations into a new country of Democratic Republic of Congo (DRC) . The growth has been driven by organic volume growth and improved product mix.
India volumes grew 11.4% reflecting the strength of our distribution network and operational execution. Consolidated volumes increased by 23.2% largely

led by new territories resulting in consolidated revenue increase by 24.7%, EBITDA growth of 30.5% and PA T growth of 25.3% for the year .
We are progressing well in South Africa as we grew the sales volume by 12.5% in the very first year of operations. We are consciously reducing our reliance on modern trade channel and enhancing our distribution network in general trade . As an enabler we have placed more visi -coolers in South Africa market in a single year than what was cumulatively placed till date by previous operators. We are working on plans for backward integration in the territory.
We also entered into share purchase agreement to acquire PepsiCo's business in Tanzania and Ghana , pending regulatory and other approvals. Integration of these acquisitions along with our operations in South Africa shall strengthen our presence in key international markets. This, coupled with the commissioning of new Greenfield facilities in India and DRC shall enhance our manufacturing and distribution capabilities ensuring we are well po sitioned to cater to growing consumer demand .
Additionally, our foray into the snack foods business with PepsiCo in Morocco, Zimbabwe and Zambia marks an important step in enriching our portfolio and leveraging synergies with our existing infrastructure.
In a significant development during the quarter, we successfully raised Rs. 75,000 million through a Qualified Institutional Placement (QIP). We appreciate the confidence and trust placed by leading domestic and foreign institutional investors . In our long -term strategy, business fundamentals and execution capabilities , this capital raise strengthens our financial position providing the flexibility to pursue strategic expansion opportunities, enhance our operational capabilities and reinforce our balance sh eet.
Further , in line with our commitment to deliver value to shareholders, we are pleased to share that the board has recommended a final dividend of Rs. 0.50 per equity share subject to shareholders ’ approval.
Looking ahead, we remain focused on sustaining healthy growth in both Indian and international markets through deeper market penetration, strategic capacity expansion and continued investments in technology and sustainability. Our focused efforts in streng thening last mile distribution and deploying visi-coolers in under penetrated regions will enable us to reach a broader consumer base with a stronger foundation in place. We are confident in our ability to drive long term value creation for our stakeholder s in the years to come.
I would now invite Mr. Gandhi to provide the highlights of the operation and financial performance. Thank you.

Raj Gandhi: Thank you, Mr. Chairman . Good afternoon and a warm welcome to everyone joining us today. Let me provide an overview of the financial performance for the fourth Quarter and the year -ended 31st December 2024.
Revenue from operations adjusted for excise GST increased by 24.7% to the level of Rs. 200,076.5 million in the CY2024 in line with strong volume growth . Consolidated sales volume grew 23.2% to a level of 1,124 .4 million cases from the level of 912 .9 million cases in calendar year 2023. Organic volume growth in India stood at 11.4% while the international organic growth was 6.3% restricted by the transition to a zero -sugar portfolio following the implementation of a sugar tax in Zimbabwe. Net realization per case increased by 1.3% to the level of Rs. 177.9 in the CY2024.
In Q4 CY2024, consolidated sales volume increased by 38.1% to the level of 215.1 million cases from the level of 155.7 million cases in Q4 CY2023. The growth was supported by expanded international operations with 43 million cases from South Africa and 7.8 million cases from DRC during the quarter.

For the full year, CS D contributed 74.2% , non-carbonated beverages to the level of 6.2% , packaged drin

king water 19.6% to the total sales volume s.

In 2024 , mix of low sugar , no sugar products increased to 53% of our consolidated sales volume from 42% in CY2023 , reflecting our commitment to the healthier products. Our gross margin during the year expanded by 165 basis points to the level of 55.5% from 53.8% due to strategic procurement and the storage of PET chips to leverage price benefits along with efforts to reduce sugar content and increase backward integration. Now we have 3 dedicated and 14 integrated manufacturing facilities for backward integration.

Also, approximately 16% of our total energy consumption comes from renewable sources energy as a result, EBITDA increased by 30.5% to the level of Rs. 47,110 million with EBITDA margin improving by 105 basis point to the level of 23.5% in CY2024. This net improvement in EBITDA margins is in spite of consolidation of South African markets with low margin due to 80% mix of own brands and fixed costs associated with new CAPEX which are yet to be fully utilized.

On a standalone basis, our income stood at Rs. 3,539 million supported by a dividend receipt of Rs. 1,316 million from Nepal and a maiden dividend from Sri Lanka, interest on loans to subsidiaries amounting to Rs. 967 million and a foreign currency gain of Rs. 714 million. These items are eliminated in consolidation as they represent intercompany transactions and merely shifts from international to VBL India on standalone basis.

Depreciation increased by 39.1% and finance cost rose by 68% in CY2024 substantially till the QIP proceeds credit date of 21st November 2024. This increase was due to acquisition of BevCo and the establishment of 4 new

production facilities in India and DRC. As a result, PA T grew by 25.3% to the level of Rs. 26,342 .8 million in CY20 24 from a level of Rs. 21,018.1 crore in CY2023 driven by volume growth and improved margins .

On the balance sheet front net CAPEX stood at Rs. 45,000 million at the end of CY2024 of which Rs. 24,000 million was spent in 2023 itself, Rs. 32,000 million was allocated to four Greenfield facilities in Supa, Gorakhpur, K horda and DRC. Additional Rs. 8,000 million was invested international territories for Brownfield expansion in Nepal, Morocco and Zimbabwe, including backward integration at Morocco, Zambia and Zimbabwe. This balance CAPEX comprises land capitalized for future projects and CAPEX on visi-coolers, glass portals, pallets, vehicles, etc. In fact, some increase in CAPEX is on account of land purchased for future projects as well as CAPEX for South Africa which is added during the year , we have already started improving facilities there.

Investment s made over the past 2 years have significantly expanded our production capacity in India with an increase of 45% during the season 2024 over the capacity of season 2022. This expansion reinforces our ability to meet growing demand and drive future growth.

CAPEX of CY2025 season is projected at Rs. 31,000 million out of which as on 31st December 2024 , CWIP and capital advances already paid for Rs. 16,500 million , out of total projected CAPEX of Rs. 20,000 million is towards setting up of Greenfield facilities at Pr ayagraj , Damtal, HP , Buxar and Meghalaya. The balance CAPEX is for snack manufacturing facilities in international territories, Brownfield expansion in India, Sricity , rPET facilities in India and expansion in DRC.

We are pleased to share that during the current quarter the company became net debt free following the prepayment of loans using proceeds from QIP issue. While our financial position has strengthened, we have continued to optimize operations and drive efficiencies despite inorganic expansion into new markets including South Africa and DRC . Our working capital days improved to 31 days as on 31st December 2024 as compared to 34 days in the previous year.

As we close 2024, we are p

roud of the progress we have made at VBL. Our investments in Greenfield and brownfield expansions coupled with the expanding global footprint have strengthened our foundation for long -term growth and positioned us to deliver long -term value for all stakeholders.

On that note, I have come to the end of our opening remarks and would like to now ask the moderator to open the forum for any questions or suggestions that you may have. Thank you.

Moderator: Thank you very much. We will start with the question -and-answer session. The first question is from the line of from. The first question is from Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari : Hi, g ood afternoon, sir, a few questions. First on the India business, the second half volume growth is let's say about you know, about mid-single digits and with exit also at about 4%. Do you think this is mainly due to the seasonality bit and you still think about industry growth at double digit in the foreseeable future?

Ravi Jaipuria: Well Vivek, we have always guided , we cannot take growth based on 1 quarter. Sometimes it's colder, sometimes it's rainier. But we have always said that we are confident to deliver annual growth in double digits which we've already delivered last year , and we see no reason why we will not deliver that going forward also.

Vivek Maheshwari: Got it sir. And the other bit is given and you have explained in detail in the last quarter also. But the noise has picked up on the competition side from Campa. Anything more you want to add upcoming season? Any low-priced pack from your side?

Ravi Jaipuria: There is a market for lower priced products and will always remain. There have always been regional brands present to the level of about 20% in India which are low priced. Our products are not competing exactly against th em and we feel there is enough room for everybody to grow in this market. We are only going to about 4 million outlets out of the 12 million FMCG outlets. Our focus is how we can grow this market and ultimately reach to that 8 -10 million outlets going forward. We are adding a bout 10% -12% additional outlets which is 400 ,000 -500,000 outlets every year, which is making our business grow. We think after a point people will get into the habit of drinking and this is going to enhance the market . The more players there are, the better it will be, as it will increase competition and expand the market. The India market is still very huge, and it's not even being tapped. We don't feel there is any threat to our growth in the market.

Vivek Maheshwari: That's quite interesting. But sir, what we have observed is the end consumer price points are lower, the retail margins are far higher, and we have seen instances and again I admit that these are more anecdotes but there have been instances where retailers are actually pushing Campa given that their margins are far higher. Do you think there needs to be , so B brand logic. I understand, but do you see any risk or you basically having to retaliate with some product which is lower price d than what your current portfolio is?

Ravi Jaipuria: Well, we don't think we need to , at the moment because half of this quarter is already gone and we are not seeing any drop in our growth, rather we are seeing enhanced growth. So, we are very happy if we can grow at this level.

We don't want to do anything different except expand the market and keep on increasing our go-to-market reach .

Vivek Maheshwari: Got it. That's really reassuring. And on your comment on South Africa, what you mentioned about enhancing distribution via general trade. So, would the dynamics be somewhat similar? And when you move from modern trade to general trade, the working capital cycle would be something like India. Can you just talk about the nuances of focusing on general trade in South Africa

?

Ravi Jaipuria: South Africa is a very large modern trade market. It's not like India. India is less than 10% modern trade / HORECA for us whereas South Africa is close to 40 %- 45% modern trade market. And that is where your margins are diluted and some of the large retailers really squeeze your margins. The go-to-market in general trade is always difficult. It's much easier to go and sell to one customer. So we are expanding our volume in general trade , which is 60%-65% of the market and, where the margins are better and we will not be dependent on 1-2 customers. This is going to give us much better growth and much better margins going forward. Also, in South Africa, we have not even started doing our backward integration. As we said , it takes about a year to understand the market in a new country and a nother year to consolidate and then move forward. In the first year , we are still looking at double digit growth. We have consolidated part of our business; our margins are getting better and we see no reason why South Africa will not become something close to India. South Africa is a huge market and if we can keep growing at the right pace, it will become a very interesting market for us.

Vivek Maheshwari: Got it. And just a follow up, sir, when you talk about general trade, that includes own brands as well as PepsiCo brands or you're primarily focusing on the PepsiCo brands ?

Ravi Jaipuria: All the brands.

Moderator: Next question is from Aditya Soman from CLSA . Please go ahead.

Aditya Soman: Hi, good afternoon. Two questions , firstly, on the capacity increase that we are building in the four plants in 2025. Can you give us a sense of how much the capacity will go up? Like you've shown 45% over 2022. So how much would it go up over 2024? And secondly in terms of volumes, can you give us a sense of how much of the volumes are now in India are non-core, s o non-Pepsi Mirinda , 7UP. and do we see competition?

Ravi Jaipuria: If you say non -core w hat do you mean? most of our portfolio is PepsiCo related. Except our dairy products everything is PepsiCo products.

Aditya Soman: No, I meant just a pure Pepsi Cola, Mirinda and 7 UP. So outside of that, so energy drinks, Mountain Dew, all of that, how much do they contribute now ?

Ravi Jaipuria: CSD is about 5 9% which includes Mountain Dew , Mirinda, Pepsi Cola, 7UP etc., Energy Drink which includes Sting is about 15% of our market volumes , Juice is about 8% and water is about 18% of the portfolio in India . We have increased about 45% capacity in the last 2 years in India , out of which in last year CY2024 we increase d ~ 25% of the capacity .

Aditya Soman: Yes, m y question was actually capacity for 2025 that will go up because we are sort of adding.

Ravi Jaipuria: It will go up by about 20% to 25%. What we have expanded already and what we are already expanding for the new plants, which will be in production by March.

Aditya Soman: All right. That’s very clear.

Moderator: Next question is from Percy Pant haki from IIFL Securities. Please go ahead.

Percy Panthaki: Hi sir. Many consumer companies across different sub segments of consumption have been talking about urban slowdown. Are you seeing any kind of slowdown in soft drinks market in urban India?

Ravi Jaipuria: Percy , this is what we said. As we are expand ing, many FMCG companies may not be expanding the market at the same pace as we are. Because the first thing we said is that we are only reaching out to 4 million outlets against the 12 million outlets. We are trying to add as much as 8% - 10% more outlets every year. Th is will give us growth potential along with our organic growth from the existing outlets . We are confident when we say we can consistently achieve double -digit growth s. And we see no challenge in that at least for the next few years. More than that w e don't see any ch

allenge even in this quarter , half of the quarter is already over and we are seeing very healthy growth.

Percy Panthaki: Yes, understood. Sir, my question was more on the industry overall rather than Varun beverages or Pepsi.

Ravi Jaipuria: That's what we are saying. Industry wise, we believe the soft drink industry is expanding. We think it is growing much faster than the other FMCG categories.

Percy Panthaki: Got it. Also in South Africa, given that your market shares are extremely low for Pepsi and even including the other brands, the market share is just about, I think close to double digits. What should we expect in terms of the growth over the next 3 years here , if we look at something like a Zimbabwe, Zambia, you've grown like significantly like +30% over 5 -7 years. So, is that the same kind of ambition that you have for South Africa or there are some other nuances that we should be aware of ?

Ravi Jaipuria: Our ambitions are even higher and we hope to achieve them all . In South Africa we are definitely looking at very healthy growth. As for the 30% growth over three years that you mentioned, we are confident of achieving even better results.

Percy Panthaki: Right sir. And in Ghana and Tanzania, what is going to be the strategy? Like you said in South Africa, the strategy is to expand in general trade . In Ghana, Tanzania is it the same strategy or there are some other priorities which will give a bigger bang for the buck you think ?

Ravi Jaipuria: In Tanzania , Pepsi Co is already market leader , we just need to enhance our go-to-market and expand capacity . Tanzania is doing extremely well. In Ghana, we need to redevelop the whole market as the PepsiCo portfolio is very small and it's like getting into a new territory.
Percy Panthaki: Understood. Ghana plus Tanzania put together, I think we should be more modest in our growth expectations v/s South Africa. Would that be a right way of looking at it?
Ravi Jaipuria: No, infact we believe that expecting double digit growth in most of the African countries is reasonably realistic.
Moderator: The next question is from Devanshu Bansal from Emkay Global. Please go ahead.
Devanshu Bansal: Yes, sir. Hi, thanks for taking my question. Sir you mentioned that the trends are really interesting so far in the current quarter. I wanted to check if you can quantify either quantitatively or qualitatively what are the kind of trends that we are seeing in the current quarter ?
Ravi Jaipuria: Well, we have always said we'll grow double digits and this is what we are seeing . We feel that is realistic and we'll continue to do that.
Devanshu Bansal: Understood sir . Sir second question is on low sugar and no sugar mix, right. So that has been continuously increasing for us. This year it is about 53 % odd. What all is included in this? Is this only Pepsi Black and Sting or can you highlight .
Ravi Jaipuria: We are doing 7UP zero sugar , Mirinda in mid -cal, and every product will slowly start moving towards mid-cal and no sugar.
Devanshu Bansal: Currently we have no sugar or low sugar products across our brands or majority of these 50 ?
Ravi Jaipuria: We have no sugar for 7UP, Pepsi and Gatorade and we have mid -cal for Mirinda and Sting.

Devanshu Bansal: Understood. And sir, just want to check the traction Pepsi Black. If you could just highlight how has the product been from a consumer reception perspective ?
Ravi Jaipuria: Consumer s have accepted this well and we are performing extremely well. We think we are at about competition's level of zero sugar , we are doing quite well with Pepsi Black and 7UP Z ero.
Devanshu Bansal: Understood. Last question from my end sir . There is distributed opening of food plants in CY25 for foods business. What is the scale of business that we can do in 2025 and over next 2-3 years if you just highlight that

?
Ravi Jaipuria: In Morocco , we have already started distribution and expect to close between USD 25-30 million s of revenue this year . However, it is difficult to say until our plant gets commissioned in June , as this will give us only six months of production time . Until then , we are relying on import s for sales. In Zimbabwe and Zambia , we have just started importing the goods from South Africa and we have started only in February , it's just few days. The plant will come up in the third quarter of this year , the growth is expected to enhance at that point.
Devanshu Bansal: Is it fair to assume sir, in current year we will be doing revenue but margins may not be very good because we are importing and selling , so is this a fair assumption?
Ravi Jaipuria: Margins are reasonably good because we have agreed with Pepsi Co for reasonable margins and they've been kind enough to give us reasonable margins , we don't dilute ourselves while expanding our portfolio .
Devanshu Bansal: Last question, you mentioned that we are working on a Jeera drink for the upcoming season , any update you can provide on that? This is my last question, Thank you sir.
Ravi Jaipuria: Well , we are working on it and we hope PepsiCo could provide us the product very soon and we hope we can come up with the product this season. But we don't have it yet.
Moderator: The next question is from O nkar G hugardare from S hree Investments. Please go ahead.
Onkar Ghugardare: Sir, if you could briefly elaborate on what has been your learnings in the last 1 year, understanding the South African markets ?
Ravi Jaipuria: Well, we can only tell you we are still learning . What we found was that we were very heavily skewed towards modern trade , where the margins are very low and we were not directly reaching the market which is the most important thing. That's where your margins and revenues are , so we have

started focusing on that. However, it's a bit too early , it has only been about

6 months since we started. It will take us a year to start gearing up ourselves and hopefully this year we will start seeing the results of that coming. And even when we started, we have already seen double digit growth. Hopefully this year we should do even better.

Onkar Ghugardare: In terms of margin levels so far, what you have seen, the margins are similar to the Indian levels or like how they are?

Ravi Jaipuria: Margins are not as per Indian level , South Africa margins are lower. But once we go into backward integration, which will take us a year . Our margins will significantly improve and once we go to the general trade, which is go-to-market instead of focusing on modern trade, our margins will improve and YoY you'll see improvements coming.

Onkar Ghugardare: How much time it will take for you to like significantly skew towards the general trade?

Ravi Jaipuria: It will take a t least another year and hopefully some movement will happen this year and balance will start coming from next year.

Onkar Ghugardare: Okay. The second question is on the capacity expansion , you talked about 25% increase as compared to the current year, the 2024 calendar year. But like all the capacity which you have mentioned will be commissioned from the last quarter March level?

Ravi Jaipuria: It will be commissioned before the season.

Onkar Ghugardare: Okay. All the capacity you mean , right, whatever you have planned ?

Ravi Jaipuria: Yes.

Onkar Ghugardare: Okay. Just a small thing like this year you have kept the dividend levels same as last year , any reason for that in spite of growing profitability?

Ravi Jaipuria: Well, for the moment we have kept it at that. Maybe, if the season is good , we'll improve it and do better.

Moderator: Next question is from Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: Hi. Thanks for the opportunity. My

first question was on margin front. You know, clearly CY 2024 was pretty good in terms of operating margins for you, both on standalone and consolidated basis. And there were a variety of factors which drove this. I wanted to check with you, what is the comfort that you have for sustaining the domestic India margins at the current levels and similarly for the international picku p to happen, given the backward integration investments that you're planning , any thoughts on that?

Ravi Jaipuria: Well, we've always said that we can comfortably remain at 21%. We have never given guidance beyond that and fortunately we've been able to perform better than that. There's no reason why we should not be able to sustain these margins going forward. And int ernationally, our margins will only improve because we are getting into newer territories and recently, we've got into a large territory. Once we consolidate and do backward integration and as we said that once we start going to the general trade instead of just going to the modern trade, our margins will improve. And we see margins improving this year and will significantly enhance next year after we are backward integrated.

Latika Chopra: Sure. You know, I heard your comments to the earlier question on competition. Bu t clearly, we have seen the new entrant kind of putting out a number of 10% market share in select states. Just wanted to check, are you sensing any geographic variances in terms of need for higher promotions etc. in any of the key states that you operate in?

Ravi Jaipuria: The promotions are always good and we are always looking for more promotions and we keep pushing our parent company. But the question is India market is so large which has not been tapped properly and the opportunity is so huge that there is enough room fo r enough players and as many players will come in, the market will only grow. We are not seeing any dent on our growth. And that is the key what I wanted to say, we are not saying the other people will not sell or not g row or not compete, bu t we think the market will grow and there's enough room for everybody.

Latika Chopra: Understood. Any comments on market shares for you?

Ravi Jaipuria: We are doing extremely well right now. We never comment on market share.

Moderator: Next question is from Amit Purohit from Elara Capital . Please go ahead.

Amit Purohit: Yes, sir. Thank you for the opportunity, sir. Just wanted to understand in light

of a scenario where competitive intensity rises . In that context, I just wanted
to get your perspective of how does the process happen ? I mean tomorrow
if the competition increases then who would take the decision for any
change in pricing, how does that would play out? Just wanted to have your
thoughts on that.
Ravi Jaipuria: Fundamentally , we take the decision and of course we discuss with our
parent company. However, the question is that the market is large enough.
As we mentioned , there w ere already enough players selling at lower prices.
We believe that with lower prices, the market will expand in a huge way
creating room for both our pricing and their s. We see no reason for concern,
we believe as the market will grow , people will upgrade themselves.

Amit Purohit: Sure. Okay. And just can you just highlight the couple of launches which
probably we could see this year ?
Ravi Jaipuria: We are planning to add another flavor in our energy drink , which is going to
be Sting Gold, which we hop e to launch very soon. And we are looking at
some other products as well, which hopefully will be ready before the
season.
Moderator: Next question is from Nitesh Dutt from Burman Capital. Please go ahead.
Nitesh Dutt: Thank you for the opportunity. I had a question on our Indorama JV that we
had announced a few quarters ago for fulfilling our recycled PET
requirements. Just wanted to unde

rstand if that is on track and whethe r
we'll be able to meet 100% of our requirements for FY26 in house ?
Ravi Jaipuria: Yes, we should be very close to it. The project is on track and the production
will start this year and we feel that we should not be short of our rPET
obligation .
Nitesh Dutt: Got it . So, when do you expect the production to start?
Ravi Jaipuria: We are looking at starting early third quarter.
Nitesh Dutt: Early third quarter. Understood. Any details on what kind of investments and
whether they will have any financial implication on our numbers once the ..?
Ravi Jaipuria: It's not a large investment and we don't think it will have any effect actually
on our numbers .
Moderator : Next question is from Ashish Agarwal , who is an individual investor. Please
go ahead.
Ashish Agarwal: Yes, so my question is that given that we are expanding very aggressively in
the African countries, especially in South Africa, which is kind of 10% of our
revenue at the moment. What is our strategy for risk mitigation of currency
volatility? And I am not talking for diversification in multiple countries , if you
look only at South Africa, what is our strategy for protecting ourselves from
this volatility of currency?
Ravi Jaipuria: Well, we think if you look at the currency devaluation in South Africa , it is
less than India right now. We don't think we have to worry too much and if
there is a higher devaluation in any country then we pass it on to the
consumer . It doesn't affect overall , slight variations obviously happen in
different parts of the world, but the market is so large that it will give us so
much room to play and enhance our volumes that if there is a minor currency
variation it won't make a difference.

Ashish Agarwal: I was talking more from the long -term perspective and especially from South
Africa.
Ravi Jaipuria: In the long term all of Africa is like that , as we've been in African market for
more than 10 -15 years now . When there is a major fluctuation in currency ,
then we pass it on to the consumer and the consumer accepts it. Unless a
country faces a major devaluation , which is a one of f situation. In such a case
the challenge may persist for 6 months or a year.
Moderator: Next question is from Devanshu Bansal from Emkay Global. Please go ahead.
Devanshu Bansal: Yes sir. Hi, thanks for the follow up opportunity. S ir, you mentioned this
expected launch of S ting Gold, so wanted to check does this launch add to
some new consumption occasions versus the earlier flavor that is there for
Sting. What's the strategic thought behind that?
Ravi Jaipuria: Well, we believe it will give consumers with more choices in taste and
product s. The energy market is a huge market and it will expand the overall
industry . If you look at in the surrounding countries or developing countries
energy drinks market is 15 %- 20% of the mix and India is still 5% -6% of the
mix, so we have a lot of room so we have to keep on enhancing this market

with different flavors. People like different flavors and different products.

Devanshu Bansal: Does this also improve this drink in terms of mixing ?

Ravi Jaipuria: Consumers have to make that choice . We suggest they can have it directly but if they want to mix it with anything that’s their call but it's a great product and we feel it will do extremely well.

Devanshu Bansal: Understood sir. And last couple of seasons were impacted due to rains or extreme summer s. But this time around there are reports of an early summer so what is your sense on capacity utilization for the upcoming season? So, assuming that if the summer season has no interruptions what was the level of capacity utilization that we can see for the upcoming season ?

Ravi Jaipuria: We have enough capacity; we have expanded enough capacity and we are seeing healthy growth. We can never

be 100% sure with exact capacity utilization. But we are not going to be short of capacity this year for sure and we are seeing very healthy growth and very happy with what is happening.

Devanshu Bansal: Understood. J ust a small follow up. If things go well, I am just asking to get the maximum potential. If things go well can we also reach 100% or that's not the case that will happen?

Ravi Jaipuria: 100% growth ?

Devanshu Bansal: No, not 100% growth , utilization.

Ravi Jaipuria: We wish we could. We will be very happy if we are able to. We have enhanced our capacity quite a bit , and we believe with the new Greenfield plants coming up this year, we'll have enough capacity. We would be very happy if we are anywhere close to 90 %-95% utilization .

Moderator: Next question is from Ayush Sharma , who is an individual investor. Please go ahead.

Ayush Sharma: Hi sir. Previously we have seen the launch of Stink Blue and nowadays we don't see it much. So, any reason why we have sort of left that product?

Ravi Jaipuria: Well sometimes we launch certain products for limited time and that ’s just to give a different taste and that was what Sting Blue was. So, it was a year of the cricket world cup and we put up a Blue drink which was for the Indian cricket team. It was basically just a limited time flavor. However Sting Gold will be a long -term product like Sting Red.

Ayush Sharma: Okay and will this Sting Gold be the kind of similar product or this will be a permanent ?

Ravi Jaipuria: Sting Gold is going to stay and it's a long term.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.

Raj Gandhi: Thank you very much. I hope we have been able to answer all your questions satisfactorily. Should you need any further clarification or would like to know more about our company, please feel free to contact our investor relations team. Thank you once again for your interest and support and taking time out to join us on our call. Look forward to interacting with you soon. Thank you very much.

Call: May 2025

May 7, 2025

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: VBL BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 540180

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of Investors & Analysts Conference Call

Dear Sir / Madam,

Transcript of Investors & Analysts Conference Call held on April 3 0, 2025 i.e. post declaration of Unaudited Financial Results of the Company for the Quarter ended March 31, 2025 is enclosed.

The same is also being uploaded on website of the Company at www.varunbeverages.com .

You are requested to take the above on record.

Yours faithfully,
For Varun Beverages Limited

Ravi Batra
Chief Risk Officer & Group Company Secretary

Encl.: As above

Varun Beverages Limited
Q1 CY2025 Earnings Conference Call Transcript
April 30 , 2025

Moderator: Ladies and Gentlemen, good day and welcome to the Varun Beverages Limited Earnings Conference Call.
I now hand the conference over to Mr. of Anoop Poojari from CDR India. Thank you and over to you, sir.
Anoop Poojari: Thank you. Good afternoon, everyone and thank you for joining us on Varun Beverages Q1 CY2025 Earnings Conference Call. We have with us Mr. Ravi Jaipuria , Chairman of the company, Mr. Varun Jaipuria , Executive Vice Chairman of the company and Mr. Raj Gandhi , President and Whole - Time Director of the Company. We will initiate the call with opening remarks from the Management following which we will have the forum open for a question -and-answer session.
Before we begin, I would like to point out that some statements made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier. I would now request Mr. Ravi Ja ipuria to make his opening remarks.
Ravi Jaipuria: Good afternoon, everyone and thank you for joining us on our earnings conference call. I hope all of you have had the opportunity to go through our results presentation that provides details of our operational and financial performance for the first q uarter ended 31st March , 2025.

We are pleased to report a strong operational and financial performance in the first quarter of CY2025. Consolidated sales volume grew by 30.1% YoY driven by healthy organic volume growth of 15.5% in India. The integration of the South Africa territory has progressed well with focused efforts on strengthening on ground infrastructure, streamlining operations and enhancing execution across the market. We achieved 141 million cases in South Africa over t he trailing four quarters marking a growth of ~13% over the same period last year. Historically, net realization s in South Africa are lower due to a higher mix of own brands. However, we are actively working to scale PepsiCo portfolio which is expected to support improvements in realization and margins going forward.

We recently commenced operations at our new Greenfield production facilities in Kangra, Himachal Pradesh and Pr ayagraj, Uttar Pradesh significantly enhancing capacity. Currently with the peak summer season, the implementation of other two Greenfield production facilities scheduled for 2025 season in Bihar and Meghalaya is on track and shall commence the commercial production very soon. Additionally, we have established backward integration facilities in Pr ayagraj and DRC f urther strengthening our operationa l backbone and supply chain efficiency.

Building on our nascent presence in the snack food segment, we have initiated the distribution and sale of PepsiCo snack products in Zimbabwe and Zambia. These markets present a significant growth opportunity within the packaged food category, supporting o ur focus on portfolio expansion across high potential regions.

In line with our dividend policy, the Board of Directors has approved an interim dividend of 25% of face value, i.e., Rs. 0.50 per share, resulting in a total cash outflow of ~Rs. 1,691 million. Looking ahead, we see immense headroom for growth in India's beverage market supported by rising per capita incomes, accelerating urbanization, expanding electrification and improving cold chain infrastructure. With adequate capacities in place, a diversified product portfolio and a strengthened distributio n network , we remain well positioned to capitalize on these opportunities and deliver sustainable value to all stakeholders.

I would now invite Mr. Gandhi to provide the highlights of the operational and financial performance. Thank you.

Raj Gandhi: Thank you, Mr. Chairman . Good afternoon and a warm welcome to everyone joining us today on the investors call. Let me provide an overview of the financial performance for the quarter ended 31st March , 2025.

Revenue from operations adjusted for excise and GST grew by 28.9% YoY to the level of Rs. 55,669 .4 million in the Q1 of CY2025 . Consolidated sales volumes increased by 30.1% to the level of 312.4 million cases as compared to 240.2 million cases of the corresponding period i.e., Q1 CY2024. This growth was supported by strong organic volume growth of 15.5% in India and inorganic contributions from South Africa and DRC.

In India, realization per case improved by 1.8% while it remained stable across international markets excluding South Africa . At the consolidated level however, due to lower per case realization in South Africa, the blended consolidated net realization per case declined by 0.9%.

CSD constituted 75% of the total volumes while non-carbonated beverages and packaged drinking water contributed 7% and 18%, respectively. Aligned with our growing focus on healthier beverages, the mix of the low sugar , no sugar products increased to ~59% on consolidated basis of the total sales volumes in Q1 CY2025 .

Due to relatively lower margin profile of owned brands in the South African market and the higher mix of CS D in India, gross margins stood at 54.6% , a decline of 171 basis points as compared to Q1 CY2024. EBITDA increased by 27.8% in Q1 of 2025 to the level of Rs. 12,639.6 million compared to Rs. 9,887.6 million in Q1 of 2024 , broadly in

line with net revenue growth . EBITDA margins in India improved by 111 bps driven by operational efficiencies resulting from strong volume growth at the consolidated level for this year. At the consolidated level, margins declined marginally by 20 bps due to lower profitability in the South Africa market, where margins currently stand at 14.4%, and its higher contribution to the overall performance during the quarter.

Depreciation increased by 45.3% during the quarter, primarily due to the commissioning of three new plants last year, Supa, Gorakhpur, and Khordha, which were not part of the base quarter. The inclusion of operations from South Africa and DRC during the current peri

od also contributed to the increase .

Post repayment of debt through QIP proceeds , finance cost in India is negligible and

there is an interest income of Rs. 108 million during the quarter. Interest cost in international markets is primarily in South Africa , which also includes the lease rentals under the Accounting Standard 116 of Rs. 86 million as the manufacturing facilities in South Africa are on lease. PAT for Q1 CY2025 increased by a healthy 33.5% YoY to Rs. 7,313.6 million driven by volume growth and lower finance costs.
Lastly, we are pleased to share that CRISIL has upgraded our long -term credit rating to CRISIL AAA Stable. This reflects the strength of our balance sheet, strong governance and consistent performance across key metrics. As we enter the peak season, we remain focused on sustaining and accelerating our strong growth , our strategic investments across Greenfield and Brownfield capacities, backward integration and network expansion , strengthening our execution capabilities and operational efficiency. These efforts are reinfo rcing the foundation for sustained long -term growth and we remain confident in our ability to execute effectively and deliver consistent performance and value to all stakeholders.
On that note, I come to an end of the opening remarks and would like to now ask the moderator to open the forum for any questions or suggestions that you may have.
Thank you.
Moderator: Thank you very much. The first question is from the line of Aditya Soman from CLSA. Please go ahead.
Aditya Soman : Good afternoon and thanks for the opportunity. Two questions from me. Firstly, any sort of early trends from the recent launches you have made of Sting Gold or of the sort of lower price point pack of Gatorade, especially as we head into summer, we have seen that you have increased capacity. So, any sort of sense on how these new products are doing will be very useful. And the second question, in your presentation you highlight that one of the reasons for the sort of gross margin impact has been the higher CSD share in India. Could you please elaborate on why that has impacted gross margin? And secondly, is there also an impact in this because of the water cost that has shifted , you had indicated some time back from other expenses to COGS . Thanks. Those were my questions.
Ravi Jaipuria: First of all, as far as the new launch of Sting Gold and Gatorade, we think it's still very early , it's very nascent, it's just been launched recently. We need to wait a couple of months to see what the reaction of the market is. But it has been accepted well. As

soon as maybe the next quarter we will have more answers to give you . For the margins Mr. Gandhi will answer .
Raj Gandhi: Aditya, as you very rightly pointed out, yes, the water cost has shifted to the direct cost from being a part of other expenses . Secondly , the product mix has changed. We had our focus on CSD , which has helped realization per case and has also resulted in an increase in EBITDA . But at the gross margin level it 's just a shifting of expenses because the focus was more on CS D and CSDs have a lower gross margin as compared to packaged water . And thirdly , contribution from smaller packs has gone up compared to the larger packs. All these things led to a slight increase in COGS ; however , resulting in higher per case realization and higher EBITDA margin.
Aditya Soman: Thank you, that's clear. Maybe just on that , so are we alluding that CS D gross margins are slightly lower than the overall system average ?
Raj Gandhi: The absolute margin s in the case of CSD are definitely higher because realization is around 3 times higher than that of packaged water . However, in the case of CSD, there is a concentrate cost unlike packaged water.
Moderator: Thank you . The next question is from the line of Percy Panthaki from IIFL. P lease go ahead.
Percy

Panthaki : Hi sir, just wanted to ask regarding the competitive intensity with the new entrant who has come , just wanted to ask what is the thought process there on the parts of the value chain we do not control, which is the Ad spend mainly, which basically rests with Pepsi . In your conversations with Pepsi , what is the thought process there? Is it that there is an irrational amount of Ad spend going on and we do not want to participate in that irrationality or is it that whatever is happening we need to match that and maintain share of voice because ultimately even though you don't control this will affect your sales and profits ?
Ravi Jaipuria: As the volumes are growing up, we are spending more money than what we were spending earlier. We are spending our share. Some people may decide to spend on one category, while we have decide d to spend on other categories. So, they decided to spend more money on IPL which we have not chosen this year. One year we did choose IPL, it all depends on what you choose and how you go forward with it. They are just entering the market so we guess they need the people to know more about their products and we cannot argue on that. We don't think we have any issue with

that and we are spending our bit and the market is accepting that. T here will be always little bit up and down with competition coming. However, we are quite happy with the volumes, with the numbers which are happening.
Percy Panthaki : Sure. Understood. And just wanted to understand how is the summer season going on thus far? I mean are we seeing the same kind of growth trajectory in April what we have seen in 1Q ?
Ravi Jaipuria: See we never go month on month. We have always stood by that we will grow double digits in the year and that is what we stick by . We cannot plan on month to month because each month is different, and weather patterns vary, sometimes the rains are earlier, sometimes later. We have always said that we can grow in double digit , and

this is what we are expecting happening this year and we are quite comfortable with that guidance .
Percy Panthaki : Sure. And last question is on the India margins. Last year we were at about 25.5% margin. This quarter also we are close to about 25% margin. However, in the previous calls you have mentioned that for India margins we would be comfortable defending like 21% kind of a number. So how should we read this as financial an alysts? Should we read it as there's a possible 400 basis points margin compression in the future or is it that you're being overly conservative with that number ?
Ravi Jaipuria: We have always said that 21% in soft drink industry is a very good EBITDA margin. So, we have stuck to that but we keep trying and making sure that we achieve better than that. As we are doing backward integration and expanding into bigger plants, we expect our margins to be better than that. However, w e don't provide guid ance for margins exceeding 21% at the consolidated level.
Moderator: Thank you. The next question is from the line of Darshit Vora from Asit C Mehta Investments. Please go ahead.
Darshit Vora: Thank you for the opportunity. So, I had a couple of questions. The first one would be, so from like the CY 2020 to 2022, we have been seeing India margins were lower than international margins by around 300 to 400 basis points. Now this reversed in CY23. So, in this scenario India margins improved. So, what do we see like going ahead, do we see the India margins coming back to how they were before?
Ravi Jaipuria: India margins are doing well as we explained in our earlier response . The India margins are improving as we are putting new bigger plants with backward integrat ion. In the international market s we had a couple of challenges in this quarter, Ramzan was earlier , which affected Morocco a bit. Secondly because of sugar tax in Zimbabwe, the vo

lumes came down last year and now they are coming back. From this quarter onwards we expect the volumes to come back to normal in Zimbabwe . In South Africa we have always said that margins are lower because 80 %-85% of the volumes come from own brands , which have low er margins. We are gradually improving these margins by increasing the sales of high margin products . This is a long -term process which will take a little time, not six months or one year, but a little longer. However, margins are continuously improving in South Africa, and we are also witnessing a good growth there.
Darshit Vora: All right, but then like do we see them coming close to or surpassing the domestic margins as of now in the near future?
Ravi Jaipuria: It's a couple of years process and not going to happen overnight. In the n ear future we have to make sure that we do comple te backward integration in all our plants in the international markets .
Darshit Vora: All right, okay. But it can probably come close to the domestic margin.
Ravi Jaipuria: It can come close to it.
Darshit Vora: Okay, thank you, that was helpful. And secondly, now that the Tanzania and Ghana agreements have terminated, will it impact like what kind of impact will have on your

growth aspirations in the African continent? And also, that do we have any update on some new geography that we might be going into an agreement for?
Ravi Jaipuria: We are always looking for opportunities to expand . Certain conditions in Tanzania and Ghana could not be met in time so we h ad to put it on hold. We will continue to look for growth opportunities in several other countries , working closely with PepsiCo , and will go forward with it as and when they are aligned with our shared objectives . So as soon as we have something concrete, we will let you know .
Moderator: Thank you. The next question is from the line of Jay Doshi from Kotak. Please go ahead.
Jay Doshi: Hi. Thanks for the opportunity and congratulations on good execution in India. My question is on South Africa. Now that you've handled the business taken over since about a year, could you give us some overview on what are the areas where you're tracking ahead of your expectations that you may have a year ago in terms of volu mes,

distribution, profitability, basically how is it shaping up versus your base case assumptions and if you could give us some color what we should expect over the next four quarters from that territory?

Ravi Jaipuria: South Africa is shaping up well. In the first year of the business, we expected growth and it has already started growing in double digits . We have discontinued non profitable packs , which may have slightly reduc ed overall growth , but this was offset by higher growth in profitable packs . South Africa is a large market, the growth opportunities are huge over there , and we are seeing very good salience . It will take at least one to two years to fully establish our presence in South Africa and we think it is going to be a very interesting market for us.

Jay Doshi: Sure. One small bookkeeping question this quarter you've called out South Africa margin the 14.4 %. But I think that is seasonality as one of the stronger quarters. So, the more annualized basis, where do you stand now versus maybe I think at the time you acquired it was about 11 %-11.5% . So, if you could kind of adjusted for seasonality, what kind of improvement have we seen so far?

Ravi Jaipuria: No, it used to be ~ 10% odd, and we have reached ~ 14.4% and we expect to maintain 14.4% for the year . Last quarter was one of the better seasons for South Africa, however we believe that we will be able to make some correct ions and stick to this margin at least .

Moderator: Thank you. The next question is from the line of V ismaya Aga rwal from Cit i. Please go ahead.

Vismaya Agarwal: Hi, good af

ternoon, sir. So just a continuation on the previous question on South Africa. At the time of the acquisition , the own brand salience was the larger chunk , Pepsi was just 15%. If you could share some update on what's the salience now of own brands versus Pepsi and also if you could share the 13% volume growth for that business that you have called out. Any trends in own brands versus Pepsi there as well please.

Ravi Jaipuria: Our Pepsi brand sales are going up from 15% and it's close to 20% now . All our products are growing including our homegrown brands . PepsiCo product our growing at a faster

pace. A t the same time, we are also cutting down on products which were non profitable. So that is why the growths are looking more subdued than what they are.

Vismaya Agarwal: Got it sir. Thank you. And just one more on the India business , now in terms of the realization per case that we see here which is up 1.8% this quarter and historically you have maintained that the long term trend should be closer to 2%. But I just wanted to get your thoughts on is there some risk on this growth near term next say one year or so given the kind of consumer promotions that we have seen in the industry or do you think there are levers mix perspective any other levers that can help you?

Ravi Jaipuria: Actually, it's very good for the industry. All these promotions are helping industry to grow and we are seeing that even with the entry of new players. As always said, we continue to grow in double -digit s, while the new entrants are getting their fair share. The market in India is still very under penetrated and there is huge room to grow for everyone .

Vismaya Agarwal: Got it sir. But on the realization. So , does it have an impact the promotions have an impact on the realization or you think that's still manageable with the mix?

Ravi Jaipuria: Very difficult to say , it will depend on quarter to quarter . It might have some effect but nothing significant .

Moderator: Thank you. The next question is from the line of Nitin Shak dher from Green Capital Single Family Office . Please go ahead.

Nitin Shakdher: Congratulations to the management on an excellent set of numbers. My question is more as an investor what are you seeing in terms of a push from global PepsiCo into the India market? Is it that some volumes are moving up on sports energy drinks like Gatorade and Sting and zero sugar versions of Pepsi. What is the shift being from the Indian consumer side more onto healthier options because that's th e trend even like newer sports in India picking up like pickleball. So, what's a brand like Varun B everages and Pepsi doing to sort of look at the new wave of drinks and nutrition ?

Ravi Jaipuria: Hydration and energy are the fastest growing categories and our energy drink is one of the largest in India. Secondly, our hydration drink, Nimb ooz is growing at ~100% which is a fabulous growth. Our value -added dairy beverages are also growing at close to 80%. So, the new categories are doing extremely well and at the same time there are enough newcomers who are entering the se categor ies. The regular categories are also growing , but a faster growth is coming from these new categories.

Nitin Shakdher: Do you also see within Cream Bell the zero sugar options picking up a lot more rather than the standard ice cream patterns. What's the trend on the dairy?

Ravi Jaipuria: We don't think India is still ready for zero sugar category . Mid-cal is taking more

popularity and that is what is going to be coming over the next year or two. Zero sugar
is still a very small segment in th e country. Our Sting energy drink, for example, is a
mid-calorie product, and it aligns well with current consumer preferences.
Moderator: Thank you. The next question is from the line of Mrunma yee Jogalekar from Asit C
Mehta Investments. Please go ahead.

Mrunmayee J.: Thank you for the opportunity and congratulations on a good set of numbers. My first
question is to do with the DRC volumes. If you can quantify that for this quarter.
Ravi Jaipuria: DRC has just started and is a new country , a new territory so it's a bit too early. We
have had some challenges there but we are still progressing. We think in the next
quarter or two you will really start seeing the country coming to life.
Mrunmayee J.: Okay, so in the previous, I think couple of quarters we had a run rate of about 5 to 7
million cases. Would it be similar to that o r as you mentioned there were some
challenges so it was lower.
Ravi Jaipuria: We are still learning the country and we need another quarter or two quarters before
we can really start giving you the numbers on that .
Mrunmayee J.: Okay. And secondly on the South Africa gro wth, so this year you have seen a growth
of 13% which for the first year of operations is very good growth. So, are you expecting
to accelerate this growth and any specific internal targets you would have in terms of
what kind of growth you would like to see?
Ravi Jaipuria: We always have aggressive i nternal targets , but every time you cannot achieve all your
internal targets. As mentioned earlier, we are very happy with the growth of South
Africa, but the actual growth is not coming out because we are cutting down on some
of the non -profitable packs . So when it says 13 %, the actual growth would have been
much higher if we would have not cut down on the non -profitable packs .
Mrunmayee J.: Okay. And the expansion of visi coolers will continue in South Africa ?
Ravi Jaipuria: Yes, that's one of the only ways to grow this soft drink market. Our go-to-market and
visi cooler chilling equipment both must go hand in hand.
Moderator: Thank you. The next question is from the line of Prashant Pod dar from ADIA . Please
go ahead.
Prashant Poddar: Good afternoon, everyone. Thank you very much for all the details and fantastic work
in the continuing international markets . India market especially we have talked a lot
about the new competition, but Coca Cola is clearly the still more relevant competition
for you. You've not spoken about the competitive landscape much in the call. We have
seen you introduce the light variants at low prices in March , I think . Also, Reliance has
announced, Campa has announced a large plant in I think Assam or somewhere. So,
can you help us understand this getting geographical proximity, for example, for
Campa or Cola, participating with new bottlers now, new bottling promoters at least ,
can you help us understand the overall macro in terms of competitive landscape, how
this is evolving and how have market shares been for the full year, if you can give us
just some indication ?
Ravi Jaipuria: The good part is competition is making all of us put in more chilling equipment, more
go-to-market , increasing our efforts. As a result, t he overall market is growing faster
than it has grown over the years . There are enough new entrants which are coming at
the lower price points, which is further helping the market to grow. India remains
significantly under penetrated and as the competition heats up, the growth will come
much faster and there is enough room for everyone to grow in this market .

There are ~ 12 million FMCG outlets and we are reaching out to about ~ 4 million only.
So there is still so much room for everyone to add new outlets through increased GTM
and by putting more chilling equipment . Also in a soft drink industry , whoever wants
to compete must go closer to the market because transporting water over larger
distances is not a viable proposition.
Prashant Poddar: Yes, fair enough. And in terms of books f or the full last year, any indication how you
would have done v/s

Coca Cola?
Ravi Jaipuria: Well, we think we have both grown. So exact numbers only Nielsen and Globaldata
would give you. But we have both grown and done pretty well. As said, we have grown
in double digits which is very healthy growth on this scale and we expect to continue
doing that.
Prashant Poddar: Okay, and last question from my side. In terms of inflation of key materials, which is
packaging and sugar etc. , any initial thoughts for the current year how is it looking
relat ed to previous year.
Ravi Jaipuria: We don't see the raw material prices going up significantly . Fortunately for us oil prices

are not going up, so our packaging material pricing are quite stable or rather even slightly lower. Sugar slightly has gone up, so it balances out and we are quite comfortable with our production costs.
Moderator: Thank you. The next question is from the line of N ilesh Shah from Julius Baer .
Nilesh Saha: Sir, we have seen that over the last few months you have launched the same sort of Rs. 20 pack with higher volume. And we are able to kind of see this product in quite a few st ates. So, could you comment on two things, first on a like to like basis , what would be the margin differential for you? Just asking for a rough range and number two point here is that , is your partner or any of your partner , is your brand partner helping you in any way in m aking good of some margin gap that may be the ca se? Thank you.
Ravi Jaipuria: If you see , our margins have not come down . We are not losing on the margins, and we keep on shifting promotions from product to product. Last year we had some other products which were upsized , and this year we changed to some other flavors. So, it's not that we are adding a lot of bigger packs at the same price , overall percentage is not much higher than what it was last year .
Nilesh Saha: Just to sort of extend this thought a bit more now of course the share is low because you have not rolled it out across all markets which you spoke of in the last call. But if you kind of have to do that, as Campa and other brands also expand nationwide and the salience both in terms of geography and of your volumes go up, you feel even then it will not have a sort of a significant hit on your margins per se, that's the right reason ?
Ravi Jaipuria: We don't see any major dips coming to our margins.
Moderator: Thank you. The next question is from the line of She ela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi: Thanks for taking my question . Again , my question is around the competitive landscape and also , thanks for the clarification on margins. Just want to understand that in this environment where B brands as well as the topmost competition for you all have been aggressive. Does it make sense for us to introduce more new products, take up that pipeline much faster than what we have done in the past? Not necessarily in zero sugar product, but normal products which cater to the Indian audience. And second is also how are we kind of ensuring that we remain relevant? Are we focusing more on ATL spends or BTL spends or how are we playing these two areas?
Ravi Jaipuria: The key way we are progressing is, one by increasing our go-to-market, which we have been doing every year. We have expedited that; by putting more chilling equipment than we did last year or year before. Both these initiatives have help ed us substantially in growing by becom ing more relevant to the retail outlets. Further w e have distinctive products and all our products are doing well. In the energy drink and hydration we are the market leaders and even in value added dairy we are doing extremely well. Our value -added dairy and our hydration category is growing practically at about 100% apart from energy drink. We are getting enough traction , and we will keep on introducing new products,

which is the right thing to do at the right time. We have introduced a new energy flavor which is a malt -based flavor which was just launched in March and now we need to see how well it does.
Sheela Rathi: Understood. And the point on ATL and BTL spend?
Ravi Jaipuria: We have a n understanding with our parent company that ‘X’ amount will be spent out of the total revenues which we continue to do. ATL-BTL spend keeps on growing with the volumes and we keep on spending that.
Sheela Rathi: Sorry, just one follow up sir, is there any change here in terms of the tren d given the conversations around competition being aggressive , have we required to make any changes in certain ?
Ravi Jaipuria: We are aggressive as well a nd we are actively expanding our distribution. As we said we have deployed much more chilling equipment this year than what we used to deploy . We have also increased our go -to-market much more strongly. It's a different way somebody wants to be aggressive in some way while you have to be aggressive in the other . So, everyone will take their own call what is right for them. India has got ~ 12 million outlets; we are going to ~ 4 million. So, there's so much room to expand for everyone.
Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.
Devanshu Bansal: Hi, thanks for the opportunity. Congrats on strong execution in last quarter. Sir again building on the marketing perspective, the competition is quite aggressive in terms of advertisement during major sporting events as well as large congregations like Kumbh Mela. You mentioned that obviously BTL we are quite aggressive in terms of chilling equipment as well as the banners that are there at the shops. But from a mass

marketing perspective which I guess is the brand's responsibility. So, what is the strategy there from PepsiCo side? So, we are relatively , this is my perception but

relatively , as of now the word of mouth is relatively lower. So what's the strategy there?

Ravi Jaipuria: Well, we believe you are basing it because of two events which have happened. One is the K umbh and the other is the IPL. Parent companies take certain call like where they want to spend more money, and what they want to do. Our spends has not come down and are going up only. If the competition wants to spend more, that is their decision. We have no control over where they want to put their money.

Devanshu Bansal: Understood sir, so the if the spend s are remaining stable then maybe we will see during the season. Sir, second question is on the international front . So, Zimbabwe sort of saw some moderation due to sugar tax last year. Now that it is in the base, you also indicated that from this quarter things should improve. Just if you could help us understand what kind of a growth that we can expect on a low base in that particular geography.

Ravi Jaipuria: We do not have a low base there , in fact we are already market leaders with very high market share. For a country with a population of 16 -17 million, our volumes are very high. We are doing extremely well and it's a very good market for us. The issue we faced last year was the need to raise prices suddenly because of the sugar tax . That impact is now being absorbed and we think from this quarter onwards we expect it to come back to normal . However, we are not expecting huge growth.

Devanshu Bansal: Understood. And last bookkeeping question, the Bihar and Meghalaya plants, when are they expected to sort of get commission ed? Is this like during current season or it will be after that?

Ravi Jaipuria: Well, Bihar is getting started tomorrow , May 1, 2025 and Meghalay a will be by the end of May 2025 .

Moderator: Thank you. The Next question is from the line of Devesh Advani from Reliance General Insurance. Please go ahead.

Devesh Advani: Hello sir. Congratulations on good set of numbers. Actually, I wanted to ask how do you see the demand trends before peak summer season as in the month of April and how do you see the top line and bottom -line spanning going?

Ravi Jaipuria: As we said, we still believe that double digit growth is very doable in this country with expansion . There's enough room for everyone to get a fair share of this market. This category is growing at a much faster pace and is doing much better than the other FMCG categories , with more competition coming in, more money is being spent and more chilling equipment are being deployed . The rest depends partly on weather gods, every quarter can be little different , it's very difficult to say. But over all, for the year we believe double digit growth is very achievable .

Moderator: Thank you. The next question is from the line of Rishi Mod y from Ma rcellu s Investment Manager s. Please go ahead.

Rishi Mody: So, I heard you saying that Coca Cola has also grown healthily in Q1 CY25 and it's been almost getting 6 years since we acquired the south and west business , little more than 6 years if I am not wrong. So just wanted to understand how is our growth in the south

and west India? Are we gaining market share or are we still at the same market share levels that we were at the time of acquisition?

Ravi Jaipuria: Well, it is very difficult to say that. But overall, we are growing in the market and we have grow n in both the markets , we are growing healthily in South and West. The overall market is growing in the country. We don't know the exact numbers of competition , they must be also doing well.

Rishi Mody: All right. Second, I wanted to understand it's been almost little over a year since Campa launched in Tamil Nadu which is a dominant market for Pepsi. They do have more than 10% market share in the region that they have started operations. So just wanted to get your view on what's happening.

Ravi Jaipuria: Tamil Nadu has always been a large B brand market almost as large as Pepsi and Coke. So it's very difficult to say how the entry of another brand would impact. But overall, the markets are growing so there's no issue.

Rishi Mody: All right. And finally, just wanted to get a better understanding on Sting. We haven't yet launched it in Africa if I am not wrong. Do we plan to launch ?

Ravi Jaipuria: We have launched it in Africa and is already available in our African markets .

Rishi Mody: But is it as big contributor in Africa or are you still scaling it up?

Ravi Jaipuria: In some countries it is doing extremely well , while in others it is not due to pricing and the local competition. In South Africa we have still not launched Sting .

Moderator: Thank you. The next question is from the line of Ashish Kumar from Am persand

Capital. Please go ahead.
Ashish Kumar: Thanks for the opportunity. I just wanted to know what would be the CAPEX spend for this year and how it would be split between India and like South Africa rest of the world ?
Raj Gandhi: We have given the guidance of ~ Rs. 3,100 crore for this year and we are on track and appx. Rs. 900 crore out of which is yet to be spent.
Ashish Kumar: Okay. And so, in terms of geographical split ?
Raj Gandhi: Country wise we have the breakup. We can provide you offline.
Moderator: Thank you. The next question is from the line of Rajit Agga rwal from Nilgiri Investments Manager. Please go ahead.
Rajit Aggarwal: Good afternoon, sir. See, I am sorry if this question is wrong or not supposed to be asked or has already been asked. But I was just wondering, I mean any impact of the fall oput of the deal with Domino's. Any comments from your side?
Ravi Jaipuria: Any account you lose is not good. But that had to happen and we also get new accounts , so the loss of one account does not make a signi

ficant difference. But obviously we would always like to have more and more .

Rajit Aggarwal: Right. When you say that the growth will be consistent for this calendar year as well. So that expectation or that growth doesn't get tempered .
Ravi Jaipuria: One fast food chain cannot have any major impact , it's very small for the overall growth of the brand.
Rajit Aggarwal: I would assume it's low single digits.
Ravi Jaipuria: What is low single digit?
Rajit Aggarwal: The volume from Domino's.
Ravi Jaipuria: It was less than low single digit.
Moderator: Thank you. The next question is from the line of Ashish Agra wal, who is an individual investor. Please go ahead.
Ashish Agrawal: My question is regarding Ghana and Tanzania. I just saw the presentation and we have kind of taken that out. Do we have any clarity of when we can, the deal is on hold. That is what you told. But do we have any clarity when we are going to have them on us or there are some other competitions that are there?
Ravi Jaipuria: No, there's no competition. It's just that we have not got the clearances what we were supposed to get. And in the African countries, till we get full clarity, being a listed company, we are not going to take control of the company. If they are able to get the required clearances, we will move forward . If not, we will not get into it.
Ashish Agrawal: And how about the new energy drink that we were about to launch in before this season as well as the new variety , basically the Jeera drink and the new energy drink that we were launching , any updates on that?
Ravi Jaipuria: The energy drink w e have launched in March is a variant of Sting, which is a malt -based energy drink. It's just been put in the market, we have to give it a month or two months before we get really the reaction. But initially the reaction is good.
Ashish Agrawal: That is Sting Gold, right?
Ravi Jaipuria: Yes, please.
Ashish Agrawal: But there was another new drink that you were talking about in the last two quarters. Has there been any progress with that or we're not looking at for this year ?
Ravi Jaipuria: We will be launching new products but not immediately, at least for the high summer.
Ashish Agrawal: Okay. And Jeera drink?
Ravi Jaipuria: We are still in the process of launching it.
Moderator: Thank you . Ladies and gentlemen , that was the last question for today. I now hand the conference over to the management for closing comments.

Raj Gandhi: Thank you. I hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about the company, please feel free to contact our investor relations team. Thank you once again for your interest and support for taking time out to join us on this call. Look forward to interacting with you soon. Thank you very much.

Call: Aug 2025

August 4, 2025

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: VBL BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 540180

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 : Transcript of Investors & Analysts Conference Call

Dear Sir / Madam,

Transcript of Investors & Analysts Conference Call held on July 29 , 2025 i.e. post declaration of Unaudited Financial Results of the Company for the Quarter and Half Year ended June 30, 2025 is enclosed.

The same is also being uploaded on website of the Company at www.varunbeverages.com .

You are requested to take the above on record.

Yours faithfully,
For Varun Beverages Limited

Ravi Batra
Chief Risk Officer & Group Company Secretary

Encl.: As above

Varun Beverages Limited
Q2 & H1 CY2025 Earnings Conference Call Transcript
July 29, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Varun Beverages Limited 's Earnings Conference Call.
I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.
Anoop Poojari: Thank you. Good afternoon , everyone . And thank you for joining us on Varun Beverages ' Q2 CY2025 Earnings Conference Call .
We have with us Mr. Ravi Jaipuria , Chairman of the company , Mr. Varun Jaipuria , Executive Vice Chairman and Whole-time Director and Mr. Raj Gandhi , President and Whole-time Director of the company. We will initiate the call with opening remarks from the management following which we will have the forum open for a question -and-answer session.
Before we begin , I would like to point out that some statements made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier. I would now request Mr. Ravi Jaipuria to make his opening remarks.
Ravi Jaipuria: Good afternoon , everyone and thank you for joining us on our earnings conference call. I hope you've had a chance to review our results presentation for the second

quarter and half year ended June 30th, 2025.
We delivered a resilient performance during a quarter . In-spite of unusually early onset of monsoon rains in the peak summer months in India , we could keep our realizations per case and EBITDA margins intact. Due to growth in international markets supported by strong positive currency movement in Africa territories , Company ended the quarter with a positive PAT in-spite of 3% decline in consolidated sales volume.
In international markets, Varun Beverages Morocco has commenced commercial production of PepsiCo 's snack product 'Cheetos .' This marks another milestone in strengthening our presence in the high -potential snack category, complementing our beverage portfolio and diversifying our revenue streams.

We continue to focus on growth opportunities in South Africa market. We have enhanced our capacity by setting up a can line in Du rban, in one of our existing production facilities. We are awaiting approval from Competition Commission of South Africa for land parcel purchase adjoining our production facility in Boksburg to further enhance capacity and backward integration. These are just a few steps in our series of initiatives to revitalize South Africa territory.
Strong currency and our efforts in implementing backward integration last year have resulted in enhanced profitability in all our African territories. We have further strengthened Zambia, DRC and South Africa subsidiary balance sheets and through in-proces s equity infusion raising our stake in Zambia from 90% to 95%.
In line with our dividend policy, the Board of Directors ha ve approved a second interim dividend of 25% of face value, i.e., Rs. 0.50 per share, resulting in a total cash outflow of approximately Rs. 1,691 million.
Although unseasonal rains have impacted performance during the quarter, we have successfully navigated such challenges in the past and we have emerged stronger. We continue to strengthen our on -ground execution by adding more visi-coolers and ensuring wider product availability across retail touchpoints. With robust capacities now operational, an expanding product portfolio, and a sharply focused distribution network, we are well -positioned to capture emerging opportunities and driv e sustainable, long -term value creation for all stakeholders.
I would now like to invite Mr. Gandhi to share the key highlights of our operation and financial performance. Thank you very much.
Raj Gandhi: Thank you, Mr. Chairman. Good afternoon and a warm welcome to everyone on this call today. I will take you through the financial and operational performance for the second q uarter and half year ended 30 th June 2025 .
Revenue from operations net of excise and GST stood at the level of Rs. 70,173 million in Q2 of 2025, down 2.5% YoY. For the first half of the year, revenue grew by 9.3% to Rs. 125,843 million. The decline in Q2 was primarily due to a 3% drop in consolidated sales volume, which stood at 389.7 million cases.
In India, volumes were impacted by abnormally high and unseasonal rainfall all through the quarter, resulting in a 7.1% decline in India. However, this was partially offset by healthy growth in international markets where volumes grew 15.1% led by a growth of 16.1% in South Africa.
Net realization per case at the consolidated level improved marginally by 0.5% supported by a favorable mix in the international markets per case realization recorded a 6.6% increase. CS D accounted for 75% of the total volumes in Q2 of the CY2025 with package d drinking water contributing 18% and NCB making up the remaining 7%.
Gross margins remain steady at 54.5% reflecting a balanced product mix and cost discipline. EBITDA s tood at Rs. 19,987 .7 million with EBITDA margin improving by 82 basis points YoY to 28.5% in Q2 of 2025, driven by operational efficiencies and a strong currency in international operations. This margin expansion is a pleasant development considering the higher fixed overheads from the commissioning of four new Greenfield plants at Prayagraj (UP), Damtal (Himachal Pradesh), Buxar (Bihar) , and Mendipathar (Meghalaya).

These plants significantly enhance our production capabilities and supply chain agility, laying a strong foundation to capitalize on long -term growth opportunities in the Indian beverage market. The four newly commissioned plants have been established to reinforce our growth priorities in high potential and under -pene trated regions while improving operational and logistics efficiency.
With multi -line configurations across CSD, JBD and water categories, these large - scale facilities provide the flexibility and scale neede

d to meet rising demand and capture market share gain over the coming years. As we ramp up volumes, the fixed costs ass ociated with these new facilities will be better absorbed , further supporting margin stability and operational leverage.

PAT grew by 5% to the level of Rs. 13,254.9 million , supported by improved operational efficiencies and lower finance costs. Depreciation increased by 26.3% due to the commissioning of the new plants in India and DRC , along with Brownfield expansion in other geographies . Finance costs have been reduced significantly with the Indian business now net debt -free following the QIP proceeds and the remaining costs largely attributable to South Africa including lease adjustments under the Ind AS 116.

For the first half of the year, EBITDA increased by 9.5% to the level of Rs. 32,627 million and the PAT rose by 13.6% to the level of Rs. 20,568 million. Low or no added sugar products contributed around 55% of the consolidated volumes in H1 2025, reflecting our continued efforts to evolve with consumer preferences.

In H1 2025, we capitalized net assets of approximately 25,000 million, which included investments in the four Greenfield plants across India, Brownfield expansion in Sricity and strategic projects in DRC, Morocco, and South Africa. Additional CAPEX was allocated towards visi -coolers , returnable glass bottles, pallets and logistics infrastructure to strengthen our on -ground execution.

As of June 30th, 2025, capital working progress stood at Rs. 6,000 million, primarily for Phase II of the Greenfield expansion in India and the upcoming snacks facility in Zimbabwe.

Working capital days remain ed broadly stable at approximately 35 days compared to last year's 33 days, supported by disciplined inventory and receivables management, despite high-capacity additions and an expanded operating footprint across both domestic and international markets.

Looking ahead, we remain focused on driving growth by leveraging our enhanced capacities, diversified portfolio, and strengthened distribution network. The commissioning of new facilities, expansion into high potential markets, and sustained investments in distribution assets like visi-coolers position us well to capture demand recovery in the coming years. We are confident that these strategic initiatives combined with operational discipline , will enable us to deliver consistent growth and create long-term value for our stakeholders.

With that, I conclude my opening remarks and invite the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Abneesh Roy from Nu vama. Please go ahead.

Abneesh Roy: I have two questions. My first question is on the other cost and general comment on the cost. The cost controls this quarter has been very good. The specific question is

other cost is down around 11% YoY. I think one -third of this component is basically the freight cost, etc. If you could explain how you have controlled this cost and is this sustainable going forward?

Varun Jaipuria: What we have done in terms of freight cost optimization, we have consolidated a lot of distributors of ours, which has helped us send larger load sizes and has helped us in the freight cost per case.

At the same time, we have opened larger plants as well which are closer to markets . So, that has again helped us in reduc ing freight costs because the distances have come down. These are two major things what we have done in terms of cost reduction and in terms of freight optimization.

The other thing what we have done is a lot of manpower cost optimi zation. We have re-looked at all our routes, and rationalise d manpower more effectively.

When it comes to power and fuel, we have got newer lines what we have put up. The newer lines ' efficiencies are much higher, so your cost to produce is much lower.

And of course, we have added more renewable energy as well in-line with our sustainability agenda . I think these 3 -4 elements in a larger way have helped us to reduce our cost and will help us going forward as well .

Ravi Jaipuria: And this is all sustainable and will continue going forward.

Abneesh Roy: Understood. Second question is on the demand side. Yes, this quarter, April -May-June, all summer categories have suffered. We have seen AC companies report 20%-25% decline . Even in FMCG , cooling summer categories have suffered.

My question is now on the outlook front. You have mentioned one interesting comment that because of these challenging scenarios, you always come out stronger. I wanted to understand now, September quarter, again, the base is favorable at around 5% to 6%, i n fact, next two quarters. But September quarter in the scenario of high rain, which currently I think every forecaster is expecting that and till now we have seen high rain. How have you seen the demand till now for the start of the quarter and how do yo u see in this quarter can you benefit because of the soft base also?

Ravi Jaipuria: The real answer would depend on the rain gods, which is very difficult to predict. The rainy season has been quite prevalent in July and it's not been the best of the seasons. But overall, we are looking quite positively because last year was not a very good quarter. Hopefully with slight breaks in the weather, we will do well. And otherwise, you know, we are well poised for growth , things are looking good and our products are doing well .

Also, if it rains earlier , things get better in the second half. Our costs are under control , plants are up and running , and everything else is on track . A little bit weather break will do extremely well.

Moderator: Next question is from Vivek M . from Jeff eries. Please go ahead.

Vivek M.: Hi, good afternoon , team. A couple of things. First, you mentioned about the cost savings in this quarter and India business. And I know every call we are discussing competition quite a bit, but do you think in the context of high competition, there is a merit in plowing back some of the savings in the form of generating consumer demand . I know the quarter was marked by these unseasonal rains , but how do you think about it from a more medium -term perspective?

Ravi Jaipuria: Vivek, consumer demand is there and that is not a real challenge for us. We have increased our go -to market as we are adding more chilling equipment, which is visi - coolers, and our routes to go-to-market. The only dampening part in this quarter has been the rains, which is totally unpredict able and was much heavier than it has normally been in this quarter in the past . We don't see any other challenge at th is moment. Of course, competition is there , however they will get their share , and we will get ours.

Vivek M.: Right. But you know, Mr. Jaipuria, in the context of, let's say , the rising competition and whatever media is talking about significant CAPEX investments by the new player , your margins are, let's say, 1st Quarter are fairly high at operating level. Do you still think that these margins are sustainable, or you see a need to, as you go forward , as the competition further picks up .

Ravi Jaipuria: We always have guided consolidated margins at 21% and never guided beyond that. However, w e have show n better results. We are quite clear on the margins and the challenges we are going to have , that is why we are becoming more and more nimble. We are cutting costs where it needs to be. We are making sure our plants are more productive. The newer plants are efficient and closer to the distributors , we are saving in efficiencies and freight cost . Plus, the company is totally debt -free, there is no interest cost. Rather we are actually ear

ning interest on the funds which are lying in the bank. In all aspects, we are much more stronger , and we don't see any reason why these margins should come down.

Vivek M.: And just a last follow -up to this . I completely understand and respect the part that you have always maintained margins at a level which is lower than where you are at. Do you think that gets reset or the current margins get reset to those levels given the pickup in competition?

Ravi Jaipuria: Why do you want us to keep saying what we have been repeating , Vivek . You know, the reality is what we are showing . We are always trying to attain better than what we say, and that is where we want to keep ourselves.

Vivek M.: And the second question is, how has been the response to Sting Gold? And where are you in the distribution journey over there?

Ravi Jaipuria: Well, these are new products some of them work very well and s ome don't. Sting Gold has got a mixed reaction , it's not been anywhere close to our Sting Red. But certain markets have accepted it and c ertain markets have not accepted it.

Varun Jaipuria: And just to add Vivek, the last Quarter is the main quarter we have. And looking at the unseasonal rains , we want to keep pushing Sting Gold again for the next two quarters. We think we will have a better and clearer picture in terms of whe re that stand .

Moderator: Next question is from Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Sir, th is quarter numbers are obviously weak due to unanticipated rain. In some way, it is also shadowing the distribution expansion that we must have done ahead of this season. I just wanted to check if you could throw some light on how many retail outlets are we catering as of now and what is the target ahead of next year's season?

Varun Jaipuria: Currently, Devanshu, we are reaching out at about 4 million outlets. This year the goal was to increase it by another 10%, by about 300,000 to 400,000 outlets. Given that when it rains, the rural demand goes down and there are a lot of temporary

outlets which do not open. We hope post-Quarter 2 we will be able to achieve that number.

Devanshu Bansal: So, maybe we may end towards like 4.3 - 4.4, right , by this year's time?

Ravi Jaipuria: Maybe a little less. We might not have been able to achieve exactly what we wanted because of the unseasonal rains.

Varun Jaipuria: But it would be more of industry phenomena at the same time, Devanshu . The temporary outlets in rural which usually open , those might not be there this season. Hence, you will see that gap at the outlet level of the industry as well.

Devanshu Bansal: Fair enough. Thanks, Varun . Sir, the capacity utilization would be currently lower, sir. I wanted to check if you could sort of indicate the CAPEX intensity in the coming 2-3 years. So, that would be helpful.

Ravi Jaipuria: We are close to 70% capacity utilization , and we believe we have enough room for the next 2 years at least. Our CAPEX in Indian markets would be much lower , we don't think our CAPEX would be much except in the international markets ,

Devanshu Bansal: Any quantitative number or maybe in percentage of sales or?

Ravi Jaipuria: In India, we are not looking at more than Rs. 600 - 700 crore for next year . In international markets , we do not have the exact numbers, but we are looking to expand in South Africa and some other countries.

Devanshu Bansal: Sir, the last question I have on balance sheet front , there is some Rs. 1,000 crore of additional investments that we have made in overseas operations. I wanted to check by when these international operations will be able to sort of sustain their growth with their own internal a ccrual . Just some thoughts around that , maybe geography -wise, some geographies will already be doing. But if you could indicate either via geographies or on an ov

erall level, till when do we need to sort of help thos e geographies sustain their growth?

Raj Gandhi: In fact, the amount reflected as capital was originally extended as loans to DRC, Dubai, Zambia and South Africa operations. These loans have now been converted into equity to strengthen the ir respective balance sheets. So, it is not that we had to send fresh funds now to sustain their operations. They are doing well already.

Devanshu Bansal: Sir, even if I add back, sorry for continuing on this, but Rs. 3,400 crore was total loan and investment. This time around, it is around Rs. 4,500 crore. So , net-net, it is Rs. 1,000 crore of investment that is spent , right? If I am reading it correctly.

Raj Gandhi: We are currently undertaking three key projects. In DRC backward integration project; in South Africa, we are adding one can line and acquiring a new plot; and for snacks we have already commissioned a plant in Morocco in the last quarter , Zimbabwe snack foods plant is currently under implementation. On the capital account, the broad point is that it was only a conversion of loans into equity and funding of capex of these three projects .

Moderator: Next question is from Jaykumar Doshi from Kota k Institutional Equities . Please go ahead.

Jaykumar Doshi : Could you give us some outlook on 3 or 4 international territories, geographies that you operate in Zimbabwe, Morocco, DRC, and South Africa? And also, I believe that the snacks plant in Morocco has probably started commissioned a little bit ahead of

expectations. So, how should we think about the revenue trajectory from that portfolio and the other two plan ts in the other two geographies on the snacks side? And especially because Zimbabwe was quite weak over the last 3-4 quarters since introduction of sugar tax. So , is the demand in the beverages portfolio there sort of stabilizing no w?

Ravi Jaipuria: Regarding Zimbabwe, the demand has started to stabilize. Our volumes are coming back to original volumes , we hope by the end of this quarter it will start growing. On the snacks side, the plant in Morocco has already started in June last month and t he initial response is very good . The plant in Zimbabwe is going to start in October , however we have already started distribution for snacks in Zambia and Zimbabwe markets.

Jaykumar Doshi : And volume growth for beverages portfolio in the other markets, DRC and Morocco , if you could give us some color on how should we think about at a full year level, this calendar year ?

Ravi Jaipuria: Morocco , South -Africa, and Zambia are doing quite well. DRC is a new plant, and this is the first year , we need to wait and see. But o verall, all the international territories are doing well.

Moderator: Next question is from Percy Panthaki from IIFL Securities . Please go ahead.

Percy Panthaki: I was just looking at the India numbers. So , there is a 7% volume decline and a 9%

value decline, which is that the derived ASP is negative by 2%. Any idea why this is happening?

Varun Jaipuria: The reason this has happened in the current quarter is to make sure that the route probability for a distributor com es up and he ends up running the ro ute, which usually does happen during the off -season period . Also, we have consciously push ed water a little bit more. So , that is why our water mix has gone up by 2% as well if you see for this quarter and realization is down a little bit .

Percy Panthaki: And within the CSD portfolio, is it that there is a change YoY in terms of the large pack versus small pack salience? Like when people are stepping out of form less, I would assume that the decline in the small packs would have been larger than the decline in the large packs. And the large packs would also be at a lower ASP. So , is that also one of the reasons why the overall ASP is negative?

Varun Jaipuria: Not re

ally. We think it is the opposite . The smaller packs are still doing well because of the price point at which we are selling . It is the larger pack which have declined , because of unseasonal rains, events , weddings and outdoor functions that have probably happened less. Our small pack continues to do much better than the large pack and that is the industry norm.

Percy Panthaki: And on water , at an end consumer level, would I be right in assuming that the demand for water would be more affected because it is almost an entirely out -of-home consumption product, unlike CSD, which has some in -home portion , and therefore, the increased salience of water is mainly just a pipelining issue which will reverse next quarter?

Ravi Jaipuria: No, it is not a pipeline issue. It is a question of how much we want to push water . So, in water, the overall market is much bigger than what we are selling . It is only how much percentage we want to push water.

Varun Jaipuria: See, w ater is simply a commodity. The cheaper you go on water, you get into competing with a lot of brands locals and regional . It really depends how much you want to discount on water . It’s nothing to do with the reason what you had mentioned.

Percy Panthaki: But given that your margins are not impacted, I am assuming that you have not taken the discounting route, right?

Ravi Jaipuria: We have given a little bit of support to the distributors, which does not overall impact the margins . We normally don't do it in the season , however this quarter because of the weakening of the season , we have supported our distributors .

Raj Gandhi: Percy, in fact in the rainy season the out of home consumption goes up for water , as people prefer to consume clean and hygienic water to avoid infections . Also t here is a small realization difference overall and we should not read too much between the lines.

Percy Panthaki: Secondly, just wanted to understand on the international . So, if I derive the international by doing a consol minus standalone, the sales growth is 23% and the EBITDA growth is 45% . So, what is driving? Which region is driving the high 23% kind of sales growth? And also, where is the margin expansion coming from? Because the EBITDA growth is double that of the sales growth.

Raj Gandhi: Percy, one is that backward integration which has started at three locations, Zambia, DRC, and Morocco. We have already done a lot on backward integration in India , internationally it’s just the beginning, and the benefits are starting to flow in. Further as volumes continue to grow, they naturally support margin expansion . Additionally the currency stabilization in international markets has also supported us in the current quarter .

Ravi Jaipuria: Also, to add sugar prices were lower in the international market which have helped.

Percy Panthaki: And the 23% sales growth, which geography is driving that mainly?

Ravi Jaipuria: Except Zimbabwe all the geographies are doing well. Zimbabwe has dipped down temporarily because of the sugar tax and increase in prices , however it has already started to bounce back.

Raj Gandhi: Also to add, the growth in South Africa was higher than the average for the international markets .

Percy Panthaki: Basically you are saying 20% plus kind of growth is a normal even going forward for international geography.

Ravi Jaipuria: We are not saying that. But we keep trying.

Moderator: Next question is from Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Sir, two questions from me. Firstly, on this cost reduction, is there any element of reduction in marketing spends in India? And in terms of the volume mix in India, is there any meaningful change other than the increase in water salience that you talked abou t? Is there any change in the other products?

Varun Jaipuria: See the ATL marketing is done by Pepsi

and BTL marketing is what we do. There is
no change in terms of what marketing spends we do , because this usually happen
by March before the season comes in . The marketing spends are as per what the
budget was and there was no reduction.

On the other hand , we are obviously working very closely with Pepsi Co to grow
categories . The hydration category under Nimbooz has done very well for us , despite
the unseasonal rains we have been pushing that. Further w e have added new flavors
in our value -added dairy category, which is o ur own brand . We have been building
on that brand for the last few years and have added more capacity last year . So, that
has done very, very well. Also, the Energy category is holding on and we are not
seeing any dips in energy. Overall , all these categories are outshining and doing well
for us.
Aditya Soman : Thanks, Varun. Very clear. And just to clarify, on the margin, so there is no reduction
in the BTL spend, right?
Varun Jaipuria: No, there isn't.
Moderator: Next question is from Onkar Ghugardare from Shree Investments . Please go ahead.
Onkar Ghugardare: If you look at the newly commissioned four capacities which you are talking about,
how much would be the total capacity, if you can quantify, excluding the newly
commissioned four capacity plants we are talking about, excluding the capacity.
Ravi Jaipuria: As we just said, we are about 70% utilization of the capacity . So, we have enough
headroom for the next couple of years. We don't need any major CAPEX in India.
Onkar Ghugardare: Just wanted to get a sense like how much these new capacities have contributed in
Q1.
Ravi Jaipuria: Well, these plants came up by April -May, there is very little it has contributed. These
lines are actually now available for next season because this season was not very
strong anyway. We have reasonably enough capacity.
Raj Gandhi: Basically, if overall our volume stays the same and new facilities come up, instead
of either focusing on everything shifting to new plants or staying with the earlier
plants, we have rationalized our freight, other expenses and used these facilities to
bring in other savings which is reflected in our P&L.
Onkar Ghugardare: The second question is on the cash, like w hat would be the utilization of that? Would
they be used for adding new markets or acquiring companies? Or like you have
already said that not that much of CAPEX will be for the Indian market . So, how they
will be used?
Ravi Jaipuria: We are looking for new acquisitions , and we are very actively looking at it and also
expansion in the international market .
Onkar Ghugardare: Mostly it will be utilized for the new acquisitions in the overseas markets, right?
Ravi Jaipuria: Acquisition and expansion in the existing market s internationally.
Moderator: Next question is from Sheela Rathi from Morgan Stanley . Please go ahead.
Sheela Rathi: Sir, to the previous participant ’s question, you said that we will be looking for more
international expansion s, probably international M&A, and within India, we are not
seeking any CAPEX at this point of time.
Ravi Jaipuria: There will be some CAPEX , depending on the location, but major CAPEX will not be
there for the next year or two years in India .

Sheela Rathi: And the question I have is that are there any opportunities which lie ahead of us in
the India market from an investment standpoint? Just trying to get your thoughts here
as to what lies ahead within the India business model.
And my second question is that while we have always believed in building our own
capacities, if there is an opportunity to rely on a third -party bottler in certain markets,
do we choose that route? So , these are my two questions.
Ravi Jaipuria: Well, we have not chosen the route of third -party manufacture as of now. And at th is
moment we a

re not looking at it. We are looking at expansion and acquiring new
territories or new businesses outside India. In India, there is very little room to expand
now, because capacity -wise, we have enough capacity, except that it could be in one
region that suddenly we are short and we don't want to pay extra f reight . We will
continue to expand our renewable energy, where we can further save , but othe r than
that, no.
Sheela Rathi: And sir, just one question, because you have talked in detail about how we are
working on our GTM strategy. Just on the visi-cooler side, is there a number to keep
in mind in terms of what is the kind of expansion we should see in this particular
calendar year?
Ravi Jaipuria: We have expanded our Visi placements. Our Visi placements have gone up by
approx. 15% from last year. And I think we will continue at this pace going forward.
Raj Gandhi: Sheela, in fact, you should see that today we made an announcement of forming a

JV with Everest cooler for manufactur ing of Visi -coolers in-house . If we have such
kind of availability, we will definitely try to use that in expansion of our business.
Sheela Rathi: And that will be for India as well.
Ravi Jaipuria: As we ha ve already announced that we have already taken 50% equity in the Sri
Lankan plant of Everest . We are going to start using that facilit y for our South and
West territories.
Moderator: Thank you very much. We will take that as the last question. I would now like to hand
the conference back to the Management Team for closing comments.
Raj Gandhi: Thank you. I hope we have been able to answer all your questions satisfactorily.
Should you need any further clarifications or would like to know more about the
company, please feel free to contact our Investor Relations team. Thank you once
again for your interest and support and for taking the time to join us on this call. Look
forward to interacting with you soon. Thank you very much.

Call: Nov 2025

November 4, 2025

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: VBL BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 540180

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of Investors & Analysts Conference Call

Dear Sir / Madam,

Transcript of Investors & Analysts Conference Call held on October 29, 2025 i.e. post declaration of Unaudited Financial Results of the Company for the Quarter and Nine Months ended September 30, 2025 is enclosed.

The same is also being uploaded on website of the Company at www.varunbeverages.com .

You are requested to take the above on record.

Yours faithfully,
For Varun Beverages Limited

Ravi Batra
Chief Risk Officer & Group Company Secretary

Encl.: As above

Page 1 of 16

Varun Beverages Limited
Q3 & 9M CY2025 Earnings C onference Call
October 29, 202 5

Moderator: Ladies and gentlemen, good day, and welcome to the Varun Beverages Limit ed's Earnings Conference Call.
I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.
Anoop Poojari : Good afternoon, everyone, and thank you for joining us on Varun Beverages' Q3 CY2025 Earnings Conference Call.
We have with us Mr. Ravi Jaipuria, Chairman of the company; Mr. Varun Jaipuria, Executive Vice Chairman and Whole -Time Director; and Mr. Raj Gandhi, President and Whole -Time Director of the company. We will initiate the call with opening remarks from the management, following which we'll have the forum open for a question -and-answer session.
Before we begin, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the results presentation shared with you earlier. I would now request Mr. Ravi Jaipuria to make his opening remarks.
Ravi Jaipuria : Good afternoon, everyone, and thank you for joining us on our earnings conference call. I hope you've had a chance to review our results presentation for the third quarter and nine months ended September 2025.

We have delivered a steady performance during the quarter , with consolidated sales volumes rising by 2.4%, supported by healthy traction in international markets . While domestic volumes remained subdued due to prolonged rainfall across India , the International operations grew by 9%.

Performance in international territories continued to be healthy, with South Africa delivering another quarter of strong growth. In South Africa, we see significant potential to further strengthen our market position, and we continue to put in place the building blocks to support sustained growth in the region. Our ongoing backward integration initiatives across key locations are driving higher efficiency and operation resilience.

Further, in line with our growth strategy, we are incorporating a wholly -owned subsidiary in Kenya under Varun Beverages Limited to carry on the business of manufacturing, distribution and selling of dairy and beverages. We are also diversifying our product offerings and certain African subsidiaries of VBL shall test market beer in their territories through an exclusive distribution agreement with Carlsberg Breweries A/S for the ir Carlsberg brand. These developments collectively reflect our continued commitment to broadening our product base and strengthening our presence across key growth markets.

Meanwhile, our snacks facility in Morocco has ramped up to full -scale operations and the upcoming Zimbabwe plant is progressing towards commissioning, marking continued progress in diversifying our portfolio beyond beverages.

While

the extended monsoon season impacted consumption trends in India, we remain confident in the significant long -term potential of the domestic beverage industry. With low per capita consumption and rising penetration in the semi -urban and rural markets, the opportunity for growth continues to be immense. Our ongoing investments in capacity expansion, distribution reach, and cold -chain infrastructure are further strengthening on -ground execution, ensuring we are well - prepared to capture demand recovery in the upcoming season and deliver sustainable growth for all stakeholders.

I would now like to invite Mr. Gandhi to share the key highlights of our operational and financial performance. Thank you very much.

Raj Gandhi : Thank you, Mr. Chairman. Good afternoon, and a warm welcome to everyone on the call today. I will take you through the financial and operational performance for the third quarter and nine months ending 30th September 2025.

Revenue from operations, net of excise and GST, increased by 1.9% YoY in Q3 CY2025 to the level of Rs. 48,966.5 million from earlier level of Rs. 48,046.8 million in Q3 CY2024. Consolidated sales volume grew by 2.4% to the level of 273.8 million cases from 267.5 million cases in the same period last year, reflecting stable overall performance even as heavy rainfall persisted across India through

the quarter. India volumes were largely flat, while international volumes grew by 9%, led by a strong performance in South Africa.

Net realization per case stood at the level of Rs. 178.84 in Q3 CY2025 compared to Rs. 179.62 in Q3 CY2024, owing to a higher mix of packaged drinking water in international markets. CSD constituted 74%, NCB 4%, and Packaged Drinking Water 22% of total sales volumes during the quarter. In 9M CY2025 , mix of Low sugar / No sugar products was ~56% of our consolidated sales volumes and ~45% in India.

Gross margins improved by 119 b ps to 56.7% in Q3 CY2025, driven by higher contribution from Packaged Drinking Water in international markets and benefits from ongoing backward integration initiatives. However, with increased in -house production of raw materials, a part of expenses has shifted from raw material purchases to employee costs, power and fuel, and other manufacturing overheads.

EBITDA remained broadly stable at Rs. 11,473.8 million, with margins moderating marginally to 23.4% from margin level of 24% in Q3 of the last year , reflecting this accounting shift . The underlying business economics remained strong , with efficiency gains from new capex and backward integration expected to become more visible as volumes scale up.

PAT increased by 18.5% to Rs. 7,451.9 million in Q3 CY2025 from the level of Rs. 6,288.3 million in Q3 CY2024, supported by lower finance costs and higher other income, which included interest on deposits in India and favorable currency movements across international territories. Depreciation rose by 19.9%, reflecting the commissioning of new plants in India and the DRC and can line in South Africa, along with brownfield expansion across other geographies. Following repayment of

debt through QIP proceeds, finance costs in India are now negligible, while those in international markets, primarily related to South Africa and include lease adjustments under Ind AS 116. We remain debt -free at the consolidated level.
On the regulatory front, the company transitioned to the GST 2.0 framework without any significant adverse impact on operations. The reduction in GST rates across key categories including value -added dairy products, juice -based drinks, soda, packaged drinking water represents a structural positive for the company, directly benefiting nearly one fourth of our portfolio in India. By passing on the full benefit of the rate reduction to consumers, we expect to drive category expansion and support sustained demand growth over time.
Overall, we continue

to maintain a strong financial foundation supported by operational efficiencies, prudent cost management , and a robust balance sheet.

While our international businesses continue to scale well, India remains a significant long -term growth driver . With growing per cap consumption, wider electrification, and expanding chilling infrastructure, the domestic market presents ample headroom for sustained double -digit growth.
With that, I conclude my remarks and invite the moderator to open th e floor for questions. Thank you.
Moderator: Thank you very much. We will now begin with the question -and-answer session. Our first question comes from the line of Vivek M aheshwari from Jefferies. Please go ahead.
Vivek M aheshwari : Hi, good afternoon, team. Firstly, on the base business, I know the season was quite bad and there are a lot of industries which have seen the impact. But what would be the impact of competition? Are you seeing anything on the ground? I know we ask you this question every quarter, but it's an important parameter from our perspective. So, I would love to know your thoughts?
Ravi Jaipuria: We believe competition is good and healthy and will only grow the market for all of us. Obviously , since they are in the market there will be some minor effect temporarily, but we believe that in the long term this is going to be very healthy for the industry. They have woken all of us up and we are becoming more attentive and making sure we are going to the market more often than we were going before.
It's a very healthy sign for the country because we are at such low per cap ita consumption that in the next 5 to 10 years, this market may double or triple , no one knows . There is huge room and we see only positive in this.
Vivek M aheshwari : That's a very interesting comment, Mr. Jaipuria because, while you say that it has woken you up, but at least, we always believe d that you have been top -notch with your execution. So, that's a very interesting comment to hear, I must say. Just a follow -up to what you said. What are your thoughts on Rs. 10 price point, because that is one area where we have seen competition being quite aggressive and there has been somewhat of a reluctance from your side as well as the other competitor?
Ravi Jaipuria: Rs. 10 is such an interesting price point. If you all go back 20 years and go back to the pesticide issue time when we had brought the price down to Rs. 5, which was at that time, mainly by Coke and us. We remember that we ran the lines 24 hours and we couldn't produce enough. So, we think Rs. 10 is so affordable, you can't even get a small cup of tea today for Rs. 10. It's a very aggressive price point

which our competitors have decided to put and this will completely enhance the rural and semi -rural markets. We think we are also reasonably prepared and whatever the market requires, we will be in the market and expand the market.
Vivek M aheshwari : Okay. Sorry, Mr. Jaipuria. So, what exactly that means? Are you signalling towards a launch …?
Ravi Jaipuria: That means, if need ed, we are prepared for it. And if necessary, we'll come to the market . There is enough room for everybody, and we'll also play the market when necessary.
Vivek M aheshwari : Okay. And apologies, I still want to close the loop on this one. What exactly do you mean by if necessary? Because as we see it, the Rs. 10 price point is pretty much across states, across markets, wherever we have at least visited. What exactly are you looking for over here before making up your mind?
Ravi Jaipuria: If we see that our market share is being taken, we will come to the party. At present , we see it's the weather which is only making the issue. As soon as the weather changes we can grow in double digits , for example if you look at October, for the next quarter, we are growing in double digits.
Vivek M aheshwari

: Okay. Got it. Looking forward to your action on this. On the second part, in terms of alteration in MOA. So, while the presentation does talk about Ready to Drink and AlcoBev and all of that. There is also another thing in your release, which talks about noodles and milk preparations, milk powder , frozen food, etc.? Can you just also elaborate on that, because that doesn't have a mention in the presentation?
Ravi Jaipuria: We are just making the portfolio available to us , because we don't want to go to the shareholders again and again. We are looking for expansion and whenever we get an opportunity, we will be ready to go forward with it.
Vivek M aheshwari : For example, let's say, PepsiCo Foods, are you referring to that side of the portfolio when you say instant noodles .
Ravi Jaipuria: We will never do those products , Pepsi Snacks are done by PepsiCo itself and we will not compete with our parent company. The rest is open to us, and we are open to look at anything interesting com ing in.
Vivek M aheshwari : And that comment is specifically for overseas market or for India as well, Mr. Jaipuria?
Ravi Jaipuria: For the time being overseas markets , but it's open to India also.

Moderator: Thank you. Our next question comes from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: My first question is on the GST transition impact. Number 1 company, HUL, called out impact in Q2 and even in October month. So, if you could clarify in your GST impacted segments, what was the kind of impact you have seen in both Q2, which is, say, September quarter and in October month?
Ravi Jaipuria: Well, it affected slightly for a few days in the September quarter because a lot of people could not initially understand it and downsized their stock levels. But we were able to make sure that the goods were sent to them after the GST transition date.
Abneesh Roy: Sure. My second question is on the international volume growth, which is decent at 9%. So, if you could clarify how things are shaping up, which geographies are doing really well there? And second is, on this Carlsberg tie -up, how big is the opportunity? It's looking really interesting. So, what made you go into this kind of tie-up? And how big is the opportunity in Africa, in some other countries also currently, it's a smaller opportunity, but how big is the opportunity for longer term?
Ravi Jaipuria: The growth in Africa is coming back. The challenge earlier was in Zimbabwe, the prices had gone up and consumption dropped slightly because of the sugar tax . Now, Zimbabwe has started growing again . Morocco is doing well for us , and South Africa is doing extremely well , with mid-double digits growth . Going forward with the backward integration and all, we see South Africa will becom e an important part of our territory in Africa.
Your other question was regarding beer in Africa . We don't have the challenges that India has with restrictions from the government , where it has to be separate . So, we have the same go -to-market. Our trucks can be loaded the same way and same trucks can be used , same people can sell the products. So, it becomes much easier and expandable without an extra expense.
And there is a huge scope on that. In m ost of the countries there are individual players running the beer business in the country. It's a golden opportunity for us. And w e are going to test the marke t, as soon as we see the test coming right, we'll go forward with it.
Abneesh Roy: One follow -up question there. So, you mentioned go -to-market is common, the employees also can be used for the same new business. But in terms of end

distribution, how much is the opportunity which is available or the end distribution is different .
Ravi Jaipuria: End distribution is common , most of the stores are allowed to carry alcohol, especially beer. It won't be 10

0% the same, but a lot is common , which helps a lot.
Abneesh Roy: And Carlsberg is already big in India. So, as of now, we should not draw any inference to India tie -up, right?
Ravi Jaipuria: No, nothing to do with India right now.
Abneesh Roy: Right. Last question on the new announcement. So, AlcoBev opportunity in India, how big can that be? A lot of approvals needed. Coca -Cola announced similar thing around 19 months back. We have not seen very high visibility in terms of advertising or in terms of distribution. So, is it more of range completion or do you see that this could become longer -term, big even in India?
Ravi Jaipuria: Well, RTD and low alcohol products are becoming large all over the world. And there is a good scope in India as well . However, i n India you can't advertise any alcohol products. We are starting with Africa and have kept ourselves open , let's

see what we can do in India.
Abneesh Roy: And is this big for Pepsi in other emerging markets or quite nascent?
Ravi Jaipuria: Well, it's still very nascent and everybody is looking at it for long term. Pepsi has just start ed with RTD and we are talking to Pepsi if we can start with some of their RTD products . We are taking shareholder approval as w e don't want to keep on going back again and again to the shareholders for it.
Moderator: Thank you. Our next question comes from the line of Aditya Soman from CLSA. Please go ahead.
Aditya Soman: Sir, two questions. Firstly, in India, can you give us a sense of which categories and brands and how they performed during the quarter? Particularly with some of these, sort of, fruit beverages or fruit -based drinks and the milk beverages. Any sort of pickup we've seen post the GST cuts? And second, on the Alcobev piece again, in Africa, this Carlsberg partnership, is it applicable for every country that you operate in Africa or it's only a few countries to start with?
Ravi Jaipuria: First, the GST cut for the quarter has only been for eight days , so it's too early to say. But overall, we had a tremendous growth in our hydration category "Nimbooz ". We've grown more than 50% in that. We had an excellent growth in our value -

added dairy also, which has grown at about 100%. We see both these categories still firing and doing extremely well. If the weather was slightly favorable, they would have done much better than what they have. And regarding your question of Africa, as of now we have got most of the Southern Africa understanding with them , starting with one or two countries, and then we'll take it forward.
Aditya Soman: I understand. Very clear. And just on the first question again. Last quarter, you said that Sting Gold wasn't as successful, maybe because of the weather and all of that. So, any plans to relaunch this or push this more? Or do you think you'll have to come back with a new product?
Ravi Jaipuria: Well, we've come back with a much better product which is medium -priced at Rs. 60 called "Adrenaline Rush " or "A Rush ". This is a fabulous product and we are expecting a very good response on this . We think there is a huge market and scope for this. Currently w e are testing this and have launched it in four cities .
Moderator: Thank you. Our next question comes from the line of Arnab Mitra from Goldman Sachs. Please go ahead.
Arnab Mitra: Thanks for taking my question. My first question was on the Carlsberg arrangement. If you could just help us understand what is the kind of commercial terms of the transaction? We know that beer is a capex heavy business. Would it involve you doing end -to-end everything in the markets that you're testing? Or it's just distribution and somebody else does the manufacturing? So, just wanted some sense on the commercial terms that you think here.
Ravi Jaipuria: Well, initially, it's distribution, we are importing the products and testing the market. And

as soon as we feel comfortable, then we will go to the back end.
Arnab Mitra: Sure. And sir, the other question was in these markets where you've got the Carlsberg distribution arrangement , does Carlsberg have any existing business or these are white spaces for the brand right now?
Ravi Jaipuria: Mostly white spaces, some small imports happening, but practically white spaces.
Arnab Mitra: Sure. And sir, my last question was on the Kenya subsidiary incorporation. The purpose of it is to long term look at potentially Pepsi's business here or any other business that you're looking at for the subsidiary?
Ravi Jaipuria: We are looking at different categories in Kenya . It's part of the Africa expansion and there's nothing specific at the moment.

Arnab Mitra: Sure. And my last question actually was on the near -term. So, I think, you did mention that October, you've seen a good recovery in the business. However, we know that October has also been quite disrupted by rain in many parts. So, do you see the weather headwind continuing in the near -term or it's much lower than what you faced in the last couple of quarters? Just wanted a broad sense of how the overall market is likely to do over the next 3 months?
Ravi Jaipuria: Well, the weather still ha s not been the best, but despite that wherever we have had a break in the weather conditions, we have grow n in double digits , even after having bad weather in certain regions . Of course, weather is beyond our control . But as soon as we see a break in weather, things look positive and there's no reason why we should not expect double -digit growth going forward.
Moderator: Our next question comes from the line of Devanshu Bansal from Emkay Global.
Devanshu Bansal: Hi. Sir, on Carlsberg arrangement, you mentioned distribution rights are for southern part of African continent. I wanted to check what is the size of beer

market in these regions? And eventually, over a period of time, what is the market share that we are targeting in these regions?

Ravi Jaipuria: Well, we think the size of beer market is as large as soft drink or even bigger in most of these African markets. Most of the African countries are very large beer consumption markets . It is too early to say w hat market share we will hold, as w e have not even started testing the se market s.

Devanshu Bansal: Almost 1,500 million cases would that be a correct ballpark estimate?

Ravi Jaipuria: It's too early and we don't want to do any guesswork . We will be importing the product right now , give us a little bit time to understand it.

Devanshu Bansal: Sure, sir. Sir, in terms of new products, globally, there are some fruit -based carbonates like cherry, mint, etc., which are gaining healthy traction in UK, China, Pakistan, etcetera. So, are we also, sort of, thinking around these variants to bring them into India?

Ravi Jaipuria: Yes. We will keep launching new products , we have launched the energy drink, “A Rush ” now and will be launch ing some of the new products in the next year. We cannot launch too many products , as we need to make sure the new products are available in the market. The go -to-market needs to be properly done. At present, we are consolidating on our hydration portfolio, which is the Nimbooz, and making sure every store has it. This year we have added the energy drink and next year we will add 1 or 2 more products.

Devanshu Bansal: Understood. Sir, a couple of bookkeeping questions. From Food segment, what is the revenue contribution as of now if you could just highlight?

Ravi Jaipuria: It's still very small, at about Rs. 300 crore. Morocco has just started with the manufacturing and Zimbabwe will hopefully start by the end of this year.

Devanshu Bansal: Understood. And this Rs. 300 crore is annual run rate you are saying or right?

Ravi Jaipuria: Yes, for the

time being because Morocco has just started 4 months back and Zimbabwe will be starting. By next year you will see at least two countries giving full year turnover.

Devanshu Bansal: Understood. And lastly, if you can call out volume contribution from South Africa and DRC for the current quarter?

Ravi Jaipuria: Well, we can only tell you that we are growing in double digits in South Africa. In DRC, we are coming back , we made some initial errors earlier but have corrected them, and DRC has started to perform well again. We will not see high growth in DRC this year , but we see huge potential in the next year .

Moderator: Thank you. Our next question comes from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Hi, sir. My question is on the international business. We have done a sales growth of around 7% in the international this quarter. And this includes some part of foods also. So, organically, it might be a tad lower. Our ambition, and I think, what the investors also, sort of, expect is like early to mid -teens kind of revenue growth from the international business. So, is there anything, any particular geography, etcetera, which is pulling this down? Or is that expectation itself not, sort of, reasonabl e?

Ravi Jaipuria: No, we think double digits in mid -teens is realistic for Africa. Two things which pulled down this year, especially in the last 2 quarters. One was Zimbabwe where the sugar tax came and because of which the prices had gone up and the volumes dipped initially. We have since recovered and September onwards, we are back to double -digit growth in Zimbabwe . The other was DRC, where initially we have made some errors which affected us for the last few months. But now It has bounced back and for next year, we don't see any challenge in the teen’s growth.

Percy Panthaki: Right, sir, right. Sir, not just Africa subcontinent, but international as a whole, how fast do you think we can come back to like 13% to 15% revenue growth number?

Ravi Jaipuria: Well, majority of it is Africa. Nepal, Sri Lanka are doing well and are growing reasonably. Nepal, Sri Lanka would grow like India is growing.

Percy Panthaki: Understood. So, in one or two quarters, we should be at least at the early teens revenue growth kind of mark?

Ravi Jaipuria: Yes, hopefully from the next quarter .

Percy Panthaki: Understood. Secondly, on this entry into beer and alcoholic products, just wanted to understand the rationale behind it. Why now? I mean, we have been in this business since 25 -30 years of, sort of, beverages. I mean, what has purred this thought process at this juncture and not earlier?

Ravi Jaipuria: Well, a couple of reasons. One, we were in the acquisition mode for soft drinks for PepsiCo in India, we have now acquired almost the full country. In Africa w e don't want to jump over to every country as it takes time to stabilize each country we acquire . It will be much easier for us to grow our business with other categories in these markets, w herever we have stabilized . We are looking at how to grow forward, since we have free cash flows and w e need to utilize this cash effectively to grow our business.

Percy Panthaki: Understood. And lastly, can you tell us exactly which geographies this Carlsberg arrangement is for?

Ravi Jaipuria: We are looking at southern part of Africa.

Percy Panthaki: Okay. So basically, South Africa, Mozambique, those regions?

Ravi Jaipuria: That belt from Zambia, Zimbabwe, DRC and South Africa .

Percy Panthaki: So, several companies ultimately will come under that arrangement?

Ravi Jaipuria: At the moment, this is the understanding we have with them. We have to star t with it, and once both of us are comfortable we'll take it forward.

Moderator: Thank you. Our next question comes from the line of Sumant Kumar from Motilal Oswal. Please go ahead

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Sumant Kumar: My question is regarding the Sting. How is the Sting performance in this quarter? Is it outperforming the overall growth on consol level?

Ravi Jaipuria: All our carbonated beverages, including energy drink , is performing similar. Everything in our portfolio got affected by the weather , but as the weather has opened up , things have started coming back to normal.

Sumant Kumar: Okay. So, you said Nimbooz and dairy product is growing at higher pace.

Ravi Jaipuria: Nimbooz and value -added -dairy are doing exceptionally well. These are small categories, and won't overall affect the numbers much . Hopefully, going forward next year, both these categories should become large.

Sumant Kumar: In other income, what is the forex amount?

Ravi Jaipuria: About Rs. 100 crore.

Sumant Kumar: Okay. And what was the previous year same quarter?

Ravi Jaipuria: Minus Rs. 10 crore.

Moderator: Our next question comes from the line of Jay kumar Doshi from Kotak.

Jaykumar Doshi: Just a follow -up question on your aspiration to or potential for an India AlcoBev business. Sir, you were present in this industry until 2015. I think you had a JV with AB InBev. And then you probably decided to exit that space. I think in the last 10 years, sector has become a little more challenging from a regulatory standpoint and competitive standpoint also.

So, now what's the thought process here in terms of how should we think about , will it be some JV or partnership with a large existing player that you are considering? Or would you be acquiring smaller brands or local players and building a portfolio over time? And if you could give us some sort of idea of what kind of capital allocation you intend to sort of make for this sector?

Ravi Jaipuria: First of all, the positive side is we understand this business inside out. We ran this business for a long time and now we are looking to expand our categories and growth. We are looking at it in Africa to start with. We understand the beer business. We have enough people in the system who know the business from back end to front end. We are going to start with it and initially start by importing it. And once we get the right success and we feel that it's the right thing to go forward, we will take it forward to a higher level.

Jaykumar Doshi: So, small steps as of now, nothing big?

Ravi Jaipuria: Well, it depends. It could be big, fast enough, but we think first part is we need to test it. So, give us a quarter or 2 quarters.

Jaykumar Doshi: Sure. Second is, I just looked up and I think the PepsiCo bottler in Kenya is SBC with whom you were engaged for Tanzania and Ghana. So, is there a possibility of acquiring rights for PepsiCo in Kenya? Or would you be doing something very on your own?

Ravi Jaipuria: We understand that P epsiCo in Kenya has already been sold to somebody else last year.

Jaykumar Doshi: Okay. So, all right, I was not aware of this. So, in that case, what is your initial thought process at this point of time?

Ravi Jaipuria: We are just looking at how to expand in different parts of Africa. We've just decided to register a company and i t's a too early right now. As soon as we have something concrete, we will inform you.

Moderator: Our next question comes from the line of Onkar Ghugardare from Shree Investments.

Onkar Ghugardare: How prepared are you for the next season? I mean, capacity expansion wise in

that aspect, I'm asking.
Ravi Jaipuria: We are in-fact over prepared Capacity -wise. We have expanded in the last 2 years , however this year the growth ha s not happened. So, our capacities are very much intact and even if we grow 50%, we have enough capacities to fulfil that.
Onkar Ghugardare: Okay. And as far as the acquisition of some companies are concerned, I mean in which areas you are looking for it and how to use the capital which you hav

e?
Ravi Jaipuria: We are looking at expanding in Africa that is the first part. With Pepsi itself, we started snacks in Morocco , and we are expanding quite rapidly in South Africa. Also, we have started looking at the beer category in Africa. In India also, we have not stopped expansion as we feel the growth is going to be quite substantial.
Onkar Ghugardare: I mean, this beer business, alcohol business, which you are starting, trying to test in African region. I mean, how capital intensive it is? Is it similar to the beverage industry?
Ravi Jaipuria: It is similar like beverage industry . We are going to test the market and are not going to jump blindfolded. If it looks right, then we'll start one by one. So, it won't be a huge capex going in.

Moderator: Our next question comes from the line of Sorabh Daga from HSBC.
Sorabh Daga: From PepsiCo's point of view, we think that refranchising bottling operations is gaining a lot more attention, and there seems to be urgency too, right? So, I just want to understand your thought process, what can be some of the opportunities if PepsiCo were to advance on refranchising some of its own operations?
Ravi Jaipuria: There's nothing to refranchise. We own most of it here. We own more than 90%.
Sorabh Daga: No, outside. I mean, globally
Ravi Jaipuria: Yes. Globally, we are always keen. We are always open to expand with Pepsi. We've always told Pepsi, any place which is available, we are more than happy to expand with them subject to their operations making sense for us.
Sorabh Daga: All right. And then, maybe on the AlcoBev opportunity, right? Can you share some thoughts on how does this help expand and strengthen your client relationship and distribution capabilities, right? And then probably on the timeline, when should we start expecting some of these numbers to start flowing in, through the P&L?
Ravi Jaipuria: It's still too early. We are initially just going to import and distribute and test the markets. We believe beer is a huge market outside India, especially in Africa and there is an opportunity for us to take that market, because they are mostly single companies running this on a monopoly. We are going to try and see how we can establish ourselves, and we are not going to jump the gun. We are going to go reasonably slow. But as soon as we get traction, we will expand it.
Moderator: Our next question comes from the line of Preeyam Tolia from Antique.
Preeyam Tolia : Sir, there are various global ADR reports suggesting that PepsiCo has increased the price of concentrate by 10%. So, was it related to only US or other markets as well?
Ravi Jaipuria: We have no idea what you're saying. We don't know where they have increased the prices, as PepsiCo don't discuss with us .
Preeyam Tolia : Just wanted to confirm that it was only for the US or any other markets as well. I'll just check one more time. Thanks.
Ravi Jaipuria: As soon as we know, we'll let you know.
Preeyam Tolia : Yes. And can you, sir, just highlight when was the last revision in the concentrate prices? I think, it was long back. But if you can just give us a sense.

Ravi Jaipuria: We have an understanding with them. It's based on our selling price. If we increase our selling price, they automatically get a share of it .
Moderator: Our next question comes from the line of Karan Gupta from ACMIIL Portfolio Management .
Karan Gupta: Just one question on the AlcoBev side. I know or we understand that it's too early to ask on the revenue and profit side. But the number of cases you can just tell us, how many volumes that you are targeting on the side.
Ravi Jaipuria: It is just the test marketing, it's very difficult to say how many cases. It's going to be imported and test marketed.
Moderator: Our next question comes from the line of Rajit Aggarwal from Nilgiri Investment Managers.
Raj

it Aggarwal: Just a couple of questions. One is on South African market. Could you share what is our market share in that currently?
Ravi Jaipuria: We are around 17% to 18%, approximately.

Rajit Aggarwal: Okay. And I mean, is there any thoughts on what should be our target market share in, let's say, 2 to 3 years?
Ravi Jaipuria: We would love to reverse it if possible. We are trying our best, it's a new market for us and we have got a tough competitor. As long as we can grow in double digits, we believe that is a very healthy growth.
Rajit Aggarwal: Yes. Absolutely, sir. On the subsidiaries, so CY2024, a few of the subsidiaries were negative or were loss at the net level. As of Q3 or as of 9 months, are all the subsidiaries profitable now on net level?
Ravi Jaipuria: Consolidated, they are all at profit. We don't know which one you are saying.
Rajit Aggarwal: No. I'm just talking about individual subsidiaries.
Ravi Jaipuria: Except DRC we don't think anything was negative.
Rajit Aggarwal: I mean, they were marginally negative, t hey were not largely negative. For example, Zambia was marginally negative.
Ravi Jaipuria: No, we don't think we will be negative. DRC might take a little longer , otherwise we don't see anybody being negative.

Moderator: Thank you. Ladies and gentlemen, we would take that as a last question for today. I now hand the conference over to the management for closing comments.
Raj Gandhi: Thank you. I hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about the company, please feel free to contact our Investor Relations team. Thank you once again for your interest and support and for taking the time to join us on this call. Look forward to interacting with you soon. Thank you very much.

Call: Feb 2026

February 10, 2026

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: VBL BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 540180

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Transcript of Investors & Analysts Conference Call held on February 3 , 2026 i.e. post declaration of Audited Financial Results of the Company for the Quarter and Financial Year ended December 31 , 2025 is enclosed.

The same is also being uploaded on website of the Company at www.varunbeverages.com .

You are requested to take the above on record.

Yours faithfully,
For Varun Beverages Limited

Ravi Batra
Chief Risk Officer & Group Company Secretary

Encl.: As above

Varun Beverages Limited
Q4 & CY2025 Earnings C onference Call Transcript
February 03, 202 6

Moderator: Ladies and gentlemen, good day, and welcome to Varun Beverages Limited Earnings Conference Call.
I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, Mr. Poojari.
Anoop Poojari: Thank you. Good afternoon, everyone, and thank you for joining us on Varun Beverages ' Q4 and CY 2025 Earnings Conference Call.
We have with us Mr. Ravi Jaipuria, Chairman of the company; Mr. Varun Jaipuria, Executive Vice Chairman and Whole -Time Director; and Mr. Raj Gandhi, President and Whole -Time Director of the company. We initiate the call with opening remarks from the management, following which we will have the forum open for a question -and-answer session.
Before we begin, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the results presentation shared with you earlier. I would now request Mr. Ravi Jaipu ria to make his opening remarks.
Ravi Jaipuria: Good afternoon, everyone, and thank you for joining us on our earnings conference call.
I hope you had a chance to review our results presentation for the fourth quarter and

year-ended 31st December 2025.
CY 2025 was marked by steady execution , despite weather -related disruptions in India during the peak summer season. For the full year, consolidated volumes grew by 7.9%, driving revenue growth of 8.4% and EBITDA growth of 7.2%, while PAT increased by 16.2% to Rs. 30,620.4 million, reflecting the resilience of our business model and the strength of our on -ground execution. Volume growth in India was impacted during parts

of the year due to unprecedented heavy rainfall throughout the year. However, performance improved meaningfully in Q4 with domestic volumes growing up by 10.5%, reflecting the strength of our wide distribution network and strong brand portfolio. The greenfield plants and backward integration facilities commissioned during the year are progressively stabilizing and are expected to support higher volumes and operating leverage in the upcoming season.
Our international operations continued to scale well, led by Africa International volumes grown by 10% in Q4 with South Africa delivering healthy volume growth, supported by expansion in general trade reach, addition to visi -coolers and continued progress on backward integration and capacity enhancement, strengthening supply chain efficiency and cost competitiv eness.
During the year, we announced the proposed acquisition of Twizza in South Africa, subject to regulatory and other approvals. The company has 3 manufacturing facilities, including backward integration, which will significantly enhance our manufacturing footprint and route -to-market capabilities in Africa's largest soft drink market, while offering meaningful synergies with our existing operations. We also continued to expand our product portfolio and categories. The snacks business in Morocco has ramped up well, distribution of snacks in Zimbabwe and Zambia is gaining traction.
Our balance sheet remains strong, supported by healthy cash flows, providing flexibility to support organic expansion, invest in cold -chain and distribution infrastructure and pursue value -accretive strategic opportunities. In line with our commitment to d elivering value to our shareholders, the Board has recommended a final dividend of Rs. 0.50 per equity share, subject to shareholders' approval.
Looking forward, we remain confident in the long -term growth potential across India and our international markets, supported by favorable demographics and rising incomes and backward by adequate capacities, a diversified portfolio and a strong distribution network, we believe we are well positioned to deliver sustained and profitable growth and create long-term value for all stakeholders.
I would now like to invite Mr. Gandhi to share the key highlights of our operational and financial performance. Thank you.
Raj Gandhi: Thank you, Mr. Chairman. Good afternoon, and a warm welcome to everyone joining us today. Let me provide an overview of the financial performance for the fourth quarter and the year ended 31st December 2025.

Revenue from operations adjusted for excise and GST increased by 8.4% to the level of Rs. 216,853 .8 million in CY 2025, in line with steady volume growth. Consolidated sales volumes grew by 7.9% to a level of 1,213 .1 million cases as compared to 1,124 .4 million cases in the CY 2024.
In Q4 CY 2025, consolidated sales volumes increased by 10.2% to 237.1 million cases from 215.1 million cases in Q4 CY 2024.The growth was supported by healthy performance across both India and international markets , with India volumes growing by 10.5% and international volumes by 10% during the quarter.
For the full year, CSD contributed 73.9%, NCB 5.9% and packaged drinking water 20.2% to the total consolidated sales volume. In CY 2025, the mix of low sugar and no sugar products increased to the level of ~59% of consolidated volumes, reflecting our continuous focus on healthier beverage offerings.
Net realization per case improved by 3.4% in Q4 CY 2025 to Rs. 177.3 driven by improved realization in international territories. For CY 2025, net realization per case increased marginally by 0.5% to Rs. 178.8.
Our gross margin for the full year remained largely stable at 55.2% compared to 55.5% in the previous year. EBITDA for CY 2025 increased by 7.2% to the level of Rs. 50,493.7 million, with EBITDA margins at 23.3% as against 23.5% in CY 2024. D

uring the quarter,
the Government of India notified the 4 labo ur codes consolidating the existing labo ur laws, resulting in an incremental cost impact of Rs. 14 crore roughly, which has been recognized under employee benefits expense. This impact was absorbed within our overall operating performance. In Q4 CY2025, EBITDA increased by 10.2% to the level of Rs. 6,392.6 million, reflecting improved operating leverage as volumes recovered.

Profit after tax for CY 2025 grew by 16. 2% to the level of Rs. 30,620.4 million from the earlier level of Rs. 26,342.8 million in CY 2024 , this is driven by volume growth, lower finance costs and higher other income, including interest from deposits in India and favourable currency movement in international operations. PAT for Q4 CY 2025 increased by 3 2.9% to the level of Rs. 2,600.0 million.
Depreciation increased by 28.4% during the year, primarily on account of commissioning of new greenfield plants in India and brownfield expansion in international territories.
Following repayment of debt from QIP proceeds, finance cost in India remains neg ligible.
In the international markets, finance cost is primarily attributable to South Africa, including fair value adjustments of leases under Ind AS 116.

During CY 2025, we capitalized new CAPEX of ~Rs. 45,000 million, of which ~Rs. 16,500 million was incurred in CY 2024. This primarily included CAPEX of around Rs. 17,000 million towards setting up 4 greenfield production facilities in India at Prayagraj in UP, Buxar in Bihar, Damtal in Himachal Pradesh and Mendipathar in Meghalaya. We also incurred ~Rs. 3,000 million towards brownfield expansion in Sri City & Gorakhpur in India.
In international markets, CAPEX of about Rs. 13,000 million was incurred, which included commissioning of a PET line and backward integration facilities in DRC, setting up of snack manufacturing facilities in Morocco and Zimbabwe and installation of new can line in South Africa. The balance CAPEX comprised investment in visi -coolers, glass bottles, pallets, vehicles, write -offs and impact of foreign exchange fluctuations. As on December 31, 2025, capital work in progress and capital advances stood at the ap proximate level of Rs. 5,400 million largely pertaining to ongoing phase -wise expansion projects and sport infrastructure across domestic and international operations for 2026 - 2027 season.
As on 31st December 2025, the India business continued to remain net debt -free with free cash of ~Rs. 12,250 million. At the consolidated level, net debt stood at a very negligible level of Rs. 256 million at the year -end. During the year, CRISIL upgraded the company's long -term credit rating to AAA/stable, reflecting the strength of our balance sheet and cash flow profile.
Looking ahead, with the stabilization of newly commissioned capacities, expanding backward integration, strengthening distribution and cold chain infrastructure and a diversified product portfolio across beverages and snacks, we remain well positioned to drive sustainable growth, improved operating leverage and deliver consistent performance across domestic and international markets.
On that note, I come to an end of our opening remarks and would like to now ask the moderator to open the forum for any questions or suggestions that you may have. Thank you.
Moderator: Thank you very much. The first question is from the line of Abneesh Roy from Nuvama Wealth Management. Please go ahead.
Abneesh Roy: My first question is on the India business. If I see India volumes has grown double digit, 10.5%, but India sales has grown around 6% so there is a gap of 4.5%. If you could explain how is the mix? I do understand the CSD, water and all that. But within those segments, how was the mix? And second, what will be the outlook, say, in March quarter on this? Do you still expect the pricing mix to be slightly negative? Because I do see

gross margin also being slightly down by around 30 -40 bps. So tha t is my first question.

Raj Gandhi: Abneesh, the difference of 4% is not because of the mix as it did not change that much. The year was challenging , and given the competitive scenario, everyone was trying to discount the product. Instead of that, we focused on the market and upsized a few of these packs . We have a history of consistent volume growth in the past 30 years, which is paramount for us. Therefore , a 4% impact in the off -season in an otherwise weak quarter is not that important. In the peak season, you will see that such type of increase in the volume s will offset any cost.
Ravi Jaipuria: If you look at it, overall, we have always said each quarter cannot be looked at in isolation and each quarter cannot be the reflecting point , given the seasonality in the business, it is best to monitor the performance on an annual basis . If you look at the full year 2025, this year was the worst season with the rains and competition coming in. However , we still manage d to gain in overall margins , with a 2% sales volume growth . Further, we have always guided of consolidated margins at 21% and above , but we are still doing much better than that. And we believe going forward also, when the season starts , the margins should be better with stronger growth coming this year.
Abneesh Roy: Understood. So that was my next question. You said the season seems to be opening up. And last calendar year, we did see most of the summer categories see very unfavourable climate, which could of course correct this year. Any initial expectation, how do you see this quarter and next quarter given base is a bit favourable ? I do understand

the second quarter of the calendar year, the 15% growth is there, but that was on a very soft base. So next 2 quarters, you have a very soft base. Any comments on how you see demand?

Ravi Jaipuria: The first quarter was not soft and had a strong base in last year , with volume growth of ~15% - 16% in India . So first quarter, the base was not soft. Yes, the second and third quarter which are our main quarters , were very soft last year . However, even after having a two soft quarters and an overall volume grow th of 2.2%, we were able to maintain our EBITDA and sustain our margins in India. This is despite the addition of four new plants , which have added to our costs considerably . We have maintained our margins , and with a little favorable weather, and we see much better projections this year.

Moderator: Thank you. Next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Hi, sir. Thanks for the opportunity and congratulations for a good volume growth pickup. Sir, as you mentioned, in quarters with low seasonal variations, our volume growth has returned to 10%, which was visible in both Q1 and Q4. Now that the base is comfo rtable as the peak season was impacted, just checking, would mid -teen kind of volume growth

in CY 2026 be a tall task or this is an achievable number if the season sort of remains as per the normal trend?

Ravi Jaipuria: Well, we have always said that double -digit growth in India is not impossible, and we would continue to stick to that. We see no reason why we should not achieve it this year . Unfortunately, we have never had rains like we have had in the last year. If weather conditions are reasonable , there is no reason why we should not have the double -digit growth, which we are anticipating.

Devanshu Bansal: Yes, sir, double digit you have maintained in normal years. So since the base was only 1% - 2% growth. So that is the reason I was checking, can we improve the outlook towards mid -teen or we would still like to maintain that double -digit comment?

Ravi Jaipuria: We would like to maintain that, but you can pray to the weather go

ds and hopefully, we will do better.

Devanshu Bansal: Sure, sir. Secondly, we always used to provide some data around our distribution expansion in the Q4 PPT. But this time around, that data is not available. If you could throw some light as in where our distribution network currently stands at and how many visi-coolers we have placed for the year?

Ravi Jaipuria: Well, we feel that we are providing as much or more information than what is required . We do not feel it is necessary to disclose these figures every time , as doing so would only provide additional information to our competi tors, which we would prefer to avoid .

Devanshu Bansal: Sure. But the expansion would have happened, right?

Ravi Jaipuria: Yes, we have been expanding and we are doing what is required for the market . We have been deploying more visi-coolers and expanding our routes as required to grow our presence in the market.

Devanshu Bansal: That is fair, Mr. Jaipuria. Last question, I wanted to understand the revenue contribution from Snacks in CY 2025. And because we have recently commissioned a plant in Zimbabwe as well. So what is the run rate that we are foreseeing for this business in CY 2026?

Ravi Jaipuria: The snack food revenue was ~ Rs. 340 crores in the year CY2025. We think in CY 2026, we will have a much better realization of that , because manufacturing of snacks in Morocco only started May -June last year , by the time it got commissioned and ramped up, it was already the fourth quarter . The Zimbabwe facility has just started in December. We expect a much better and much higher volume in 2026 as Zimbabwe will have its full year.

Devanshu Bansal: Sure. Sir, just a small bookkeeping question. So whatever the volumes that we report for our international business, this does not have any contribution of snacks, right? I just wanted to check as in from a bookkeeping modelling perspective.

Ravi Jaipuria: It has snacks revenue also in it.

Devanshu Bansal: Okay. Excluding that, if you could give us some perspective as in like -to-like, what is the volume for international beverages in CY 2025?

Ravi Jaipuria: It would make a very small difference because the total revenue is Rs. 340-odd crore in value. In volume, it is not included .

Moderator: Thank you. Next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Hi, sir. Just trying to get some idea on your India margins. CY 2025, we have reported an all -time high India EBITDA margin or rather standalone EBITDA margin of close to 26%. Now going ahead into CY 2026, there are a couple of opposing forces. One is the volume -value gap, which might, to some extent, continue in CY 2026 as well, which will

put some downward pressure on the margins. On the other hand, you will have a higher sort of volume growth, which will generate some amount of operating leverage?
How do you see these two forces interacting? Will it be a net positive, net negative? And how do you see margins for next year? I know you have been earlier stating that India margins are quite healthy and we can maintain 22 % - 23%. But now we are at 26%. And frankly, no one takes that 22% - 23% number seriously. If you can give some realistic sort of guidance for CY 2026, it will be very helpful? Thank you.
Ravi Jaipuria: Realistically, if we can maintain margins anywhere close to the current levels , we would be very happy. But our guidance has always been 22% - 23%, has never been higher than that. We still hope with the volumes coming this year, we should be able to maintain our margins somewhere close to this.
Percy Panthaki: Very helpful, sir and yes, I must commend you for the great work you have done in terms of bringing up the India margins. Second question is on the international business. Can you give some kind of idea the foods business, while this year is whatever Rs. 250 crore,
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s. 300 crore kind of a number, how do we build in growth here? I mean, if you cannot give an exact guidance here, at least help us think about how to approach this topic in terms of either market sizes, market shares or capacitie s, or any other way as to how to think about this, where this Rs. 200 - Rs. 250 - Rs. 300 crore, where can this number be over a 2 – 3 year period?

Ravi Jaipuria: First, it is a bit too early because there is only one market Morocco where we have at least 6 months of manufacturing. The other one which got commissioned this year is Zimbabwe which is only 2 weeks. So , it is too early to say. Although we have been in the market distributing, but producing and distributing is two different scenarios. We believe in couple of quarters we would really be able to give you the right feedback.
But, on a general tone, We think the se markets are large enough , and we expect at least high teens or even higher than that growth coming. We think this is going to go close to a $100 million business, and this is not an unforeseen number that can happen with two of these three territories. Give us a little more time to understand the market better .
Moderator: Thank you. Next question is from the line of Latika Chopra from JP Morgan. Please go ahead.
Latika Chopra: The first question, just wanted to bring the focus back on realization for India business. And the purpose was in the last few months we did see upsizing of your Rs. 20 pack, from 250 mL to 400?
Assuming this will continue going into the season, do you think this volume value gap will sustain or it could even worsen from here? And the second bit I wanted to understand, would you like to play the Rs. 10 price point more aggressively in the coming season?
Ravi Jaipuria: Firstly, t he marginal difference in this quarter is because of the seasonality and low volume grow th. O ur expenses have gone up because of the 4 new plants coming up this year in 2025. We were not able to get any benefit out of th ese plants , which we believe we will start getting from this year onwards.
Second ly, the upsizing got started in the season itself and e ven though the upsizing has happened , we continue to believe the volumes to grow much higher, and th is will cover up this marginal decline . We believe this year the volume growth to be reasonably healthy , and because of that, we do not see any marginal dilution. We are quite bullish on this year after going through such a bad year, which was the worst year we have ever seen in the last few years in our industry.
Latika Chopra: Sure. No, my question was actually more on realization. So maybe the value growth continues to lag volume growth. And that is what I was trying to understand better.
EBITDA margins, I take your point .
Varun Jaipuria: Yes, we think it has been a mix of things, especially if we look at Q4, the impact was not only because of upsizing . In Q4, after the year people have had , the discounting in the market has been much higher. When the volumes are not coming, people end up

discounting and throwing the kitchen sink ., and there has been a lot of capacity, which has been added.
Now going forward, looking at this yea r, what we are seeing so far is that the discounting is not as rampant compared to what it was . Usually, the stock buildup happens when the stock does not get liquidated, and then companies put discounts on it , this has led to an impact in Q4 as well. And, yes, we have upsized also. We are hoping that the volume growth come s in for next year and the revenue margins, on an absolute basis will be enough to cover up and grow faster. Now , how the market reacts and what further pricing happens, that we cannot probably answer right now. So that is the first part.
The second part of the Rs. 10 portfolio , we have launched it in some places, which is West Bengal and

Northeast. We will be very surgical with it. We are not planning to make it a pan -India launch. Wherever we really necessarily need to launch it, we are going to do that. We are still in early phases right now. We have just launched about 15 days back, and we are waiting to see as the season opens up, how it ends up doing.

Latika Chopra: That is very clear and thank you for that. The second question I had was if you could share or give some colo ur on broader CAPEX plans for CY 2026 and share, how would it look for both India and overseas business? Thank you.

Ravi Jaipuria: Well, in India we are not looking for any major CAPEX this year as we are not setting up any new plants. We already have enough capacity and there will be very low CAPEX in India. Internationally, there will be CAPEX mainly in South Africa, but not that large , only one brownfield capacity is coming up in South Africa, and it will not be very large. Overall there will be no major CAPEX this year except the acquisition of Twizza which we have already announced.

Raj Gandhi: And Latika, just to add to what Chairman has said, the South Africa is going to be a star territory and to totally avail benefit of that and the branding and the market opportunity which is already created, we are going to add 70% - 80% capacity by the inorganic acquisition of Twizza, which was announced on 21st December. So, with the total organic and inorganic capex , we should see the growth of some where around 80% or higher in South Africa this year .

Moderator: Thank you very much. Next question is from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi: Hi, thanks for the opportunity. Just a small follow -up on the response that you just gave. In terms of pack upgrades, 250 ml to 400 m l, is it largely done? I mean, should we assume that for December quarter for the entire portfolio wherever you have plans to increase

the pack size, that full impact is visible in the realization of December quarter? And will there be more during the course of this year? So that is one.

And second is, I gathered that you have also sort of selectively launched Rs. 10 price point pack. Any sense you can give us what are your plans for the next year? And will it by any chance be more than 5% of your portfolio in terms of overall volumes? Or will it be consciously restricted to below 5% , that is it from my side? Thank you.

Ravi Jaipuria: All the upsizing has been practically done in the quarter. And as far as the Rs. 10 price point, it will be surgical, as my son said, and it will not be more than 5% - 7% of our portfolio.

Moderator: Thank you. Next question is from Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Just 2 questions. One was on international. Any sense you could give us of what like constant currency kind of growth would be because you are seeing just a 10% growth in volume but optically looks like a 20% plus growth there on the revenue side. And given what happened with currency, some sense on what would have been the currency impact this quarter and I know it is hard to say, but how can we see it going forward? That is my first question?

Ravi Jaipuria: First of all, the main currency advantages would come starting from this year because in Africa, we normally carry 3 - 4 months of inventory or even higher than that. The real currency benefits i s operational , and cost of operations will start showing from this year onwards.

Harit Kapoor: The second one was on India business. You spoke about the SKU and pack changes but I just wanted to understand about going into the summer, are there plans in terms of product innovation as well, some white spaces that you probably would not have filled up, etc. Anything to look forward to in the next 2 months as you go into the summe r? Should that also be something we should be watching for? That is my second question?

Var

un Jaipuria : We are quite clear on our strategy. The advantaged and the differentiated product portfolio, what we have today, which is working well for us, particularly in the energy category . So, there will be new launches in both flavors and energy as a category. As you are aware, we have recently launched our mid-priced energy drink , which is Ad Rush which was launched a few months back. Given that it was off -season, we will expand it now and of course, with PepsiCo, work ing on a very strong customer engagement plan as well, including some ATL activities . So energy category , you will see some innovations happening. At the same time, the Jeera space has been very exciting, we have been getting a lot of questions that what are we doing in Jeera category . About March, we will

be launching our Nimbooz Jeera range , this is the second product which we are launching in a big way. Nimbooz which is growing very fast for us and is doing phenomenally well , we are planning to launch more flavors and price points in that. So , there is a lot of exciting stuff, which is going to be there in the season.

Harit Kapoor: Great to hear and the last one was on distribution. So while you cannot give exact data but is it fair to understand that CY 2025 was a year where distribution expansion may not have been very sharp as you were obviously dealing with a one -off season, and it could be stronger going into CY 2026. Is that a correct assumption to be made or that CY 2025 was also, okay?

Varun Jaipuria: No, CY 2025 was good. See, what happens is that since a large part of your business is still driven through rural markets, those retailers do not end up buying. Even though you end up creating distribution and creating distributors and creating logistics and infrastructure, the buying pattern does not really build up because in rural, people do not end up buying. It is not that you have not increased your reach to those outlets. It is just that a throughput from those outlets, what you expec ted has not come. So there has been a distribution expansion in CY2025 . And for 2026 as well, we have gone through the entire exercise of further adding because we believe it is going to be a great season this year. So , you will start seeing the offtakes and the impact as the season picks up.

Moderator: Thank you. Next question is from the line of Rehan Saiyyed from Trinetra Asset Managers. Please go ahead.

Rehan Saiyyed: I want a bit understanding regarding your alcoholic beverages MOA. So you have mentioned that alcoholic beverages in the MOA and the culturable distribution agreement in African markets. Sir, how should we think about capital allocation management focus between the core non -alcoholic portfolio and the certain categories over the next few years?

Ravi Jaipuria: Well, we are starting with Carlsberg in Africa, the capital allocation will not be so large. We will be starting to set -up one plant this year. We do not have much CAPEX this year.

Rehan Saiyyed: Yes. Also I want to understand regarding our employee benefit expense, which grew by 22% Y oY in Q4, significantly ahead of the revenue growth of 14%. So I want to understand how much of this increase is attributable to new plant sta lking and international scale up v/s wage inflation? And how should we model employee cost as a structurally higher percentage of sales going forward?

Raj Gandhi: See, th e majority of the incremental employee cost was incurred for these 4 greenfield plants last year, while we could not make use during the year . And apart from that, the

Labour Code which has been implemented , the incremental cost of that also has been absorbed in this quarter.

Varun Jaipuria: Further, w e had a VBL 30 -year completion celebration and there is a certain cost built in only for this quarter for that event, which is a onetime cost, which has been built in.

Hence,
you are seeing the increase in the employee cost.

Raj Gandhi: Both these are only one time .

Moderator: Thank you. Next question is from the line of Yash Sonthalia from Edelweiss PMS . Please go ahead.

Yash Sonthalia: My question is regarding to better understand what is the cost impact with upsizing of our Rs. 20 pack and what will be the cost impact if the revenue mix or the volume mix of Rs. 10 pack increases to 5% of our sales?

Raj Gandhi: Yash, first of all, 250 ml to 400 ml, the mix of 250 ml CSD in the base itself is not more than 10% - 12%. So even if we had to do the 100%, it is going to be one -tenth of the incremental cost and on the Rs. 10 pack, what Varun stated is going to be surgical. Second , the new launches will be juice-based drink under our star performer, Nimbooz, this will entitle us to a GST of 5% instead of 40 %. And the third is it is going to be healthier product with sugar -free. So , we have all the levers with the experience of this industry. Whatever we will be doing will be absol utely profitable and having said the focus is going to be a volume growth like in the past with maintaining the bottom line. However, a little bit here and there can always happen. But broadly is to sail through the way we have been doing in last 30 -40 years.

Yash Sonthaliya: Understood, sir. But just for general understanding, like on the 10% portfolio also increasing , our upscaling from 250 ml to 400 ml has 10 % - 20% impact on profitability on that part of portfolio? Or my understanding is wrong?

Raj Gandhi: One, it gives the volume increase and operating leverage. Second, see, what happens is there are a lot of costs which are variable. The GST, which is 40% is variable based upon the selling price. Our concentrate price is variable. Then our preparedness on the zero sugar or low sugar is much better than others. So it is going to be less than 10%.

Varun Jaipuria: And also the discounting varies. So , it is not that big ger impact technically.

Moderator: Thank you. Next question is from the line of Rajit Aggarwal from Nilgiri Investments. Please go ahead.

Rajit Aggarwal: My question is related to the international margins. If you can share the EBITDA margin of Twizza, it will be helpful. And also that the June quarter and September quarter, the EBITDA margins declined in the international or ex -India operations. This quart er has been somewhat stable. So how do you see that panning out in the next 1 year or so?

And with the increasing contribution of international ops, the consolidated margins will go down? Or do you still see that the impact not be so much? If you can just help me understand the movement in margins?

Raj Gandhi: First of all, Twizza is to be consummated after the Competition Commission approval. Second, in South Africa our struggle is more on the capacity side , we will have additional capacity from the 3 additional locations and this will help us on the freight cost because we will be near the market.

Third , in Twizza, the land and building are owned by Twizza, as against in Bev Co which are on rent. A lso, Twizza has got its own distribution vehicles as against Bevco, which did not have. Twizza plants are enabled or equipped with the solar energy power, which Bevco plants were not having .

Further on margins side as a guidance it will be margin accretive for Bev Co, capacity accretive and freight reducing because we will be nearer the market. Instead of 5, we will be reaching the market from 8 different locations. And with the BevCo size and other things going up, the economies of scale will start accruing to us. We will become a little larger player in that market.

Rajit Aggarwal: Sir, overall, international margins will still be at similar levels of 16% - 16.5% or we can expect them to inch more towards the Indian margins?

Raj Gandhi: We can expect them to move more towards

Indian margin s because of the backward integration and other initiatives which we are doing .

Rajit Aggarwal: So that will be more like a 4 – 5 year kind of horizon or it can be sooner as well?

Ravi Jaipuria: It will be sooner than 4 - 5 years, but everything will not take effect immediately. We would say in the next couple of years.

Rajit Aggarwal: Right sir. Thank you. And a quick clarification on the taxes. The taxes of ex -India operations seem to have gone up in this quarter. Can you just help me understand that? If you have a PBT of ex -India around Rs. 17 crore, the taxes are similar. So how does that work?

Raj Gandhi: Your question is ex -India has gone up. If that is the question, then yes, because Zimbabwe has come in the tax bracket. Earlier, we were availing the tax break.

Rajit Aggarwal: Right. So your ex-India PBT is around Rs. 17 crore, if I am right, in Q4 and similar amount is the taxes. Is this going to be similar trajectory? Or is it going to be a certain percentage of a PBT going forward?

Raj Gandhi: What happens is that some country may have a lesser profit or may be loss and some may have higher profit , one country to another set of f is not available. So slight mismatch is always quite likely, but overall percentage in international is lower than that of India.

Moderator: Next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare : My question is regarding you have added alcoholic beverages as a category. So can you talk a bit more about that? When you want to enter like what products and when we can start?

Ravi Jaipuria: We have just said that we are starting with Carlsberg in Africa. We are putting our first Greenfield plant this year, which hopefully will be ready by the end of next year.

Onkar Ghugardare : Okay. So this is strictly for out of India, right? This is not for India?

Ravi Jaipuria: For the time being, specifically, we are starting Carlsberg and we are still looking for other things. But at the moment, it is Carlsberg for Africa.

Onkar Ghugardare : Okay. What was the capacity utilization this quarter with the added capacity?

Ravi Jaipuria: Last quarter ha d no capacity issues. Our capacities are based for the second quarter of the year, and we have adequate capacity available. We would say we have 50% more capacity available than what we have done this year.

Onkar Ghugardare : So from last year Q2 this year Q2, how much capacity you have added?

Raj Gandhi: It is a 20 -plus percentage capacity added this year, which could not be used.

Ravi Jaipuria: Between the last 2 years, we have added close to 40% - 45% capacity. So that capacity is available with us.

Onkar Ghugardare : And that should be hopefully used in the Q2 of next financial year, right?

Ravi Jaipuria: We hope so. There is enough capacity available if need be.

Onkar Ghugardare : With the cash on the books you are sitting at and no major CAPEX coming in, as you have said, and you have not even increased the dividend payout . So like what is the strategy on that? How do you plan to use the cash then?

Ravi Jaipuria: Partly, towards Twizza which we have just acquired in Africa, which will be paid for. Partly towards the setting up of brewery in Africa. And balance, we have to see if we want to wait and see the season how it goes in case the volumes become larger . We have to always keep on looking at expansion in certain territories, even though overall volume does not grow to that level, certain territories grow faster, then we have to increase the capacity in those territories. And if everything goes well, maybe we will increase the dividend.

Onkar Ghugardare : Okay. So you are sticking to the double -digit growth target for the current year as well?

Ravi Jaipuria: For the time being, that is what we are saying because till the weather opens up un

til we see what is happening. And it is the second quarter, which really makes the big difference.

Moderator: Thank you very much. With this, I now hand the conference over to the management for closing comments.

Raj Gandhi: Thank you. I hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about the company, please feel free to contact our Investor Relations team. Thank you once again for your interest and support and for taking the time out to join us on this call. Look forward to interacting with you soon. Thank you very much.

Call: May 2026

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